

Introduction to Probability

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Abstract

Lecture note of Introduction to Probability.

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Chapter 1

Combinatorial Analysis

Lecture 1

24 Feb.

Definition 1.0.1 (Gerolamo Cardano (1501-1576) Basic Probability Model).

- Sample space: set of all possible outcomes.
- Event: $E \subseteq S$, the set of outcomes we are interested in.
- Probability: $\mathbb{P}(E) \in [0, 1]$.

Remark 1.0.1. In (finite) uniform model,

$$\mathbb{P}(E) = \frac{|E|}{|S|}.$$

Example 1.0.1. Rolling a (fair) die, then what is the probability of getting a six?

Proof. $S = \{1, 2, 3, 4, 5, 6\}$, $E = \{6\}$, then $\mathbb{P}(E) = \frac{|E|}{|S|} = \frac{1}{6}$. *

Example 1.0.2. If we roll a fair die, then what is the probability of rolling a prime?

Proof. $S = \{1, 2, 3, 4, 5, 6\}$, $E = \{2, 3, 5\}$, then $\mathbb{P}(E) = \frac{|E|}{|S|} = \frac{3}{6} = \frac{1}{2}$. *

Example 1.0.3. Standard deck of 52 cards. Draw a random card, then what is the probability of getting an ace?

Answer. $\frac{1}{13}$. *

Example 1.0.4. Roll two fair dice, what is the probability of the sum being 7?

Proof.

$$S = \{(1, 1), (1, 2), \dots, (1, 6), (2, 1), (2, 2), \dots, (6, 6)\},$$

and

$$E = \{(1, 6), (2, 5), (3, 4), (4, 3), (5, 2), (6, 1)\},$$

so $\mathbb{P}(E) = \frac{|E|}{|S|} = \frac{6}{36} = \frac{1}{6}$. *

1.1 Counting Rule

Theorem 1.1.1 (Counting Rule). If a set S is a disjoint union

$$S = S_1 \cup S_2 \cup \dots \cup S_n,$$

i.e. $S_i \cap S_j = \emptyset$ for all $i \neq j$, then

$$|S| = \sum_{i=1}^n |S_i|.$$

Example 1.1.1. Roll two fair dice. What is the probability of having at least one odd number?

Proof. $E = \{\text{at least one odd roll}\}$, then $E = E_1 \cup E_2$ where $E_1 = \{\text{first die is odd}\}$ and $E_2 = \{\text{second die is odd}\}$. However, $E_1 \cap E_2 \neq \emptyset$. Thus, instead, we define $E'_1 = \{\text{first die is odd}\}$ and $E'_2 = \{\text{first die is even and second die is odd}\}$, then we know

$$E = E'_1 \cup E'_2,$$

so we have $|E| = |E'_1| + |E'_2|$, and $S = \{(x, y) : x, y \in [6]\}$, and we know

$$E'_1 = \{(x, y) \mid x_1 \in \{1, 3, 5\}, y \in [6]\}$$

and

$$E'_2 = \{(x, y) \mid x \in \{2, 4, 6\}, y \in \{1, 3, 5\}\},$$

which gives $|E'_1| = 18$ and $|E'_2| = 9$, and thus

$$\mathbb{P}(E) = \frac{|E|}{|S|} = \frac{18 + 9}{36} = \frac{3}{4}.$$

⊛

Theorem 1.1.2 (Product Rule). If a set S is the Cartesian product of sets $S_1, S_2, \dots, S_n$, i.e.

$$S = S_1 \times S_2 \times \dots \times S_n = \{(a_1, a_2, \dots, a_n) : \forall i \in [n], a_i \in S_i\},$$

then $|S| = |S_1| \times |S_2| \times \dots \times |S_n| = \prod_{i=1}^n |S_i|$.

Remark 1.1.1. Informally, if a big chain can be broken into a sequence of smaller choice, then the total number of options is the product of the number of options for each small choice.

Example 1.1.2. Roll two fair dice. What is the probability that the sum is odd?

Proof. $S = \{(x, y) \mid x, y \in [6]\}$. Also, we know

$$E = \{\text{sum is odd}\} = \{\text{exactly one die is odd and the other is even}\} = E_1 \cup E_2,$$

where $E_1 = \{\text{first is odd and second is even}\}$ and $E_2 = \{\text{first is even and second is odd}\}$. Note that

$$E_1 = \{1, 3, 5\} \times \{2, 4, 6\} \text{ and } E_2 = \{2, 4, 6\} \times \{1, 3, 5\},$$

so $|E_1| = |E_2| = 9$. By the sum rule, we know $|E| = |E_1| + |E_2| = 9 + 9 = 18$, and so

$$\mathbb{P}(E) = \frac{|E|}{|S|} = \frac{18}{36} = \frac{1}{2}.$$

⊛

Theorem 1.1.3 (Advanced Product Rule). If we are making a series of n choices, and for the i -th choice, we always have k_i options available, then the total number of options is

$$k_1 \times k_2 \times \cdots \times k_n = \prod_{i=1}^n k_i.$$

Example 1.1.3. Roll two fair dice. What is the probability that the sum is odd?

Proof. We know $S = \{(x, y) : x, y \in [6]\}$, and $E = \{(x, y) \in S : 2 \nmid x + y\}$.

- First question: Which roll is odd?
- Second question: What is the first roll? How many options?
- Third question: What is the second roll? How many options?

For the first question, we have 2 options, the first and the second. For the second question, we know there are 3 options since we need the first die to be even or odd, and similarly we know the second roll also has 3 options. Hence, $|E| = 2 \times 3 \times 3 = 18$, and thus $\mathbb{P}(E) = \frac{1}{2}$ since $|S| = 36$. $\circledast$

1.1.1 Permutations

Claim 1.1.1. There are

$$n! = n \times (n-1) \times (n-2) \times \cdots \times 1$$

ways to order n distinct elements.

Proof. Use the advanced product rule. For the first option, we have n choices, and the second has $n-1$ options, and so on. $\circledast$

1.1.2 Combinations

Question. How many subsets of size r are there of an n -element set?

Definition 1.1.1. The binomial coefficient $\binom{n}{r}$, "n choose r" counts the number of r -element subsets of an n -element set.

Claim 1.1.2. $\forall 0 \leq r \leq n$, we have

$$\binom{n}{r} = \frac{n!}{r!(n-r)!}.$$

Proof. We count the number of ways of ordering all n items in two different ways. (Double counting)

- First method: Direct permutation, which has $n!$ ways.
- Second method:
 - Step 1: Choose which elements will be in the front r , which has $\binom{n}{r}$ elements.
 - Step 2: Order these r elements, which has $r!$ methods.
 - Step 3: Order the remaining $n-r$ elements, which has $(n-r)!$ methods.

Thus, by advanced product rule, we know

$$n! = \binom{n}{r} r! (n-r)! \Rightarrow \binom{n}{r} = \frac{n!}{r!(n-r)!}.$$

⊛

Observation. For all $0 \leq r \leq n$,

$$\binom{n}{r} = \binom{n}{n-r}.$$

Proof.

$$\binom{n}{n-r} = \frac{n!}{(n-r)!(n-(n-r))!} = \frac{n!}{(n-r)!r!} = \binom{n}{r}.$$

■

Observation. Choosing a subset of r elements is equivalent to choose the $n-r$ elements that don't go in the subset. In fact, it means $\binom{n}{r} = \binom{n}{n-r}$.

Proposition 1.1.1 (Pascal's identity). $\forall 1 \leq r \leq n$,

$$\binom{n+1}{r} = \binom{n}{r} + \binom{n}{r-1}.$$

Proof.

$$\binom{n}{r} + \binom{n}{r+1} = \frac{n!}{r!(n-r)!} + \frac{n!}{(r+1)!(n-(r+1))!} = \frac{(n+1)!}{r!(n+1-r)!}.$$

■

Lecture 2

26 Feb.

Another proof for Pascal's identity. Since we know

$$\binom{n}{r} = \# \text{ of subsets of size } r \text{ from a set of size } n, \text{ say } [n] = \{1, 2, \dots, n\}.$$

Let $S = \binom{[n]}{r}$ be the set of these subsets.

Notation. For any set X ,

$$\binom{X}{r} = \{Y \subseteq X, |Y| = r\},$$

$$\text{so } \left| \binom{X}{r} \right| = \binom{|X|}{r}.$$

Let

$$S_1 = \left\{ y \in \binom{[n]}{r} : n \notin Y \right\} \text{ and } S_2 = \left\{ y \in \binom{[n]}{r} : n \in Y \right\},$$

then $S = S_1 \cup S_2$, and thus $|S| = |S_1| + |S_2|$. Now since $|S_1| = \binom{n-1}{r}$ and $|S_2| = \binom{n-1}{r-1}$, so we know

$$\binom{n}{r} = |S| = |S_1| + |S_2| = \binom{n-1}{r} + \binom{n-1}{r-1}.$$

■

Remark 1.1.2. Pascal's identity gives a recursive formula for computing $\binom{n}{r}$, which is much simpler than $\binom{n}{r} = \frac{n!}{r!(n-r)!}$.

Theorem 1.1.4 (Binomial Theorem). For any integer $n > 0$ and any $x, y \in \mathbb{R}$,

$$(x + y)^n = \sum_{r=0}^n \binom{n}{r} x^r y^{n-r}.$$

Proof. Note that

$$(x + y)^n = \underbrace{(x + y)(x + y) \dots (x + y)}_{n \text{ times}}.$$

Each monomial comes from choosing one term from each factor (x or y), taken the from $x^r y^{n-r}$, where r is the number of factors from which we choose x , $0 \leq r \leq n$. Note that the coefficient of $x^r y^{n-r}$ is $\binom{n}{r}$ for all r , so

$$(x + y)^n = \sum_{r=0}^n \binom{n}{r} x^r y^{n-r}.$$

■

Corollary 1.1.1. Total number of subsets of an n -element set is 2^n .

Proof. Apply the product rule, for each of the elements, ask if it is in the subset or not. We know there are 2 options per question, so the product rule gives 2^n subsets. ■

Another proof. Let S be the set of all subsets. Then for $0 \leq r \leq n$, let $S_r \subseteq S$ be the subsets of those subsets of size r . Then,

$$S = S_0 \cup S_1 \cup \dots \cup S_n,$$

and by sum rule we know

$$|S| = \sum_{r=0}^n |S_r| = \sum_{r=0}^n \binom{n}{r} = \sum_{r=0}^n \binom{n}{r} 1^r 1^{n-r} (1 + 1)^n = 2^n.$$

■

Corollary 1.1.2. Let X be an n -element set, $n \geq 1$, then the number of even-sized subsets of X is equal to the number of odd-sized subsets of X .

An approach for odd n and even r .

$$\# \text{ of even-sized subsets} = \sum_{\substack{r \text{ even} \\ 0 \leq r \leq n}} \binom{n}{r} = \sum_{\substack{r \text{ even} \\ 0 \leq r \leq n}} \binom{n}{n-r}.$$

Now if n is odd and r even, then $n - r$ is odd, so

$$\sum_{\substack{r \text{ even} \\ 0 \leq r \leq n}} \binom{n}{n-r} = \sum_{\substack{r \text{ odd} \\ 0 \leq r \leq n}} \binom{n}{r}.$$

■

Proof. Want to show

$$\sum_{r \text{ even}} \binom{n}{r} - \sum_{r \text{ odd}} \binom{n}{r} = 0,$$

i.e.

$$\sum_{r=0}^n \binom{n}{r} (-1)^r = 0.$$

Note that

$$\sum_{r=0}^n \binom{n}{r} (-1)^r = \sum_{r=0}^n \binom{n}{r} (-1)^r 1^{n-r} = (1 + (-1))^n = 0.$$

Example 1.1.4. In poker, we are dealt a hand of five cards from a standard deck. What is the probability of getting a full house (three-of-a-kind and a pair)?

Proof. The sample space is the subsets of 5 cards from deck. If D means the deck of cards, then $S = \binom{D}{5}$ and $|S| = \binom{52}{5}$. Also, we know $E = \{\text{full houses}\} = \{\text{triple} + \text{pair}\}$, so we can first choose the triple then choose the pair, and for triple and pair, we have to choose suits and values. Thus, we have $13 \times \binom{4}{3}$ options for the triple and $12 \times \binom{4}{2}$ options for the pair. Thus, number of full houses is $13 \times \binom{4}{3} \times 12 \times \binom{4}{2}$, and thus

$$\mathbb{P}(\text{full houses}) = \frac{13 \times \binom{4}{3} \times 12 \times \binom{4}{2}}{\binom{52}{5}}.$$

⊛

1.1.3 Choosing with repetition

As previously seen.

$$\begin{aligned} \binom{n}{r} &= \# \text{ of subsets of size } r \text{ of a set of size } n \\ &= \# \text{ of ways of choosing } r \text{ items out of } n \text{ without order and without repetition.} \end{aligned}$$

Question. What if repetition is allowed? How many ways can we choose r items out of n , with repetition but without order?

Let x_i be the number of times the i -th element is chosen, then we want to count the number of $(x_1, x_2, \dots, x_n)$ pairs satisfying

$$x_i \geq 0, \quad x_i \in \mathbb{Z}, \quad \sum_{i=1}^n x_i = r.$$

We can use a method call **stars and bars drawing** to count the number of such pairs. We represent our choices with stars, and use bars to separate the different elements. For example, $(1, 0, 2, 0, 0)$, which is a possible pair, and it corresponds to

$$*||**||,$$

and every possible pair corresponds to a diagram like this, and it is a bijection, while there are r stars and $n - 1$ bars in each diagram, so there are $\binom{n+r-1}{n-1}$ possible pairs.

Example 1.1.5. There is a probability course with 77 students. Professor chooses 60 students to pass. How many options does the professor have.

Answer. $\binom{77}{60}$.

⊛

Example 1.1.6. What if the professor instead needs to assign grades to the students. Professor decides to distribute 4500 points between the 77 students. How many ways are there of doing this?

Proof. Let x_i be the number of points to student i , then $x_i \geq 0$ and $\sum_{i=1}^{77} x_i = 4500$. Thus, the number of solutions is $\binom{4576}{4500}$.

⊛

Example 1.1.7. What if every student should receive at least 10 points?

Proof. Now we have a restriction of $x_i \geq 10$ for all i , so we can define $y_i = x_i - 10$ for all i , and

thus we want $y_i \geq 0$ for all i and

$$\sum_{i=1}^{77} y_i = \sum_{i=1}^{77} (x_i - 10) = 3730,$$

which means the number of ways of distribution is $\binom{3806}{3730}$.

⊛

Chapter 2

Axiom of Probability

Suppose we roll a fair die 100 times and are interested in the sum of the rolls.

Question. What is the sample space?

We have to define the definition of sample space first.

As previously seen. The sample space is a set S of all possible outcomes, and sometimes denoted by Ω , and the events is a subset $E \subseteq S$ that we are interested in.

Lecture 3

Definition 2.0.1. Given events $E_1, E_2, \dots \subseteq S$,

- $\bigcup_{i=1}^{\infty} E_i = \{x \in S : \text{there exists } i \text{ with } x \in E_i\}$.
- $\bigcap_{i=1}^{\infty} E_i = \{x \in S : x \in E_i \text{ for all } i\}$.
- $E_1, E_2, \dots$ are mutually exclusive (or pairwise disjoint) if $E_i \cap E_j = \emptyset$ for all $i \neq j$.
- Given $E \subseteq S$, the complement $E^C = \overline{E} = \{x \in S : x \notin E\}$.
- Given $E, F \subseteq S$, $F \setminus E = \{x \in F : x \notin E\} = F \cap E^C$.
- $E \Delta F = (E \setminus F) \cup (F \setminus E)$.

3 March.

Proposition 2.0.1 (De Morgan's law). Given sets $E_1, E_2, \dots \subseteq S$,

$$\left(\bigcup_{i=1}^{\infty} E_i \right)^C = \bigcap_{i=1}^{\infty} E_i^C \text{ and } \left(\bigcap_{i=1}^{\infty} E_i \right)^C = \bigcup_{i=1}^{\infty} E_i^C.$$

Proof.

$$\begin{aligned} \left(\bigcup_{i=1}^{\infty} E_i \right)^C &= \left\{ x \in S : x \notin \bigcup_{i=1}^{\infty} E_i \right\} = \{x \in S : \nexists i \text{ s.t. } x \in E_i\} \\ &= \{x \in S : \forall i, x \notin E_i\} = \{x \in S : \forall i, x \in E_i^C\} = \bigcap_{i=1}^{\infty} E_i^C. \\ \left(\bigcap_{i=1}^{\infty} E_i \right)^C &= \left(\bigcap_{i=1}^{\infty} (E_i^C)^C \right)^C = \left(\left(\bigcup_{i=1}^{\infty} E_i^C \right)^C \right)^C = \left(\bigcup_{i=1}^{\infty} E_i^C \right). \end{aligned}$$

■

Definition 2.0.2. Given a sample space S , a probability measure is a function $\mathbb{P} : 2^S \rightarrow \mathbb{R}$ satisfying

- (i) for every event E , we have $0 \leq \mathbb{P}(E) \leq 1$.
- (ii) $\mathbb{P}(S) = 1$.
- (iii) (countable additivity) for every sequence of mutually exclusive events $E_1, E_2, \dots$

$$\mathbb{P} \left(\bigcup_{i=1}^{\infty} E_i \right) = \sum_{i=1}^{\infty} \mathbb{P}(E_i).$$

Definition 2.0.3. Given a sample space S , and a probability measure $\mathbb{P} : 2^S \rightarrow \mathbb{R}$, we call $(S, \mathbb{P})$ a probability space.

Proposition 2.0.2. $\mathbb{P}(\emptyset) = 0$.

Proof. Consider the following sequence of events $E_1 = S$, $E_i = \emptyset$ for all $i \geq 2$. Observe that those are mutually exclusive:

$$\forall i \neq j, E_i \cap E_j = \emptyset$$

since one of E_i, E_j must be empty. Thus,

$$\mathbb{P} \left(\bigcup_{i=1}^{\infty} E_i \right) = \sum_{i=1}^{\infty} \mathbb{P}(E_i),$$

and since

$$\mathbb{P} \left(\bigcup_{i=1}^{\infty} E_i \right) = \mathbb{P}(S) = 1,$$

we know

$$1 = \sum_{i=1}^{\infty} \mathbb{P}(E_i) = \mathbb{P}(S) + \sum_{i=2}^{\infty} \mathbb{P}(\emptyset) = 1 + \sum_{i=2}^{\infty} \mathbb{P}(\emptyset).$$

This gives $\mathbb{P}(\emptyset) = 0$. ■

Proposition 2.0.3. If $E_1, E_2, \dots, E_n$ is a finite sequence of mutually exclusive events, then

$$\mathbb{P} \left(\bigcup_{i=1}^n E_i \right) = \sum_{i=1}^n \mathbb{P}(E_i).$$

Proof. Consider the sequence

$$E_1, E_2, \dots, E_n, \emptyset, \emptyset, \dots,$$

then we have

$$\mathbb{P} \left(\bigcup_{i=1}^n E_i \right) = \mathbb{P} \left(\bigcup_{i=1}^{\infty} E_i \right) = \sum_{i=1}^{\infty} \mathbb{P}(E_i) = \sum_{i=1}^n \mathbb{P}(E_i).$$
■

Proposition 2.0.4. For any event E ,

$$\mathbb{P}(E^C) = 1 - \mathbb{P}(E).$$

Proof. Consider the finite sequence

$$E_1 = E \text{ and } E_2 = E^C,$$

then

$$\sum_{i=1}^2 \mathbb{P}(E_i) = \mathbb{P}\left(\bigcup_{i=1}^2 E_i\right) = \mathbb{P}(S) = 1,$$

which gives

$$\mathbb{P}(E_1) = 1 - \mathbb{P}(E_1^C).$$

■

Proposition 2.0.5 (Monotonicity). If $E \subseteq F$ are events, then

$$\mathbb{P}(E) \leq \mathbb{P}(F).$$

Proof. Note that $F = E \cup (F \setminus E)$, so

$$\mathbb{P}(F) = \mathbb{P}(E) + \mathbb{P}(F \setminus E) \geq \mathbb{P}(E).$$

■

Example 2.0.1. We have an unfair six-sided die, which rolls 1 with probability 0.1, a 2 with probability 0.2, a 3 with probability 0.25, a 4 with probability 0.15, and a 5 with probability 0.17. Then,

- (a) What is the probability of rolling a 6?
- (b) What is the probability of rolling a prime?

Proof. To define the probability over a countable sample space $S = \{1, 2, 3, 4, 5, 6\}$, it is enough to define the probability of individual outcomes $\{x\} \subseteq S$. Since for any $E \subseteq S$, we know $E = \bigcup_{x \in E} \{x\}$ and thus $\mathbb{P}(E) = \sum_{x \in E} \mathbb{P}(\{x\})$. Hence, we know

$$\mathbb{P}(\{6\}) = \mathbb{P}(\{1, 2, 3, 4, 5\}^C) = 1 - \sum_{i=1}^5 \mathbb{P}(\{i\}) = 0.13.$$

Also,

$$\mathbb{P}(\text{rolling a prime}) = 0.62.$$

⊛

Example 2.0.2. Any uniform probability measure satisfies the axiom.

Proof. Let S be a finite non-empty sample space. We define the uniform probability measure as

$$\mathbb{P}(E) = \frac{|E|}{|S|}.$$

Fix any $E \subseteq S$, $0 \leq |E| \leq |S|$, so

$$0 \leq \frac{|E|}{|S|} \leq 1.$$

Also, $\mathbb{P}(S) = \frac{|S|}{|S|} = 1$. If $E_1, E_2, \dots$ are mutually exclusive, then

$$\mathbb{P}\left(\bigcup_{i=1}^{\infty} E_i\right) = \frac{|\bigcup_{i=1}^{\infty} E_i|}{|S|} = \frac{\sum_{i=1}^{\infty} |E_i|}{|S|} = \sum_{i=1}^{\infty} \frac{|E_i|}{|S|} = \sum_{i=1}^{\infty} \mathbb{P}(E_i).$$

Thus, any uniform probability measure satisfies the axiom.

⊛

2.1 Inclusion-Exclusion Principle

Proposition 2.1.1. For any two events $E, F \subseteq S$,

$$\mathbb{P}(E \cup F) = \mathbb{P}(E) + \mathbb{P}(F) - \mathbb{P}(E \cap F).$$

Proof. Consider the mutually exclusive events $E \cap F, E \setminus F, F \setminus E$, we know

$$(E \cap F) \cup (E \setminus F) \cup (F \setminus E) = E \cup F.$$

Also,

$$(E \cap F) \cup (E \setminus F) = E \text{ and } (E \cap F) \cup (F \setminus E) = F.$$

Hence,

$$\begin{aligned} \mathbb{P}(E \cup F) &= \mathbb{P}(E \cap F) + \mathbb{P}(E \setminus F) + \mathbb{P}(F \setminus E) \\ &= \mathbb{P}(E \cap F) + \mathbb{P}(E \setminus F) + \mathbb{P}(F \setminus E) + \mathbb{P}(E \cap F) - \mathbb{P}(E \cap F) \\ &= \mathbb{P}(E) + \mathbb{P}(F) - \mathbb{P}(E \cap F). \end{aligned}$$

■

Corollary 2.1.1. For any $E, F \subseteq S$, we know

$$\mathbb{P}(E \cup F) \leq \mathbb{P}(E) + \mathbb{P}(F).$$

Lecture 4

Example 2.1.1. We will hike if it doesn't rain and there is no earthquake. Otherwise we will stay in the city and eat food and get fat. Now if

$$\mathbb{P}(\text{rain}) = 60\%, \quad \mathbb{P}(\text{earthquake}) = 5\%, \quad \mathbb{P}(\text{rainy earthquake}) = 17\%.$$

What is $\mathbb{P}(\text{fat})$?

Proof. If $E = \text{rain}$ and $F = \text{earthquake}$, then

$$\mathbb{P}(E) = 60\%, \quad \mathbb{P}(F) = 5\%, \quad \mathbb{P}(E \cap F) = 1\%.$$

Thus,

$$\mathbb{P}(E \cup F) = \mathbb{P}(E) + \mathbb{P}(F) - \mathbb{P}(E \cap F) = 64\%.$$

Remark 2.1.1. Even if we don't know $\mathbb{P}(E \cap F)$, we could have said

$$\mathbb{P}(E) = 60\% \leq \mathbb{P}(E \cup F) \leq 65\% = \mathbb{P}(E) + \mathbb{P}(F).$$

⊛

Proposition 2.1.2. Given any three events E, F, G in a probability space $(S, \mathbb{P})$,

$$\mathbb{P}(E \cup F \cup G) = \mathbb{P}(E) + \mathbb{P}(F) + \mathbb{P}(G) - \mathbb{P}(E \cap F) - \mathbb{P}(F \cap G) - \mathbb{P}(E \cap G) + \mathbb{P}(E \cap F \cap G).$$

Proof.

$$\begin{aligned} \mathbb{P}(E \cup F \cup G) &= \mathbb{P}((E \cup F) \cup G) = \mathbb{P}(E \cup F) + \mathbb{P}(G) - \mathbb{P}((E \cup F) \cap G) \\ &= \mathbb{P}(E) + \mathbb{P}(F) - \mathbb{P}(E \cap F) + \mathbb{P}(G) - \mathbb{P}((E \cap G) \cup (F \cap G)) \\ &= \mathbb{P}(E) + \mathbb{P}(F) - \mathbb{P}(E \cap F) + \mathbb{P}(G) - (\mathbb{P}(E \cap G) + \mathbb{P}(F \cap G) - \mathbb{P}(E \cap F \cap G)) \\ &= \mathbb{P}(E) + \mathbb{P}(F) + \mathbb{P}(G) - \mathbb{P}(E \cap F) - \mathbb{P}(F \cap G) - \mathbb{P}(E \cap G) + \mathbb{P}(E \cap F \cap G). \end{aligned}$$

Example 2.1.2. Rolling a 60-sided die, numbered 1 to 60, and is fair. We win if rolling a multiple of 2, 3, 5, then $\mathbb{P}(\text{win}) = ?$

Proof. We know $S = [60]$ with uniform probability. If $E \subseteq S$, then $\mathbb{P}(E) = \frac{|E|}{60}$. Suppose

$$W = \{\text{win number}\} = \{x \in S : x \text{ is divisible by } 2, 3, 5\},$$

and given $k \in \mathbb{N}$, let

$$E_k = \{x \in S : x \text{ is divisible by } k\},$$

then $W = E_2 \cup E_3 \cup E_5$. Note that

$$\mathbb{P}(E_2) = \frac{30}{60} = \frac{1}{2}, \quad \mathbb{P}(E_3) = \frac{20}{60} = \frac{1}{3}, \quad \mathbb{P}(E_5) = \frac{12}{60} = \frac{1}{5}.$$

Thus, we can compute $\mathbb{P}(W)$ by

$$\mathbb{P}(W) = \mathbb{P}(E_2) + \mathbb{P}(E_3) + \mathbb{P}(E_5) - \mathbb{P}(E_2 \cap E_3) - \mathbb{P}(E_3 \cap E_5) - \mathbb{P}(E_2 \cap E_5) + \mathbb{P}(E_2 \cap E_3 \cap E_5),$$

and note that if k and l are relatively prime, then $E_k \cap E_l = E_{kl}$. Thus,

$$\mathbb{P}(W) = \frac{1}{2} + \frac{1}{3} + \frac{1}{5} - \frac{1}{6} - \frac{1}{10} - \frac{1}{15} + \frac{1}{30} = \frac{22}{30}.$$

⊛

Theorem 2.1.1. Let $(S, \mathbb{P})$ be a probability space, and let $E_1, E_2, \dots, E_n$ be arbitrary events ($E_i \subseteq S$). Then,

$$\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) = \sum_{r=1}^n (-1)^{r+1} \sum_{1 \leq i_1 < i_2 < \dots < i_r \leq n} \mathbb{P}(E_{i_1} \cap E_{i_2} \cap \dots \cap E_{i_r}) = \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \mathbb{P}\left(\bigcap_{i \in I} E_i\right).$$

Proof. Define

$$F_I = \left(\bigcap_{i \in I} E_i\right) \cap \left(\bigcap_{i \notin I} E_i^C\right) \text{ for all } I \subseteq [n].$$

Observe

$$E_1 \cup E_2 \cup \dots \cup E_n = \bigcup_{\substack{I \subseteq [n] \\ I \neq \emptyset}} F_I.$$

Now since $F_I \cap F_J = \emptyset$ for $I, J \subseteq [n]$ where I, J are distinct. Thus,

$$\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) = \mathbb{P}\left(\bigcup_{\substack{I \subseteq [n] \\ I \neq \emptyset}} F_I\right) = \sum_{\substack{I \subseteq [n] \\ I \neq \emptyset}} \mathbb{P}(F_I).$$

Furthermore, for any $I \subseteq [n]$,

$$\bigcap_{i \in I} E_i = \bigcup_{\substack{J \subseteq [n] \\ I \subseteq J}} F_J.$$

Thus,

$$\mathbb{P}\left(\bigcap_{i \in I} E_i\right) = \sum_{I \subseteq J \subseteq [n]} \mathbb{P}(F_J).$$

This gives

$$\begin{aligned} \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \mathbb{P} \left(\bigcap_{i \in I} E_i \right) &= \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \sum_{I \subseteq J \subseteq [n]} \mathbb{P}(F_J) = \sum_{\emptyset \neq J \subseteq [n]} \mathbb{P}(F_J) \left[\sum_{\emptyset \neq I \subseteq J} (-1)^{|I|+1} \right] \\ &= \sum_{\emptyset \neq J \subseteq [n]} \mathbb{P}(F_J) = \mathbb{P} \left(\bigcup_{i=1}^n E_i \right). \end{aligned}$$

Remark 2.1.2. For fixed $J \subseteq [n]$,

$$\sum_{\emptyset \neq I \subseteq J} (-1)^{|I|+1} = 1$$

since

$$\sum_{I \subseteq J} (-1)^{|I|+1} = \sum_{r=0}^{|J|} \binom{|J|}{r} (-1)^{r+1} = (-1) \sum_{r=0}^{|J|} \binom{|J|}{r} (-1)^r 1^{|J|-r} = 0.$$

■

Example 2.1.3. If there is a party, and everyone brings a hat. If now everyone put their hats together and then randomly gets back one, and we want to compute the probability of somebody gets his hat.

Proof. Now if $S = S_n$ and $\mathbb{P}$ is uniform and E is the set of events that somebody gets their hat. Let

$$E_i = \{\text{person } i \text{ gets his hat}\} = \{\pi \in S_n : \pi(i) = i\}.$$

Then, $E = \bigcup_{i=1}^n E_i$. Thus, by inclusion-exclusion principle,

$$\mathbb{P}(E) = \mathbb{P} \left(\bigcup_{i=1}^n E_i \right) = \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \mathbb{P} \left(\bigcap_{i \in I} E_i \right).$$

Note that $\bigcap_{i \in I} E_i$ is the set of events that all people in I gets their hats, so

$$\left| \bigcap_{i \in I} E_i \right| = (n - |I|)!$$

Hence, since $\mathbb{P}$ is uniform,

$$\mathbb{P}(E) = \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \frac{(n - |I|)!}{n!} = \sum_{r=1}^n \binom{n}{r} (-1)^{r+1} \frac{(n - r)!}{n!} = \sum_{r=1}^n \frac{(-1)^{r+1}}{r!}.$$

Hence,

$$\mathbb{P}(\text{nobody gets their hat}) = 1 - \sum_{r=1}^n \frac{(-1)^{r+1}}{r!} = \sum_{r=0}^n \frac{(-1)^r}{r!} \rightarrow \frac{1}{e} \text{ as } n \rightarrow \infty.$$

⊛

Lecture 5

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Proposition 2.1.3 (Union bound). Let $E_1, E_2, \dots, E_n$ be events in a probability space. Then,

$$\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) \leq \sum_{i=1}^n \mathbb{P}(E_i).$$

Proof. Let $F_i = E_i \setminus \bigcup_{j<i} E_j$, then $\bigcup_{j=1}^i F_j = \bigcup_{j=1}^i E_j$. (Since $F_j \subseteq E_j$ for all j , we have $\bigcup_{j=1}^i F_j \subseteq \bigcup_{j=1}^i E_j$. If $x \in \bigcup_{j=1}^i E_j$, let j_0 be the smallest index s.t. $x \in E_{j_0}$, then $x \in F_{j_0} = E_{j_0} \setminus \bigcup_{\ell<j_0} E_\ell$, so $x \in \bigcup_{j=1}^i F_j$.) Note that F_j 's are pairwise disjoint. Thus,

$$\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) = \mathbb{P}\left(\bigcup_{i=1}^n F_i\right) = \sum_{i=1}^n \mathbb{P}(F_i) \leq \sum_{i=1}^n \mathbb{P}(E_i)$$

by the axiom of probability. ■

Example 2.1.4. Let $\pi \in S_n$ be a uniformly random permutation. Let E_i be the event that $\{\pi(i) = i\}$, then

$$\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) \leq \sum_{i=1}^n \mathbb{P}(E_i) = \sum_{i=1}^n \frac{1}{n} = 1.$$

Theorem 2.1.2 (Bonferroni). Let $E_1, E_2, \dots, E_n$ be events in a probability space $(S, \mathbb{P})$. Let $1 \leq t \leq n$. Then

$$\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) \begin{cases} \leq \\ \geq \end{cases} \sum_{r=1}^t (-1)^{r+1} \sum_{1 \leq i_1 < i_2 < \dots < i_r \leq n} \mathbb{P}(E_{i_1} \cap E_{i_2} \cap \dots \cap E_{i_r}) \text{ if } t \text{ is } \begin{cases} \text{odd} \\ \text{even} \end{cases}.$$

Proof. We induct on t .

- Base case: $t = 1$, which can be proved by union bound.
- Induction step: As before, we have $\bigcup_{i=1}^n E_i = \bigcup_{i=1}^n F_i$, where $F_i = E_i \setminus \bigcup_{j<i} E_j$. Then

$$\begin{aligned} \mathbb{P}\left(\bigcup_{i=1}^n E_i\right) &= \mathbb{P}\left(\bigcup_{i=1}^n F_i\right) = \sum_{i=1}^n \mathbb{P}(F_i) = \sum_{i=1}^n \mathbb{P}\left(E_i \setminus \bigcup_{j<i} E_j\right) \\ &= \sum_{i=1}^n \left[\mathbb{P}(E_i) - \mathbb{P}\left(E_i \cap \left(\bigcup_{j<i} E_j\right)\right) \right] \\ &= \sum_{i=1}^n \mathbb{P}(E_i) - \sum_{i=1}^n \mathbb{P}\left(E_i \cap \left(\bigcup_{j<i} E_j\right)\right) \\ &= \sum_{i=1}^n \mathbb{P}(E_i) - \sum_{i=1}^n \mathbb{P}\left(\bigcup_{j<i} (E_i \cap E_j)\right). \end{aligned}$$

We use the induction hypothesis for t to bound $\mathbb{P}\left(\bigcup_{j<i} (E_i \cap E_j)\right)$.

If t is odd, then

$$\begin{aligned}\mathbb{P}\left(\bigcup_{j < i} (E_i \cap E_j)\right) &\leq \sum_{r=1}^t (-1)^{r+1} \sum_{1 \leq j_1 < j_2 < \dots < j_r < i} \mathbb{P}\left(\bigcap_{i=1}^r (E_i \cap E_{j_r})\right) \\ &= \sum_{i=1}^t (-1)^{r+1} \sum_{1 \leq j_1 < j_2 < \dots < j_r < i} \mathbb{P}(E_{j_1} \cap E_{j_2} \cap \dots \cap E_{j_r} \cap E_i).\end{aligned}$$

Thus,

$$\begin{aligned}\sum_{i=1}^n \mathbb{P}\left(\bigcup_{j < i} (E_i \cap E_j)\right) &\leq \sum_{i=1}^n \sum_{r=1}^t (-1)^{r+1} \sum_{1 \leq j_1 < j_2 < \dots < j_r < i} \mathbb{P}(E_{j_1} \cap E_{j_2} \cap \dots \cap E_{j_r} \cap E_i) \\ &= \sum_{r=2}^{t+1} (-1)^r \sum_{1 \leq j_1 < j_2 < \dots < j_r \leq n} \mathbb{P}(E_{j_1} \cap \dots \cap E_{j_r}).\end{aligned}$$

Thus,

$$\begin{aligned}\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) &= \sum_{i=1}^n \mathbb{P}(E_i) - \sum_{i=1}^n \mathbb{P}\left(\bigcup_{j < i} (E_j \cap E_i)\right) \\ &\geq \sum_{i=1}^n \mathbb{P}(E_i) - \sum_{r=2}^{t+1} (-1)^r \sum_{1 \leq j_1 < j_2 < \dots < j_r \leq n} \mathbb{P}(E_{j_1} \cap \dots \cap E_{j_r}) \\ &= \sum_{r=1}^{t+1} (-1)^{r+1} \sum_{1 \leq i_1 < \dots < i_r \leq n} \mathbb{P}(E_{i_1} \cap E_{i_2} \cap \dots \cap E_{i_r}).\end{aligned}$$

If t is even, then we can prove similarly. ■

Example 2.1.5. Let $E_i = \{\pi \in S_n : \pi(i) = i\}$, and $S = S_n$, then

$$\begin{aligned}\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) &\geq \sum_{i=1}^n \mathbb{P}(E_i) - \sum_{1 \leq i < j \leq n} \mathbb{P}(E_i \cap E_j) = \sum_{i=1}^n \frac{1}{n} - \sum_{1 \leq i < j \leq n} \frac{1}{n(n-1)} \\ &= 1 - \binom{n}{2} \frac{1}{n(n-1)} = 1 - \frac{1}{2} = \frac{1}{2}.\end{aligned}$$

Chapter 3

Continuity of Probability

Definition 3.0.1. Given a probability space $(S, \mathbb{P})$, we say a sequence of events $E_1, E_2, \dots$ is increasing if $E_1 \subseteq E_2 \subseteq \dots$ and is decreasing if $E_1 \supseteq E_2 \supseteq \dots$.

Definition 3.0.2. Let $E_1 \subseteq E_2 \subseteq \dots$ be an increasing sequence of events in a probability space. Then we define the limit $\lim_{n \rightarrow \infty} E_n = \bigcup_{n=1}^{\infty} E_n$. (Note that $\bigcup_{i=1}^n E_i = E_n$.) If $E_1 \supseteq E_2 \supseteq \dots$ is a decreasing sequence of events, then we define $\lim_{n \rightarrow \infty} E_n = \bigcap_{n=1}^{\infty} E_n$. (Note that $E_n = \bigcap_{i=1}^n E_i$.)

Remark 3.0.1. If $E_1, E_2, \dots$

- is increasing, then

$$E_1 \subseteq E_2 \subseteq \dots \subseteq E_n \subseteq \dots \subseteq \lim_{n \rightarrow \infty} E_n.$$

- is decreasing, then

$$E_1 \supseteq E_2 \supseteq \dots \supseteq E_n \supseteq \dots \supseteq \lim_{n \rightarrow \infty} E_n.$$

Proposition 3.0.1. If $E_1, E_2, \dots$ is an increasing or decreasing sequence of events in a probability space $(S, \mathbb{P})$, then

$$\mathbb{P}\left(\lim_{n \rightarrow \infty} E_n\right) = \lim_{n \rightarrow \infty} \mathbb{P}(E_n),$$

i.e. probability is continuous.

Proof. We first show the increasing case. For each n , let $F_n = E_n \setminus \bigcup_{i=1}^{n-1} E_i$. Then, for any n ,

$$\bigcup_{i=1}^n F_i = \bigcup_{i=1}^n E_i = E_n.$$

Also,

$$\bigcup_{n=1}^{\infty} F_n = \bigcup_{n=1}^{\infty} E_n = \lim_{n \rightarrow \infty} E_n.$$

Thus, since F_i 's are mutually disjoint,

$$\begin{aligned} \mathbb{P}\left(\lim_{n \rightarrow \infty} E_n\right) &= \mathbb{P}\left(\bigcup_{n=1}^{\infty} E_n\right) = \mathbb{P}\left(\bigcup_{n=1}^{\infty} F_n\right) = \sum_{n=1}^{\infty} \mathbb{P}(F_n) = \lim_{n \rightarrow \infty} \sum_{i=1}^n \mathbb{P}(F_i) = \lim_{n \rightarrow \infty} \mathbb{P}\left(\bigcup_{i=1}^n F_i\right) \\ &= \lim_{n \rightarrow \infty} \mathbb{P}\left(\bigcup_{i=1}^n E_i\right) = \lim_{n \rightarrow \infty} \mathbb{P}(E_n). \end{aligned}$$

Now we show the decreasing case. If $E_1 \supseteq E_2 \supseteq \dots$ is decreasing, then

$$E_1^C \subseteq E_2^C \subseteq \dots \text{ is increasing.}$$

Thus,

$$\lim_{n \rightarrow \infty} \mathbb{P}(E_n^C) = \mathbb{P}\left(\lim_{n \rightarrow \infty} E_n^C\right) = \mathbb{P}\left(\bigcup_{n=1}^{\infty} E_n^C\right) = \mathbb{P}\left(\left(\bigcap_{n=1}^{\infty} E_n\right)^C\right) = 1 - \mathbb{P}\left(\bigcap_{n=1}^{\infty} E_n\right).$$

Also,

$$\lim_{n \rightarrow \infty} \mathbb{P}(E_n^C) = \lim_{n \rightarrow \infty} 1 - \mathbb{P}(E_n),$$

so

$$\lim_{n \rightarrow \infty} 1 - \mathbb{P}(E_n) = 1 - \mathbb{P}\left(\bigcap_{n=1}^{\infty} E_n\right) \Rightarrow \lim_{n \rightarrow \infty} \mathbb{P}(E_n) = \mathbb{P}\left(\bigcap_{n=1}^{\infty} E_n\right).$$

■

Definition 3.0.3. Given any infinite sequence of events $E_1, E_2, E_3, \dots$ in a probability space $(S, \mathbb{P})$, we define:

$$\limsup_{n \rightarrow \infty} E_n = \lim_{n \rightarrow \infty} \bigcup_{i=n}^{\infty} E_i = \bigcap_{n=1}^{\infty} \left(\bigcup_{i=n}^{\infty} E_i \right).$$

Notice the sequence $\bigcup_{i=n}^{\infty} E_i$ for $n \in \mathbb{N}$ is decreasing in n . Also, we define

$$\liminf_{n \rightarrow \infty} E_n = \lim_{n \rightarrow \infty} \bigcap_{i=n}^{\infty} E_i = \bigcup_{n=1}^{\infty} \left(\bigcap_{i=n}^{\infty} E_i \right).$$

Notice that $\bigcap_{i=n}^{\infty} E_i$ is increasing.

Remark 3.0.2. If $x \in \bigcup_{i=n}^{\infty} E_i$, then it means $\exists i \geq n$ s.t. $x \in E_i$. Hence, if $x \in \bigcap_{n=1}^{\infty} \left(\bigcup_{i=n}^{\infty} E_i \right)$, then it means for all $n \geq 1$, $\exists i \geq n$ s.t. $x \in E_i$, i.e. x is in infinitely many of the events E_i . Thus, $\limsup_{n \rightarrow \infty} E_n$ means infinitely many of the events E_n occurs, while $\liminf_{n \rightarrow \infty} E_n$ means only finitely many of the events do not occur since $x \in \bigcup_{n=1}^{\infty} \left(\bigcap_{i=n}^{\infty} E_i \right)$ means $\exists n \geq 1$ s.t. $\forall i \geq n$, $x \in E_i$.

Theorem 3.0.1 (The first Borel-Cantelli Lemma). Let $(S, \mathbb{P})$ be a probability space, and let $E_1, E_2, \dots$ be a sequence of events. If $\sum_{n=1}^{\infty} \mathbb{P}(E_n) < \infty$, then $\mathbb{P}(\limsup_{n \rightarrow \infty} E_n) = 0$.

Proof.

$$0 \leq \mathbb{P}\left(\limsup_{n \rightarrow \infty} E_n\right) = \mathbb{P}\left(\lim_{n \rightarrow \infty} \bigcup_{i=n}^{\infty} E_i\right) = \lim_{n \rightarrow \infty} \mathbb{P}\left(\bigcup_{i=n}^{\infty} E_i\right) \leq \lim_{n \rightarrow \infty} \sum_{i=n}^{\infty} \mathbb{P}(E_i) = 0$$

since $\sum_{n=1}^{\infty} \mathbb{P}(E_n) < \infty$.

■

Lecture 6

Example 3.0.1. Now the restaurant runs a promotion. If the customer toss a lucky coin and gets 8 heads in a row, then he/she can eat for free, then

$$\mathbb{P}(\text{customer } i \text{ eat for free}) = \frac{1}{2^8}.$$

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Now the i -th customer gets free food if they toss i heads in a row, and suppose

$$E_i = \{i\text{-th customer gets free food}\},$$

then $\mathbb{P}(E_i) = \frac{1}{2^i}$. Thus,

$$\sum_{i=1}^{\infty} \mathbb{P}(E_i) = \sum_{i=1}^{\infty} \frac{1}{2^i} = 1 < \infty.$$

Thus, $\mathbb{P}(\limsup_{n \rightarrow \infty} E_n) = 0$. This means almost certainly, only finitely many customers get free food.

Example 3.0.2. There are four coins, which we toss n times. Let H_n be the number of heads. Let E_n be the events that

$$H_n > \left(\frac{1}{2} + \varepsilon\right)n, \text{ for some } \varepsilon > 0.$$

We know $S = \{H, T\}^n$ and

$$\begin{aligned} E_n &\subseteq S = \left\{w \in \{H, T\}^n : w \text{ has } \geq \left(\frac{1}{2} + \varepsilon\right)n \text{ heads}\right\} \\ &= \bigcup_{r=\left(\frac{1}{2}+\varepsilon\right)n} F_r, \text{ where } F_r = \{w : w \text{ has exactly } r \text{ heads}\}, \end{aligned}$$

so

$$\mathbb{P}(E_n) = \sum_{r=\left(\frac{1}{2}+\varepsilon\right)n} \mathbb{P}(F_r).$$

Note that

$$\mathbb{P}(F_r) = \frac{|F_r|}{|S_n|},$$

where $|S_n| = 2^n$ and $|F_r| = \binom{n}{r}$. Thus,

$$\mathbb{P}(F_r) = \frac{\binom{n}{r}}{2^n},$$

and thus

$$\mathbb{P}(E_n) = \sum_{r=\left(\frac{1}{2}+\varepsilon\right)n} \frac{\binom{n}{r}}{2^n} = 2^{-n} \sum_{r=\left(\frac{1}{2}+\varepsilon\right)n}^n \binom{n}{r}.$$

Definition 3.0.4 (The binary entropy function). $H(x) = -x \log_2 x - (1-x) \log_2 (1-x)$ for $0 \leq x \leq 1$.

We use the fact that for $\varepsilon > 0$,

$$\sum_{r=\left(\frac{1}{2}+\varepsilon\right)n}^n \binom{n}{r} \approx 2^{H\left(\frac{1}{2}+\varepsilon\right)n} \text{ and } H(x) \leq 1 \text{ with equality only when } x = \frac{1}{2}.$$

Thus, we can let $H\left(\frac{1}{2} + \varepsilon\right) = 1 - \delta$ where $\delta > 0$, then

$$\mathbb{P}(E_n) \lesssim 2^{-n} 2^{(1-\delta)n} = 2^{-\delta n},$$

so

$$\sum_{n=1}^{\infty} \mathbb{P}(E_n) \lesssim \sum_{n=1}^{\infty} 2^{-\delta n} < \infty \text{ since } 2^{-\delta} < 1.$$

Thus, by First Borel-Cantelli lemma, $\mathbb{P}(\limsup_{n \rightarrow \infty} E_n) = 0$, i.e.

$$\mathbb{P}\left(\exists N \text{ s.t. } \forall n \geq N, \text{ number of heads} < \left(\frac{1}{2} + \varepsilon\right)n\right) = 1.$$

Let

$$h_n = \frac{\text{number of heads in } n \text{ tosses}}{n},$$

we showed that for any $\varepsilon > 0$ with probability 1, there is some N s.t. if $n \geq N$, then $h_n \leq \frac{1}{2} + \varepsilon$, so

$$\limsup_{n \rightarrow \infty} h_n \leq \frac{1}{2}.$$

By symmetry, we can show that for

$$t_n = \frac{\text{number of tails in } n \text{ tosses}}{n},$$

$\limsup_{n \rightarrow \infty} t_n \leq \frac{1}{2}$. Since $h_n + t_n = 1$, and $\limsup_{n \rightarrow \infty} t_n \leq \frac{1}{2}$ gives $\liminf_{n \rightarrow \infty} h_n \geq \frac{1}{2}$, so $\lim_{n \rightarrow \infty} h_n = \frac{1}{2}$.

Chapter 4

Conditional Probabilities and Independence

Definition 4.0.1. Let $(S, \mathbb{P})$ be a probability space, and let $F \subseteq S$ be an event with $\mathbb{P}(F) > 0$. The conditional probability of an event E given F is

$$\mathbb{P}(E \mid F) = \frac{\mathbb{P}(E \cap F)}{\mathbb{P}(F)}.$$

Proposition 4.0.1.

- (1) $0 \leq \mathbb{P}(E \mid F) \leq 1$ for every $E \subseteq S$.
- (2) $\mathbb{P}(F \mid F) = 1$.
- (3) If E and F are disjoint, i.e. $E \cap F = \emptyset$, then

$$\mathbb{P}(E \mid F) = \frac{\mathbb{P}(\emptyset)}{\mathbb{P}(F)} = 0.$$

- (4) $\mathbb{P}(E \cap F) = \mathbb{P}(E \mid F)\mathbb{P}(F)$.
- (5) If $E_1, E_2, E_3, \dots$ are mutually exclusive, then

$$\mathbb{P}\left(\bigcup_{i=1}^{\infty} E_i \mid F\right) = \sum_{i=1}^{\infty} \mathbb{P}(E_i \mid F).$$

Corollary 4.0.1. $(S, \mathbb{P}(\cdot \mid F))$ is also a probability space, where:

- $0 \leq \mathbb{P}(E \mid F) \leq 1$.
- $\mathbb{P}(S \mid F) = 1$.
- Countable additivity.

Example 4.0.1. n people at n party, each with their own hat. At the end, every one gets a random hat. What is the probability that exactly r people get their own hats?

Proof. Let $E_r = \{\text{exactly } r \text{ people get their own hats}\}$. Then, $E_r = \bigcup_{\substack{R \subseteq [n] \\ |R|=r}} E_R$, where

$$E_R = \{\text{people in } R \text{ get their own hats and people not in } R \text{ not}\}.$$

Thus,

$$\mathbb{P}(E_r) = \mathbb{P}\left(\bigcup_{\substack{R \subseteq [n] \\ |R|=r}} E_R\right) = \sum_{\substack{R \subseteq [n] \\ |R|=r}} \mathbb{P}(E_R).$$

By symmetry, E_R has the same probability for every R . Thus,

$$\mathbb{P}(E_r) = \binom{n}{r} \mathbb{P}(E_{\{n-r+1, n-r+2, \dots, n\}}).$$

Note that

$$E_{\{n-r+1, \dots, n\}} = \underbrace{\{\text{people in } n-r+1, \dots, n \text{ get their hats}\}}_F \cap \underbrace{\{\text{nobody in } 1, \dots, n-r \text{ get their hats}\}}_E.$$

Thus, $\mathbb{P}(E \cap F) = \mathbb{P}(E \mid F)\mathbb{P}(F)$, where

$$\mathbb{P}(F) = \frac{|F|}{|S_n|} = \frac{(n-r)!}{n!}$$

and

$$\mathbb{P}(E \mid F) = \mathbb{P}(\text{dearrangement of } n-r \text{ hats}) = \sum_{k=0}^{n-r} \frac{(-1)^k}{k!}$$

by our previous argument, so

$$\mathbb{P}(E \cap F) = \frac{(n-r)!}{n!} \sum_{k=0}^{n-r} \frac{(-1)^k}{k!}.$$

⊛

4.1 The Law of Total Probability

Definition 4.1.1. Given a set S , we say $E_1, E_2, \dots, E_n$ partition S if

$$E_1 \cup E_2 \cup \dots \cup E_n = S.$$

Theorem 4.1.1 (Law of Total Probability). Let $(S, \mathbb{P})$ be a probability space, and let $S = F_1 \cup F_2 \cup \dots \cup F_n$ be a partition, then for any event E ,

$$\mathbb{P}(E) = \sum_{i=1}^n \mathbb{P}(E \mid F_i)\mathbb{P}(F_i).$$

Proof.

$$E = E \cap S = E \cap \left(\bigcup_{i=1}^n F_i\right) = \bigcup_{i=1}^n (E \cap F_i),$$

so

$$\mathbb{P}(E) = \sum_{i=1}^n \mathbb{P}(E \cap F_i) = \sum_{i=1}^n \mathbb{P}(E \mid F_i)\mathbb{P}(F_i).$$

■

Lecture 7

17 March.

Example 4.1.1. A professor is grading homework while watching Man City vs Real Madrid. If Real Madrid win, professor is happy, and students pass with probability 80%. If they don't, professor is sad, and students pass with probability 50%. Now we know Real Madrid win with probability 67%. What is the probability that a student will pass?

Proof. Let

$$S = \left\{ (x, y) : x = \begin{cases} 1, & \text{if Madrid win;} \\ 0, & \text{otherwise.} \end{cases}, y = \begin{cases} 1, & \text{if student passes;} \\ 0, & \text{otherwise.} \end{cases} \right\},$$

Let $F_1 = \{\text{Real Madrid win}\}$, $F_2 = \{\text{Real Madrid lose}\}$, then $S = F_1 \cup F_2$. Now let $E = \{\text{student passes}\}$, then since we know

$$\mathbb{P}(F_1) = 0.67, \mathbb{P}(F_2) = 0.33, \mathbb{P}(E | F_1) = 0.8, \mathbb{P}(E | F_2) = 0.5,$$

then

$$\mathbb{P}(E) = \mathbb{P}(E | F_1)\mathbb{P}(F_1) + \mathbb{P}(E | F_2)\mathbb{P}(F_2) = 0.70.$$

⊛

Theorem 4.1.2 (Bayes' Rule). Let $(S, \mathbb{P})$ be a probability space, and suppose we have partition $S = F_1 \cup F_2 \cup \dots \cup F_n$, and an event $E \subseteq S$, then for any $1 \leq i \leq n$,

$$\mathbb{P}(F_i | E) = \frac{\mathbb{P}(E | F_i)\mathbb{P}(F_i)}{\sum_{j=1}^n \mathbb{P}(E | F_j)\mathbb{P}(F_j)}.$$

Proof.

$$\mathbb{P}(F_i | E) = \frac{\mathbb{P}(F_i \cap E)}{\mathbb{P}(E)} = \frac{\mathbb{P}(E \cap F_i)}{\mathbb{P}(E)} = \frac{\mathbb{P}(E | F_i)\mathbb{P}(F_i)}{\mathbb{P}(E)} = \frac{\mathbb{P}(E | F_i)\mathbb{P}(F_i)}{\sum_{j=1}^n \mathbb{P}(E | F_j)\mathbb{P}(F_j)}.$$

■

Example 4.1.2. A student passes their homeworks. What's the probability that Real Madrid won?

Proof.

$$\mathbb{P}(F_1 | E) = \frac{\mathbb{P}(E | F_1)\mathbb{P}(F_1)}{\mathbb{P}(E | F_1)\mathbb{P}(F_1) + \mathbb{P}(E | F_2)\mathbb{P}(F_2)} \approx 0.76.$$

⊛

Example 4.1.3. 1% of the population has COVID. A rapid test is 95% accurate. A random person tests positive for COVID. What is the probability they actually have COVID?

Proof. Let $E = \{\text{have COVID}\}$ and $F = \{\text{test positive}\}$. We want to calculate $\mathbb{P}(E | F)$. We know $\mathbb{P}(F | E) = 0.95$ and $\mathbb{P}(E) = 0.01$, and since $S = E \cup E^C$, so

$$\mathbb{P}(E | F) = \frac{\mathbb{P}(F | E)\mathbb{P}(E)}{\mathbb{P}(F | E)\mathbb{P}(E) + \mathbb{P}(F | E^C)\mathbb{P}(E^C)}.$$

Note that $\mathbb{P}(F | E^C) = 0.05$. Thus,

$$\mathbb{P}(E | F) \approx 0.16.$$

⊛

Remark 4.1.1. The definition of accuracy of the rapid test is "Given a random person, the probability of the rapid test giving the correct result."

Example 4.1.4. City has 3000000 populations, and the DNA test is 99.99% accurate. If we take a random person and get a match, what is the probability it was their DNA?

Proof. Let $E = \{\text{have a right person}\}$, and $F = \{\text{test gives a match}\}$. We want to calculate $\mathbb{P}(E | F)$. Note that $\mathbb{P}(E) = \frac{1}{3000000}$ and $\mathbb{P}(F | E) = 0.9999$, and $\mathbb{P}(F | E^C) = 0.0001$. Hence,

$$\mathbb{P}(E | F) = \frac{\mathbb{P}(F | E)\mathbb{P}(E)}{\mathbb{P}(F | E)\mathbb{P}(E) + \mathbb{P}(F | E^C)\mathbb{P}(E^C)} = \frac{0.9999 \times \frac{1}{3000000}}{0.9999 \times \frac{1}{3000000} + 0.0001 \times \frac{2999999}{3000000}} \approx 0.$$

⊛

4.2 Independence

Definition 4.2.1. Given a probability space $(S, \mathbb{P})$, we say two events are independent if

$$\mathbb{P}(E \cap F) = \mathbb{P}(E)\mathbb{P}(F).$$

Example 4.2.1. Roll two fair die. Let $E = \{\text{first roll is odd}\}$ and $F = \{\text{second roll is even}\}$. In this case

$$S = \{(x, y) : x, y \in [6]\}$$

and $\mathbb{P}$ is uniform probability, then

$$E = \{(x, y) \mid x \in \{1, 3, 5\}, y \in [6]\}, F = \{(x, y) \mid x \in [6], y \in \{2, 4, 6\}\}.$$

Hence, $|S| = 36$, $|E| = 18$, and $|F| = 18$. This gives $\mathbb{P}(E) = \mathbb{P}(F) = \frac{1}{2}$. Note that

$$E \cap F = \{(x, y) \mid x \in \{1, 3, 5\}, y \in \{2, 4, 6\}\},$$

so

$$\mathbb{P}(E \cap F) = \frac{1}{4} = \mathbb{P}(E)\mathbb{P}(F),$$

which means E and F are independent.

Proposition 4.2.1.

- (1) If E, F are disjoint, then they are independent. $\Leftrightarrow \mathbb{P}(E) = 0$ or $\mathbb{P}(F) = 0$.
- (2) If $E \subseteq F$, and they are independent, then $\mathbb{P}(E) = 0$ or $\mathbb{P}(F) = 1$.

Proof.

- (1) $0 = \mathbb{P}(E \cap F) = \mathbb{P}(E)\mathbb{P}(F)$ if and only if $\mathbb{P}(E) = 0$ or $\mathbb{P}(F) = 0$.
- (2) $\mathbb{P}(E) = \mathbb{P}(E \cap F) = \mathbb{P}(E)\mathbb{P}(F)$, so $\mathbb{P}(E) = 0$ or $\mathbb{P}(F) = 1$.

■

Proposition 4.2.2. If E and F are independent, then so are E and F^C .

Proof.

$$\mathbb{P}(E) = \mathbb{P}(E \cap S) = \mathbb{P}(E \cap (F \cup F^C)) = \mathbb{P}((E \cap F) \cup (E \cap F^C)) = \mathbb{P}(E \cap F) + \mathbb{P}(E \cap F^C).$$

Hence,

$$\mathbb{P}(E \cap F^C) = \mathbb{P}(E) - \mathbb{P}(E \cap F) = \mathbb{P}(E) - \mathbb{P}(E)\mathbb{P}(F) = \mathbb{P}(E)(1 - \mathbb{P}(F)) = \mathbb{P}(E)\mathbb{P}(F^C).$$

Corollary 4.2.1. If E, F are independent, then E, F^C are independent, so E^C, F^C are independent, so E^C, F are independent.

Example 4.2.2. Now we roll two fair die. We can define $E = \{\text{first roll is odd}\}$ and $\mathbb{P}(E) = \frac{1}{2}$, while $F = \{\text{second roll is even}\}$ and $\mathbb{P}(F) = \frac{1}{2}$. Also, define $G = \{\text{sum is even}\}$, and we have $\mathbb{P}(G) = \frac{1}{2}$ since $|E| = 6 \times 3$ where it means for the first die we can roll any number, and the second die has 3 options.

Claim 4.2.1. E, G are independent.

Proof.

$$E \cap G = \{(x, y) : x \in \{1, 3, 5\}, y \in \{1, 3, 5\}\},$$

so $|E \cap G| = 9$ and thus

$$\mathbb{P}(E \cap G) = \frac{9}{36} = \frac{1}{4} = \mathbb{P}(E)\mathbb{P}(G).$$

This shows E and G are independent. ⊗

Similarly, F, G are independent. However,

$$0 = \mathbb{P}(E \cap F \cap G) \neq \mathbb{P}(E)\mathbb{P}(F)\mathbb{P}(G).$$

Definition 4.2.2. Given a sequence of events $E_1, E_2, \dots$ in a probability space $(S, \mathbb{P})$. We say they are (mutually) independent if for any finite set $I \subseteq \mathbb{N}$,

$$\mathbb{P}\left(\bigcap_{i \in I} E_i\right) = \prod_{i \in I} \mathbb{P}(E_i).$$

Example 4.2.3. $\{E_1, E_2, E_3\}$ are independent if

$$\begin{aligned}\mathbb{P}(E_i) &= \mathbb{P}(E_i) \\ \mathbb{P}(E_i \cap E_j) &= \mathbb{P}(E_i)\mathbb{P}(E_j) \\ \mathbb{P}(E_1 \cap E_2 \cap E_3) &= \mathbb{P}(E_1)\mathbb{P}(E_2)\mathbb{P}(E_3).\end{aligned}$$

Remark 4.2.1. Pairwise independence means any pair E_i, E_j are independent, which is different from mutually independence.

Example 4.2.4. Let $E_1, E_2, \dots, E_n$ be mutually independent, then

$$\begin{aligned}\mathbb{P}(E_1 \cup \dots \cup E_n) &= \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \mathbb{P}\left(\bigcap_{i \in I} E_i\right) = \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \prod_{i \in I} \mathbb{P}(E_i) \\ &= - \sum_{\emptyset \neq I \subseteq [n]} \prod_{i \in I} (-\mathbb{P}(E_i)) = 1 - \sum_{I \subseteq [n]} \prod_{i \in I} (-\mathbb{P}(E_i)) = 1 - \prod_{i=1}^n (1 - \mathbb{P}(E_i)).\end{aligned}$$

An alternative proof is by de Morgan's Law:

$$\left(\bigcup_{i=1}^n E_i\right)^C = \bigcap_{i=1}^n E_i^C.$$

Hence,

$$\mathbb{P}\left(\bigcup_{i=1}^n E_i\right) = 1 - \mathbb{P}\left(\bigcap_{i=1}^n E_i^C\right) = 1 - \prod_{i=1}^n \mathbb{P}(E_i^C) = 1 - \prod_{i=1}^n (1 - \mathbb{P}(E_i)).$$

Lecture 8

Example 4.2.5. If $\mathbb{P}(\text{sunny}) = 0.8$, $\mathbb{P}(\text{swim} \mid \text{sunny}) = 0.7$, $\mathbb{P}(\text{swim} \mid \text{not sunny}) = 0.3$, and $\mathbb{P}(\text{shark bite} \mid \text{swim}) = 0.5$ and $\mathbb{P}(\text{shark bite} \mid \text{not swim}) = 0.01$, then $\mathbb{P}(\text{shark bite}) = ?$

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Proof. By the law of total probability,

$$\begin{aligned}\mathbb{P}(\text{shark bite}) &= \mathbb{P}(\text{shark bite} \mid \text{swim})\mathbb{P}(\text{swim}) + \mathbb{P}(\text{shark bite} \mid \text{not swim})\mathbb{P}(\text{not swim}) \\ &= 0.5\mathbb{P}(\text{swim}) + 0.01(1 - \mathbb{P}(\text{swim})) = 0.49\mathbb{P}(\text{swim}) + 0.01.\end{aligned}$$

By the law of total probability again,

$$\begin{aligned}\mathbb{P}(\text{swim}) &= \mathbb{P}(\text{swim} \mid \text{sunny})\mathbb{P}(\text{sunny}) + \mathbb{P}(\text{swim} \mid \text{not sunny})\mathbb{P}(\text{not sunny}) \\ &= 0.7 \times 0.8 + 0.3 \times (1 - 0.8) = 0.62.\end{aligned}$$

Hence, $\mathbb{P}(\text{shark bite}) = 0.49 \times 0.62 + 0.01 = 0.3138$. *

Question. Given that one get bitten by a shark, what's the probability it was sunny?

Answer.

$$\begin{aligned}\mathbb{P}(\text{bite} \mid \text{sunny}) &= \mathbb{P}(\text{bite} \mid \text{swim, sunny})\mathbb{P}(\text{swim} \mid \text{sunny}) + \mathbb{P}(\text{bite} \mid \text{not swim, sunny})\mathbb{P}(\text{not swim} \mid \text{sunny}) \\ &= \mathbb{P}(\text{bite} \mid \text{swim})\mathbb{P}(\text{swim} \mid \text{sunny}) + \mathbb{P}(\text{bite} \mid \text{not swim})\mathbb{P}(\text{not swim} \mid \text{sunny}) \\ &= 0.5 \times 0.7 + 0.01 \times (1 - 0.7) = 0.353.\end{aligned}$$

Hence,

$$\mathbb{P}(\text{sunny} \mid \text{bite}) = \frac{\mathbb{P}(\text{sunny} \cap \text{bite})}{\mathbb{P}(\text{bite})} = \frac{\mathbb{P}(\text{bite} \mid \text{sunny}) \cdot \mathbb{P}(\text{sunny})}{\mathbb{P}(\text{bite})} = \frac{0.353 \times 0.8}{0.3138} \approx 0.899. \quad *$$

Example 4.2.6 (Monty hall problem). Three doors, two have goats, one have car, if the contestant choose a door, then the host, who knows where is the car, open a door to reveal a goat, then should the contestant switch?

Proof. Let $F_1 = \{\text{initial choice is car}\}$ and $F_2 = \{\text{initial choice is goat}\}$. Then $\mathbb{P}(F_1) = \frac{1}{3}$ and $\mathbb{P}(F_2) = \frac{2}{3}$. Now let $E = \{\text{wins the car if he switches}\}$ and $E' = \{\text{wins the car if he does not switch}\}$, then by the law of total probability,

$$\begin{aligned}\mathbb{P}(E') &= \mathbb{P}(E' \mid F_1)\mathbb{P}(F_1) + \mathbb{P}(E' \mid F_2)\mathbb{P}(F_2) \\ &= 1 \cdot \frac{1}{3} + 0 \cdot \frac{2}{3} = \frac{1}{3}.\end{aligned}$$

Also,

$$\begin{aligned}\mathbb{P}(E) &= \mathbb{P}(E \mid F_1)\mathbb{P}(F_1) + \mathbb{P}(E \mid F_2)\mathbb{P}(F_2) \\ &= 0 \cdot \frac{1}{3} + 1 \cdot \frac{2}{3} = \frac{2}{3}.\end{aligned}$$

Hence, switching is a better choice. *

Example 4.2.7 (Gambler's Ruin). A gambler goes to a casino with \$67. They need \$100 to pay debts. They play a game where you win \$1 with probability $\frac{1}{2}$ and you lose \$1 with probability $\frac{1}{2}$. As soon as they have \$100, they quit and are happy. But if they reach \$0, they have to stop and will die. What is the probability of being happy?

Proof. Given $0 \leq n \leq 100$, let

$$p_n = \mathbb{P}(\text{happy} \mid \text{start with } \$n).$$

Hence, $p_{100} = 1$ and $p_0 = 0$. Now we want to calculate p_{67} . Consider the first move, and apply the law of total probability, we have

$$p_{67} = p_{68} \times \frac{1}{2} + p_{66} \times \frac{1}{2}.$$

In fact,

$$\begin{aligned} p_{67} &= \mathbb{P}(\text{happy} \mid \text{start at 67 and win first round})\mathbb{P}(\text{start at 67 and win first round}) \\ &\quad + \mathbb{P}(\text{happy} \mid \text{start at 67 and lose first round})\mathbb{P}(\text{start at 67 and lose first round}) \end{aligned}$$

and by the independence of the rounds, the probability of happiness only depends on how much money we have, not on how we get there. By the same reasoning, for any $1 \leq n \leq 99$,

$$p_n = \frac{1}{2}p_{n+1} + \frac{1}{2}p_{n-1}.$$

Note that

$$p_1 = \frac{1}{2}p_2 + \frac{1}{2}p_0 = \frac{1}{2}p_2,$$

and

$$p_2 = \frac{1}{2}p_3 + \frac{1}{2}p_1 = \frac{1}{2}p_3 + \frac{1}{4}p_2,$$

so $p_2 = \frac{2}{5}p_3$. We can do induction on n to show

$$p_n = \frac{n}{n+1}p_{n+1} \text{ for } 1 \leq n \leq 99.$$

Hence,

$$p_n = \frac{n}{n+1}p_{n+1} = \frac{n}{n+1} \frac{n+1}{n+2}p_{n+2} = \frac{n}{n+2}p_{n+2} = \cdots = \frac{n}{n'}p_{n'}.$$

Hence,

$$p_n = \frac{n}{100}p_{100} = \frac{n}{100}.$$

⊛

4.3 Second Borel-Cantelli Lemma

Recall that if $E_1, E_2, \dots$ is a countably infinite sequence of events in $(S, \mathbb{P})$, then

$$\limsup_{n \rightarrow \infty} E_n = \bigcap_{i=1}^{\infty} \left(\bigcup_{i=n}^{\infty} E_i \right),$$

while the first Borel-Cantelli lemma states that

$$\sum_{n=1}^{\infty} \mathbb{P}(E_n) < \infty \Rightarrow \mathbb{P}(\limsup_{n \rightarrow \infty} E_n) = 0.$$

Theorem 4.3.1 (Second Borel-Cantelli Lemma). Let $(S, \mathbb{P})$ be a probability space, and let $E_1, E_2, \dots$ be a countably infinite sequence of **mutually independent** events. Then, if $\sum_{n=1}^{\infty} \mathbb{P}(E_n) = \infty$, then

$$\mathbb{P}(\limsup_{n \rightarrow \infty} E_n) = 1.$$

Proof.

$$\begin{aligned} \mathbb{P}(\limsup_{n \rightarrow \infty} E_n) &= \mathbb{P}\left(\lim_{n \rightarrow \infty} \left(\bigcup_{i=n}^{\infty} E_i\right)\right) = \lim_{n \rightarrow \infty} \mathbb{P}\left(\bigcup_{i=n}^{\infty} E_i\right) \\ &= \lim_{n \rightarrow \infty} 1 - \mathbb{P}\left(\bigcup_{i=n}^{\infty} E_i\right)^C = 1 - \lim_{n \rightarrow \infty} \mathbb{P}\left(\bigcap_{i=n}^{\infty} E_i^C\right) \\ &= 1 - \lim_{n \rightarrow \infty} \prod_{i=n}^{\infty} \mathbb{P}(E_i^C) = 1 - \lim_{n \rightarrow \infty} \prod_{i=n}^{\infty} (1 - \mathbb{P}(E_i)) = 1. \end{aligned}$$

Since the convergence test for infinite product states that

$$\sum_{i=n}^{\infty} \mathbb{P}(E_i) = \infty \Rightarrow \prod_{i=n}^{\infty} (1 - \mathbb{P}(E_i)) = 0.$$

■

Remark 4.3.1. The convergence test for infinite product states that for any sequence $(p_i)_{i=1}^{\infty}$ with $0 \leq p_i \leq 1$ for all $i \in \mathbb{N}$, for any $n \in \mathbb{N}$,

$$\sum_{i=n}^{\infty} p_i = \infty \Rightarrow \prod_{i=n}^{\infty} (1 - p_i) = 0.$$

We can prove this by an inequality:

$$\log(1 - x) \leq -x \text{ for all } 0 \leq x < 1.$$

Thus,

$$\sum_{i=n}^N \log(1 - p_i) \leq -\sum_{i=n}^N p_i \Rightarrow \log\left(\prod_{i=n}^N (1 - p_i)\right) \leq -\sum_{i=n}^N p_i$$

for all $N \geq n$. Hence, if we have $\sum_{i=n}^{\infty} p_i = \infty$, then $-\sum_{i=n}^{\infty} p_i = -\infty$. This shows

$$\log\left(\prod_{i=n}^{\infty} (1 - p_i)\right) = -\infty,$$

so

$$\prod_{i=n}^{\infty} (1 - p_i) = 0.$$

Chapter 5

Discrete Random Variables

Definition 5.0.1. Given a probability space $(S, \mathbb{P})$, a random variable is a function $X : S \rightarrow \mathbb{R}$. We say it is discrete if it only takes countably many values. The random variable determines a (usually simpler) probability space on the set of values it takes, $X(S)$. For any $x \in \mathbb{R}$,

$$\{X = x\} = \{w \in S : X(w) = x\} \subseteq S.$$

If X is discrete, let $x_1, x_2, \dots$ be the values it takes. Then,

$$S = \bigcup_{i=1}^{\infty} \{X = x_i\},$$

and we can define a distribution

$$p(x_i) = \mathbb{P}(X = x_i) = \mathbb{P}(\{w \in S : X(w) = x_i\}).$$

This defines a new probability space $(\{x_1, x_2, \dots\}, p)$, where p is called the probability mass function of X .

Example 5.0.1. Multiple choices test:

- 5 questions, each with 4 options, one of which is correct.
- You choose a uniform, random answer for each question independently.
- X = number of correct answers.

What is $p(k)$ for $0 \leq k \leq 5$?

Proof. Since our choices are uniformly random,

$$\begin{aligned} p(k) &= \mathbb{P}(\{k \text{ answers correct}\}) = \frac{\#\{\text{choices with exactly } k \text{ correct}\}}{\#\{\text{choices}\}} \\ &= \frac{\#\{\text{choices with } k \text{ correct}\}}{4^5} = \frac{\binom{5}{k} 3^{5-k}}{4^5} = \binom{5}{k} \left(\frac{1}{4}\right)^k \left(\frac{3}{4}\right)^{5-k}. \end{aligned}$$

Alternatively,

$$\begin{aligned} \mathbb{P}(\text{getting exact } k \text{ right}) &= \mathbb{P}\left(\bigcup_{\substack{R \subseteq [5] \\ |R|=k}} \{\text{all answers in } R \text{ correct and all answer not in } R \text{ incorrect}\}\right) \\ &= \sum_{\substack{R \subseteq [5] \\ |R|=k}} \mathbb{P}(\{\text{all answers in } R \text{ correct and all answer not in } R \text{ incorrect}\}) \end{aligned}$$

If we let $E_i = \{\text{answer } i \text{ correct}\}$, then $\mathbb{P}(E_i) = \frac{1}{4}$ and $\mathbb{P}(E_i^C) = \frac{3}{4}$. Thus, we want to compute

$$\sum_{\substack{R \subseteq [5] \\ |R|=k}} \mathbb{P}\left(\left(\bigcap_{i \in R} E_i\right) \cap \left(\bigcap_{i \notin R} E_i^C\right)\right) = \sum_{\substack{R \subseteq [5] \\ |R|=k}} \prod_{i \in R} \mathbb{P}(E_i) \times \prod_{i \notin R} \mathbb{P}(E_i^C) = \binom{5}{k} \left(\frac{1}{4}\right)^k \left(\frac{3}{4}\right)^{5-k}.$$

⊛

Lecture 9

Example 5.0.2 (Coupon collector problem). Every purchase we make, we get a coupon, which is uniformly randomly chosen from one of n types, independent of all previous coupons. The goal is to complete a set: have at least one of every type of coupon. We can define a random variable T , which is the number of purchases before we have a full set. Then, what is the distribution of T ? i.e. for $k \in \mathbb{N}$, what is $p(k) = \mathbb{P}(T = k)$?

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Proof. Suppose

$$S = \{(s_1, s_2, \dots) : s_i \in [n] \text{ is the type of the } i\text{-th coupon}\}.$$

Then $\mathbb{P}(s_j = j) = \frac{1}{n}$ since coupons are uniform. By independence,

$$\mathbb{P}(\{s_i = j_i : 1 \leq i \leq k\}) = \frac{1}{n^k} \text{ for any } j_i \in [n].$$

Also,

$$T((s_1, s_2, \dots)) = \begin{cases} \min \{k : (s_1, \dots, s_k) \text{ contain all type form}\}, & \text{if such } k \text{ exists;} \\ -1, & \text{if such } k \text{ does not exist.} \end{cases}$$

Thus, $\mathbb{P}(T = k)$ for $k < n$ is 0 since we need at least n purchases to get n coupons. Now since the first n coupons are uniformly distributed over all possible sequences. Thus,

$$\begin{aligned} \# \text{ of possible sequences} &= n^n \text{ (product rule)} \\ \# \text{ of good sequences} &= n! \text{ (permutation of all types of coupon).} \end{aligned}$$

Thus,

$$\mathbb{P}(T = n) = \frac{n!}{n^n} \approx \left(\frac{1}{e}\right)^n.$$

Now we want to compute $\mathbb{P}(T = k)$ for $k > n$. We can first consider $\mathbb{P}(T > k)$. Let

$$E_i^{(k)} = \{\text{coupon } i \text{ missing from the first } k \text{ coupons}\}.$$

Then,

$$\{T > k\} := \bigcup_{i=1}^n E_i^{(k)}.$$

Note that for all i

$$\mathbb{P}(E_i^{(k)}) = \left(\frac{n-1}{n}\right)^k.$$

Question. Are $E_1^{(k)}, E_2^{(k)}, \dots, E_n^{(k)}$ independent?

Answer. Since $\mathbb{P}(E_i^{(k)}) = \left(\frac{n-1}{n}\right)^k$ for all i , so

$$\prod_{i=1}^n \mathbb{P}(E_i^{(k)}) = \left(\frac{n-1}{n}\right)^{kn},$$

but

$$\mathbb{P}\left(\bigcap_{i=1}^n \mathbb{P}(E_i^{(k)})\right) = 0,$$

so the answer is no. ⊗

By inclusion-exclusion principle,

$$\begin{aligned} \mathbb{P}\left(\bigcup_{i=1}^n E_i^{(k)}\right) &= \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \mathbb{P}\left(\bigcap_{i \in I} E_i^{(k)}\right) = \sum_{\emptyset \neq I \subseteq [n]} (-1)^{|I|+1} \left(\frac{n-|I|}{n}\right)^k \\ &= \sum_{r=1}^{n-1} \binom{n}{r} (-1)^{r+1} \left(\frac{n-r}{n}\right)^k. \end{aligned}$$

Thus,

$$\begin{aligned} \mathbb{P}(T = k) &= \mathbb{P}(T > k-1) - \mathbb{P}(T > k) \\ &= \sum_{r=1}^{n-1} \binom{n}{r} (-1)^{r+1} \left(\frac{n-r}{n}\right)^{k-1} - \sum_{r=1}^{n-1} \binom{n}{r} (-1)^{r+1} \left(\frac{n-r}{n}\right)^k \\ &= \sum_{r=1}^{n-1} \binom{n}{r} (-1)^{r+1} \left(\frac{n-r}{n}\right)^{k-1} \frac{r}{n}. \end{aligned}$$
⊗

Definition 5.0.2 (Expected value). Let $(S, \mathbb{P})$ be a probability space and let $X : S \rightarrow \mathbb{R}$ be a discrete random variable. Then the expected value of X

$$\mathbb{E}[X] = \sum_{x_i} x_i p(x_i) = \sum_{x_i} x_i \mathbb{P}(X = x_i).$$

Remark 5.0.1. Expected value is what we expect to see on average if we repeat the random experiment many times.

Suppose we repeat N times, and let n_i to be the number of times we see $X = x_i$, then the average value of X is

$$\frac{\sum_i x_i n_i}{N} = \sum_i x_i \frac{n_i}{N} \approx \sum_i x_i \mathbb{P}(X = x_i) \text{ when } N \rightarrow \infty.$$

Example 5.0.3. Two multiple choice questions, each with four options. If we choose answers uniformly at random, how many do we expect to get correct?

Proof. Let $X = \#$ of correct answers. Then,

x_i	$\mathbb{P}(X = x_i)$
0	$\left(\frac{3}{4}\right)^2$
1	$2 \left(\frac{1}{4}\right) \left(\frac{3}{4}\right)$
2	$\left(\frac{1}{4}\right)^2$

Thus,

$$\mathbb{E}[X] = \sum_i x_i \mathbb{P}(X = x_i) = 0 \cdot \frac{9}{16} + 1 \cdot \frac{6}{16} + 2 \cdot \frac{1}{16} = \frac{1}{3}.$$

⊛

Claim 5.0.1.

$$\mathbb{E}[X] = \sum_{s \in S} X(s) \mathbb{P}(\{s\})$$

Proof.

$$\begin{aligned} \mathbb{E}[X] &= \sum_{x_i} x_i \mathbb{P}(X = x_i) = \sum_{x_i} x_i \mathbb{P}(\{s : X(s) = x_i\}) \\ &= \sum_{x_i} x_i \mathbb{P}\left(\bigcup_{s: X(s)=x_i} \{s\}\right) = \sum_{x_i} x_i \sum_{\substack{s \in S \\ X(s)=x_i}} \mathbb{P}(\{s\}) = \sum_{s \in S} X(s) \mathbb{P}(\{s\}). \end{aligned}$$

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5.1 Expected value of functions of random variable

Let $(S, \mathbb{P})$ be a probability space. Let $X : S \rightarrow \mathbb{R}$ be a random variable. Let $g : \mathbb{R} \rightarrow \mathbb{R}$ be a function. Then, $g(X) = g \circ X : S \rightarrow \mathbb{R}$ is another random variable.

Claim 5.1.1.

$$\mathbb{E}[g(X)] = \sum_{x_i} g(x_i) \mathbb{P}(X = x_i).$$

Proof. By the earlier claim,

$$\begin{aligned} \mathbb{E}[g(X)] &= \sum_{s \in S} g(X(s)) \mathbb{P}(\{s\}) = \sum_{x_i} \sum_{\substack{s \in S \\ X(s)=x_i}} g(X(s)) \mathbb{P}(\{s\}) \\ &= \sum_{x_i} g(x_i) \sum_{\substack{s \in S \\ X(s)=x_i}} \mathbb{P}(\{s\}) = \sum_{x_i} g(x_i) \mathbb{P}(X = x_i). \end{aligned}$$

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Proposition 5.1.1. Let $X_1, X_2, \dots, X_n : S \rightarrow \mathbb{R}$ be random variables on a probability space and $\alpha_1, \alpha_2, \dots, \alpha_n \in \mathbb{R}$. Then if

$$X = \sum_{i=1}^n \alpha_i X_i : S \rightarrow \mathbb{R}, \text{ we have } \mathbb{E}[X] = \sum_{i=1}^n \alpha_i \mathbb{E}[X_i].$$

This is called linearity of expectation.

Proof. By earlier claim,

$$\begin{aligned}\mathbb{E}[X] &= \sum_{s \in S} X(s) \mathbb{P}(\{s\}) = \sum_{s \in S} \left(\sum_{i=1}^n \alpha_i X_i(s) \right) \mathbb{P}(\{s\}) \\ &= \sum_{s \in S} \sum_{i=1}^n \alpha_i X_i(s) \mathbb{P}(\{s\}) = \sum_{i=1}^n \alpha_i \sum_{s \in S} X_i(s) \mathbb{P}(\{s\}) \\ &= \sum_{i=1}^n \alpha_i \mathbb{E}[X_i].\end{aligned}$$

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Remark 5.1.1. We do not require any independence.

Definition 5.1.1. Random variables $X_1, X_2, \dots$ are independent if for any $x_1, x_2, \dots$, the events

$$E_i = \{X_i = x_i\} \text{ for all } i$$

are independent.

Example 5.1.1. Multiple choice: each question has k options, one of each which is correct. Suppose there are n questions in total. If we guess uniformly at random, independently, what is the expected score?

Answer. Let X be the number of correct numbers. Then X takes values in $[n] \cup \{0\}$. For each $0 \leq r \leq n$,

$$\mathbb{P}(X = r) = \binom{n}{r} \left(\frac{1}{k}\right)^r \left(\frac{k-1}{k}\right)^{n-r}.$$

Thus,

$$\mathbb{E}[X] = \sum_{x_i} x_i \mathbb{P}(X = x_i) = \sum_{r=0}^n r \mathbb{P}(X = r) = \sum_{r=1}^n r \binom{n}{r} \left(\frac{1}{k}\right)^r \left(\frac{k-1}{k}\right)^{n-r} = \frac{n}{k}.$$

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Answer. Let

$$X_i = \begin{cases} 1, & \text{if } i\text{-th question is correct;} \\ 0, & \text{if } i\text{-th question is not correct,} \end{cases}$$

which is the indicator random variable for the event of getting i -th question correct. Then,

$$\begin{aligned}\mathbb{E}[X_i] &= 0 \cdot \mathbb{P}(i\text{-th question is not correct}) + 1 \cdot \mathbb{P}(i\text{-th question is correct}) \\ &= 0 \cdot \frac{k-1}{k} + 1 \cdot \frac{1}{k} = \frac{1}{k}.\end{aligned}$$

Then, the number of correct answers is given by

$$X = \sum_{i=1}^n X_i.$$

By linearity of expectation,

$$\mathbb{E}[X] = \sum_{i=1}^n \mathbb{E}[X_i] = \frac{n}{k}.$$

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Question. Three investment opportunities:

1. Guaranteed to get \$1 after a year.
2. We get \$1000 with probability $\frac{1}{1000}$ and \$0 at probability 0.
3. Get $\$ \frac{2000}{999}$ with probability $\frac{999}{1000}$ and $\$ - 1000$ at probability $\frac{1}{1000}$.

Which should we choose?

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Let X_i be the random variable representing the earning of option i after a year. Then

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$$\mathbb{E}[X_1] = \$1 \cdot 1 = \$1.$$

$$\mathbb{E}[X_2] = \$1000 \cdot \frac{1}{1000} + \$0 \cdot \frac{999}{1000} = \$1.$$

$$\mathbb{E}[X_3] = \$ \frac{2000}{999} \cdot \frac{999}{1000} - \$1000 \cdot \frac{1}{1000} = \$1.$$

Thus, three options all have same expectation, which means expectation can not reflect all. Hence, we need variance, which can measure how far a random typically is from its expectation.

Definition 5.1.2 (Variance). Let X be a random variable on a probability space $(S, \mathbb{P})$, and let $\mu = \mathbb{E}[X]$. We define the variance to be

$$\text{Var}(X) = \mathbb{E}[(X - \mu)^2].$$

Thus,

$$\text{Var}(X_1) = \mathbb{E}[(X_1 - 1)^2] = (1 - 1)^2 \cdot 1 = 0$$

$$\text{Var}(X_2) = \mathbb{E}[(X_2 - 1)^2] = (1000 - 1)^2 \cdot \frac{1}{1000} + (0 - 1)^2 \cdot \frac{999}{1000} \approx 999.$$

$$\text{Var}(X_3) = \mathbb{E}[(X_3 - 1)^2] = \left(\frac{2000}{999} - 1 \right)^2 \cdot \frac{999}{1000} + (-1000 - 1)^2 \cdot \frac{1}{1000} \approx 1003.$$

Claim 5.1.2. For any random variable,

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2.$$

Proof.

$$\begin{aligned} \text{Var}(X) &= \mathbb{E}[(X - \mu)^2] = \mathbb{E}[X^2 - 2\mu X + \mu^2] \\ &= \mathbb{E}[X^2] - 2\mu \mathbb{E}[X] + \mu^2 \\ &= \mathbb{E}[X^2] - \mathbb{E}[X]^2 \end{aligned}$$

since $\mu = \mathbb{E}[X]$. *

Corollary 5.1.1. $\mathbb{E}[X^2] \geq \mathbb{E}[X]^2$.

Proof.

$$0 \leq \mathbb{E}[(X - \mu)^2] = \text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2. \quad \blacksquare$$

Remark 5.1.2. Sometimes it is easier to compute

$$\mathbb{E}[X(X-1)] = \mathbb{E}[X^2] - \mathbb{E}[X],$$

then

$$\text{Var}(X) = \mathbb{E}[X(X-1)] + \mathbb{E}[X] - \mathbb{E}[X]^2.$$

Definition 5.1.3. The standard deviation of a random variable X , denoted $\sigma(X)$, is

$$\sigma(X) = \sqrt{\text{Var}(X)}.$$

We sometimes denote the variance by $\sigma^2(X)$.

Proposition 5.1.2 (Markov's Inequality). Let $X \geq 0$ be a non-negative random variable on a probability space $(S, \mathbb{P})$, and let $a > 0$ be a positive real number. Then,

$$\mathbb{P}(X \geq a) \leq \frac{\mathbb{E}[X]}{a}.$$

Proof.

$$\begin{aligned} \mathbb{E}[X] &= \sum_x x\mathbb{P}(X=x) = \underbrace{\sum_{x:x < a} x\mathbb{P}(X=x)}_{\geq 0} + \sum_{x:x \geq a} x\mathbb{P}(X=x) \\ &\geq \sum_{x:x \geq a} a\mathbb{P}(X=x) = a \sum_{x:x \geq a} \mathbb{P}(X=x) = a\mathbb{P}(X \geq a). \end{aligned}$$

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Remark 5.1.3. Markov's inequality says that small expectation implies random variable is small with high probability, but Markov's inequality does not say if expectation is large, then random variable large with high probability. In fact, this is not always true: Consider

$$X_n = \begin{cases} n^2, & \text{with probability } \frac{1}{n}; \\ 0, & \text{with probability } 1 - \frac{1}{n}. \end{cases}$$

Then,

$$\mathbb{E}[X_n] = n^2 \cdot \frac{1}{n} = n \rightarrow \infty \text{ as } n \rightarrow \infty.$$

However,

$$\mathbb{P}(X_n \neq 0) = \frac{1}{n} \rightarrow 0 \text{ as } n \rightarrow \infty.$$

Theorem 5.1.1 (Chebyshev's inequality). Let X be a random variable with $\mu = \mathbb{E}[X]$ on a probability space $(S, \mathbb{P})$, and let $a > 0$ be a real number. Then,

$$\mathbb{P}(|X - \mu| \geq a) \leq \frac{\text{Var}(X)}{a^2}.$$

Proof. We can apply Markov's inequality to $Y = (X - \mu)^2 \geq 0$. Thus,

$$\mathbb{P}(Y \geq a^2) \leq \frac{\mathbb{E}[Y]}{a^2} = \frac{\mathbb{E}[(X - \mu)^2]}{a^2} = \frac{\text{Var}(X)}{a^2}.$$

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Remark 5.1.4. Chebyshev's inequality implies small variance implies X is close to its expectation with high probability.

Corollary 5.1.2. The probability that X is more than k standard deviation from its expectation is $\leq \frac{1}{k^2}$.

Proof.

$$\mathbb{P}(|X - \mu| \geq k\sigma(X)) \leq \frac{\text{Var}(X)}{(k\sigma(X))^2} = \frac{\text{Var}(X)}{k^2\sigma^2(X)} = \frac{1}{k^2}.$$

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Observation. Let X be a random variable, $a, b \in \mathbb{R}$. Then,

$$\mathbb{E}[aX + b] = a\mathbb{E}[X] + b$$

by linearity, and

$$\begin{aligned} \text{Var}(aX + b) &= \mathbb{E}[(aX + b) - \mathbb{E}[aX + b]]^2 = \mathbb{E}[(aX + b) - (a\mathbb{E}[X] + b)]^2 \\ &= \mathbb{E}[a^2(X - \mathbb{E}[X])^2] = a^2\mathbb{E}[(X - \mathbb{E}[X])^2] = a^2\text{Var}(X). \end{aligned}$$

5.2 Discrete Distribution

5.2.1 Bernoulli distribution

Definition 5.2.1 (Bernoulli distribution). If $X \sim \text{Ber}(p)$, i.e. X has the $\text{Ber}(p)$ distribution, then

$$X = \begin{cases} 1, & \text{with probability } p; \\ 0, & \text{with probability } 1 - p. \end{cases}$$

Then,

$$\mathbb{E}[X] = 1 \cdot p + 0 \cdot (1 - p) = p$$

and

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2 = \mathbb{E}[X] - \mathbb{E}[X]^2 = p - p^2 = p(1 - p).$$

5.2.2 Binomial distribution

Definition 5.2.2 (Binomial distribution). If we run n independent trials of a random experiment of which succeeds with probability p . We count the number of successes, where the possible values are $0, 1, 2, \dots, n-1, n$. Thus, we can define $\text{Bin}(n, p)$, $n \in \mathbb{N}$, $0 \leq p \leq 1$ to be the number of successes in the random experiment.

Example 5.2.1.

- # of heads in n coin tosses.
- # of odd rolls in n rolls of a die.
- # of errors when replicating DNA.
- # of supporters of a particular party in a poll.

The probability mass function of $\text{Bin}(n, p)$ is

$$\mathbb{P}(X = k) = \binom{n}{k} p^k (1 - p)^{n-k}.$$

Hence,

$$\mathbb{E}[X] = \sum_{k=0}^n k \cdot \mathbb{P}(X = k) = \sum_{k=0}^n k \binom{n}{k} p^k (1-p)^{n-k}.$$

Alternatively,

$$X = \sum_{i=1}^n X_i, \text{ where } X_i = \begin{cases} 1, & \text{if } i\text{-th trial is successful;} \\ 0, & \text{if not,} \end{cases}$$

and each $X_i \sim \text{Ber}(p)$. Thus,

$$\mathbb{E}[X] = \mathbb{E}\left[\sum_{i=1}^n X_i\right] = \sum_{i=1}^n \mathbb{E}[X_i] = \sum_{i=1}^n p = np.$$

Recall the Binomial Theorem

$$(x+y)^n = \sum_{k=0}^n \binom{n}{k} x^k y^{n-k}.$$

Thus,

$$n(x+y)^{n-1} = \frac{d}{dx}(x+y)^n = \frac{d}{dx} \left[\sum_{k=0}^n \binom{n}{k} x^k y^{n-k} \right] = \sum_{k=0}^n k \binom{n}{k} x^{k-1} y^{n-k}.$$

Multiplying x on both sides, then

$$nx(x+y)^{n-1} = \sum_{k=0}^n k \binom{n}{k} x^k y^{n-k}.$$

Now substituting $x = p$ and $y = 1 - p$, then

$$np = np(p + (1-p))^{n-1} = \sum_{k=0}^n k \binom{n}{k} p^k (1-p)^{n-k} = \mathbb{E}[X].$$

Now we compute $\text{Var}(X)$. Note that

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2$$

and

$$\mathbb{E}[X^2] = \sum_{k=0}^n k^2 \binom{n}{k} p^k (1-p)^{n-k}.$$

Differentiable with respect to x , then we have

$$\frac{d}{dx} [nx(x+y)^{n-1}] = \frac{d}{dx} \left[\sum_{k=0}^n k \binom{n}{k} x^k y^{n-k} \right].$$

Hence,

$$n(x+y)^{n-1} + n(n-1)x(x+y)^{n-2} = \sum_{k=0}^n k^2 \binom{n}{k} x^{k-1} y^{n-k}.$$

Multiplying by x , we have

$$nx(x+y)^{n-1} + n(n-1)x^2(x+y)^{n-2} = \sum_{k=0}^n k^2 \binom{n}{k} x^k y^{n-k},$$

and substituting $x = p, y = 1 - p$, we have

$$np + n(n-1)p^2 = \sum_{k=0}^n k^2 \binom{n}{k} p^k (1-p)^{n-k} = \mathbb{E}[X^2].$$

Thus,

$$\begin{aligned} \text{Var}(X) &= \mathbb{E}[X^2] - \mathbb{E}[X]^2 = np + n(n-1)p^2 - (np)^2 \\ &= np - np^2 = np(1-p) = n \cdot \text{Var}(\text{Ber}(p)). \end{aligned}$$

5.2.3 Poisson distribution

If there are rare independent events, and we count how many occurrences in a given time period, then we can give a distribution, by $\text{Poi}(\lambda)$, where $\lambda \geq 0$ is a real number.

Example 5.2.2.

- earthquakes.
- # of customers eating store.
- # of phone calls.

$\lambda =$ expected # of occurrences.

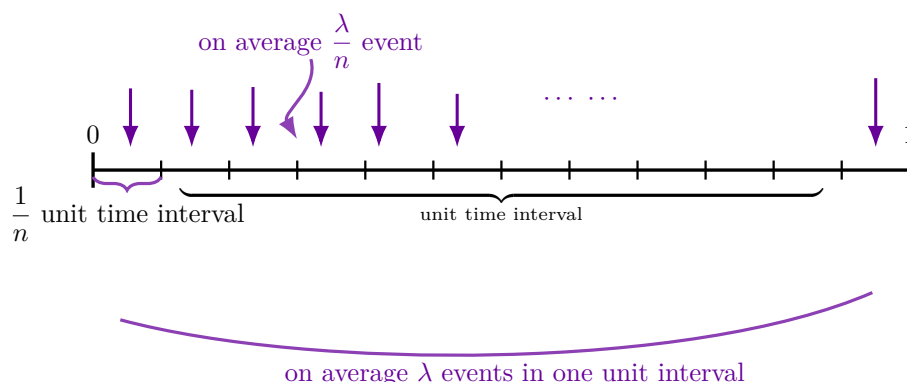
Thus, possible values of $X \sim \text{Poi}(\lambda)$ is $0, 1, 2, \dots$

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Definition 5.2.3 (Poisson distribution). Suppose $\lambda \in \mathbb{R}_{\geq 0}$, then we say $X \sim \text{Poi}(\lambda)$ if rare independent events that occurs on average λ times per unit interval of time, and we want to count how many times actually occur in a given interval. Hence, X takes value $0, 1, 2, 3, \dots$

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As we increase n (decrease the length of the subintervals), we expect each subinterval to have 0 or 1 events, with $\frac{\lambda}{n}$ on average. Note that whether or not a subinterval has an event are independent.



Hence,

$$X = \# \text{ of events in unit interval} \gtrsim \# \text{ of subintervals that have an event} \sim \text{Bin}(n, \frac{\lambda}{n}).$$

Hence,

$$\begin{aligned} \mathbb{P}(X = k) &\simeq \lim_{n \rightarrow \infty} \mathbb{P}\left(\text{Bin}(n, \frac{\lambda}{n}) = k\right) = \lim_{n \rightarrow \infty} \binom{n}{k} \left(\frac{\lambda}{n}\right)^k \left(1 - \frac{\lambda}{n}\right)^{n-k} \\ &= \lim_{n \rightarrow \infty} \frac{n(n-1)\dots(n-k+1)}{k!} \left(\frac{\lambda}{n}\right)^k \left(1 - \frac{\lambda}{n}\right)^{n-k} = \frac{\lambda^k e^{-\lambda}}{k!}. \end{aligned}$$

Thus, the mass function:

$$\mathbb{P}(X = k) = \frac{e^{-\lambda} \lambda^k}{k!}, \quad k = 0, 1, 2, \dots$$

Claim 5.2.1. This is a valid distribution.

Proof. Since $\mathbb{P}(X = k) \geq 0$ for all k , and

$$\sum_{k=0}^{\infty} \mathbb{P}(X = k) = \sum_{k=0}^{\infty} \frac{e^{-\lambda} \lambda^k}{k!} = e^{-\lambda} \sum_{k=0}^{\infty} \frac{\lambda^k}{k!} = e^{-\lambda} e^{\lambda} = 1,$$

and the countable additivity is trivial, so this is a valid distribution. $\circledast$

Now we compute the expectation value:

$$\begin{aligned} \mathbb{E}[X] &= \sum_{k=0}^{\infty} k \mathbb{P}(X = k) = \sum_{k=1}^{\infty} k \cdot \frac{e^{-\lambda} \lambda^k}{k!} = e^{-\lambda} \sum_{k=1}^{\infty} \frac{\lambda^k}{(k-1)!} = \lambda e^{-\lambda} \sum_{k=1}^{\infty} \frac{\lambda^{k-1}}{(k-1)!} \\ &= \lambda e^{-\lambda} \sum_{k=0}^{\infty} \frac{\lambda^k}{k!} = \lambda e^{-\lambda} e^{\lambda} = \lambda. \end{aligned}$$

Now we compute the variance:

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2 = \mathbb{E}[X^2 - X] + \mathbb{E}[X] - \mathbb{E}[X]^2 = \lambda^2 + \lambda - \lambda^2 = \lambda.$$

Note that $\mathbb{E}[X^2 - X] = \mathbb{E}[X(X-1)]$, and can be computed similarly as $\mathbb{E}[X]$.

Remark 5.2.1. $\text{Poi}(\lambda) \approx \text{Bin}(n, \frac{\lambda}{n})$ when n is large. We can notice the expectation of $\text{Bin}(n, \frac{\lambda}{n})$ is $np = \lambda$ and the variance of $\text{Bin}(n, \frac{\lambda}{n})$ is $np(1-p) = \lambda(1 - \frac{\lambda}{n}) \rightarrow \lambda$ as $n \rightarrow \infty$.

Remark 5.2.2 (Poisson approximation). If n is large, and $np \rightarrow \lambda \in \mathbb{R}$, then we can approximate $\text{Bin}(n, p)$ by $\text{Poi}(np)$.

Example 5.2.3 (The Poisson Paradigm). Suppose we have a probability space $(S, \mathbb{P})$, and a sequence of events $E_1, E_2, \dots, E_n$, with

$$\mathbb{P}(E_i) = p_i, \quad \text{for } 1 \leq i \leq n.$$

If the p_i 's are all small, and the events E_i are independent or "weakly independent", i.e. $\mathbb{P}(E_i | E_j) \approx \mathbb{P}(E_i)$ for $i \neq j$, then setting

$$\lambda = p_1 + p_2 + \dots + p_n,$$

if X is the number of events that occur, then X is approximately $\text{Poi}(\lambda)$.

Example 5.2.4. n people leaving a party, each takes a random hat. What is the probability that exactly k people get their hats?

Proof. Define the events $E_i = \{i\text{-th person gets own hat}\}$, then $\mathbb{P}(E_i) = \frac{1}{n}$ for all i , which is small. Also,

$$\mathbb{P}(E_i | E_j) = \frac{\frac{1}{n(n-1)}}{\frac{1}{n}} = \frac{1}{n-1} \approx \frac{1}{n},$$

so by Poisson paradigm, $X = \#$ of people getting own hat is approximately $\text{Poi}(1)$, i.e.

$$\mathbb{P}(X = k) \approx \frac{e^{-1} 1^k}{k!} = \frac{1}{k!e}.$$

$\circledast$

Example 5.2.5. Which of these is a random binary string?

(a) 00000000001111111111

(b) 01010101010101010101

(c) 00011110100001111001

(d) 00100110000110111110

Example 5.2.6. Toss a fair coin n times. Let L_n be the length of the longest sequence of consecutive heads. What will L_n typically be?

Proof. Since $S = \{H, T\}^n$, and $\mathbb{P}$ is uniform, so

$$\{L_n \geq k\} = \{\text{there is a sequence of } k \text{ consecutive heads}\} = E.$$

Hence, $E = \bigcup_{i=1}^{n-k+1} E_i$ where E_i is the set of there is a sequence of k heads in a row starting from i -th toss. Also, $\mathbb{P}(E_i) = 2^{-k}$, which is small if k is not too small. Note that

$$\mathbb{P}(E_{i+1} \mid E_i) = \frac{1}{2} \text{ (only need to see the last toss),}$$

which is not close to 2^{-k} . Hence, no weak independence here, and thus no Poisson paradigm.

Now we change a method to solve this problem.

$$E = \{L_n \geq k\} = \bigcup_{i=1}^{n-k+1} E'_i$$

where

$$E'_i = \begin{cases} \text{toss } i, i+1, \dots, i+k-1 \text{ are heads and toss } i+k \text{ is tail,} & \text{if } 0 \leq i \leq n-k; \\ \text{toss } n-k+1, \dots, n \text{ are heads,} & \text{if } i = n-k+1. \end{cases}$$

Hence,

$$\mathbb{P}(E'_i) = \begin{cases} 2^{-(k+1)}, & \text{if } 1 \leq i \leq n-k; \\ 2^{-k}, & \text{if } i = n-k+1, \end{cases}$$

which are all small. Now

$$\mathbb{P}(E'_i \mid E'_j) = \begin{cases} \mathbb{P}(E'_i), & \text{if } |i-j| > k+1; \\ 0, & \text{if } |i-j| \leq k. \end{cases}$$

Note that when k is big, $\mathbb{P}(E'_i) \approx 0$, so under this setting we have (E'_i) weakly independent. Now since $\mathbb{P}(E'_i)$ is small for all i , Poisson paradigm applies. Now let

$$\lambda = \sum_{i=1}^{n-k+1} \mathbb{P}(E'_i) = (n-k+2)2^{-(k+1)},$$

then $X_k := \text{number of } i \text{ s.t. } E'_i \text{ happens} \sim \text{Poi}((n-k+2)2^{-(k+1)})$. Then, $\{L_n \geq k\} = \{X_k \geq 1\}$ and thus $\{L_n < k\} = \{X_k = 0\}$. Hence,

$$\mathbb{P}(L_n < k) = \mathbb{P}(X = 0) \approx e^{-\frac{n-k+2}{2^{k+1}}}.$$

If $k \leq (1 + \varepsilon) \log_2 n$ for some $\varepsilon > 0$, then

$$\frac{n-k+2}{2^{k+1}} \rightarrow \infty,$$

so $\mathbb{P}(L_n < k) \rightarrow 0$ as $n \rightarrow \infty$. If $k \geq (1 + \varepsilon) \log_2 n$ for all $\varepsilon > 0$, then

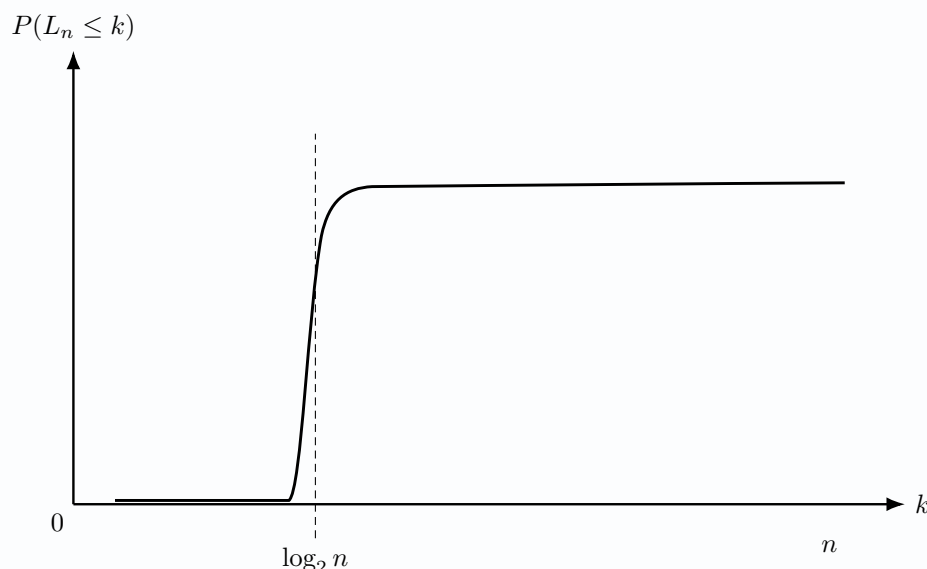
$$\frac{n-k+2}{2^{k+1}} \rightarrow 0,$$

then $\mathbb{P}(L_n < k) \rightarrow 1$. If $k = \log_2 n + c$ for some constant c , then

$$\frac{n - k + 2}{2^{k+1}} = \frac{n - \log_2 n + 2 + c}{2^{c+1}n} \rightarrow 2^{-(c+1)}.$$

Thus,

$$\mathbb{P}(L_n < \log_2 n + c) \rightarrow e^{-2^{-(c+1)}}.$$



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5.2.4 Geometric distribution

Definition 5.2.4 (Geometric Distribution). $X \sim \text{Geom}(p)$ where $0 \leq p \leq 1$ when independent trials with success probability p and we want to count the number of trials until first success (inclusive). Hence, $\text{Geom}(p)$ takes values $1, 2, 3, 4, \dots$

Hence,

$$\mathbb{P}(X = k) = (1 - p)^{k-1} p \geq 0.$$

We can check that

$$\sum_{k=1}^{\infty} \mathbb{P}(X = k) = \sum_{k=1}^{\infty} (1 - p)^{k-1} p = p \sum_{k=1}^{\infty} (1 - p)^{k-1} = p \cdot \frac{1}{1 - (1 - p)} = 1.$$

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Now we compute the expectation:

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$$\mathbb{E}[X] = \sum_{k=1}^{\infty} k \mathbb{P}(X = k) = \sum_{k=1}^{\infty} k (1 - p)^{k-1} p = p \sum_{k=1}^{\infty} k (1 - p)^{k-1}.$$

Note that

$$\sum_{k=1}^{\infty} x^k = \frac{x}{1 - x},$$

so differentiating w.r.t. x , we have

$$\sum_{k=1}^{\infty} k x^{k-1} = \frac{(1 - x) - x(-1)}{(1 - x)^2} = \frac{1}{(1 - x)^2}.$$

Hence, plugging in $x = 1 - p$,

$$\mathbb{E}[X] = p \sum_{k=1}^{\infty} k(1-p)^{k-1} = p \cdot \frac{1}{(1-(1-p))^2} = \frac{1}{p}.$$

Now we compute the variance:

$$\begin{aligned} \text{Var}(X) &= \mathbb{E}[(X - \mathbb{E}[X])^2] = \mathbb{E}[X^2] - \mathbb{E}[X]^2 = \mathbb{E}[X(X+1)] - \mathbb{E}[X] - \mathbb{E}[X]^2 \\ &= \mathbb{E}[X(X+1)] - \frac{1}{p} - \frac{1}{p^2}. \end{aligned}$$

Note that

$$\mathbb{E}[X(X+1)] = \sum_{k=1}^{\infty} k(k+1)\mathbb{P}(X=k) = \sum_{k=1}^{\infty} k(k+1)(1-p)^{k-1}p = p \sum_{k=1}^{\infty} k(k+1)(1-p)^{k-1}.$$

Now we already have

$$\sum_{k=1}^{\infty} kx^{k-1} = \frac{1}{(1-x)^2}.$$

Differentiating on both side, we have

$$\sum_{k=1}^{\infty} k(k+1)x^{k-1} = \frac{2}{(1-x)^3}.$$

Thus,

$$\mathbb{E}[X(X+1)] = p \cdot \frac{2}{p^3} = \frac{2}{p^2}.$$

This gives

$$\text{Var}(X) = \mathbb{E}[X(X+1)] - \frac{1}{p} - \frac{1}{p^2} = \frac{2}{p^2} - \frac{1}{p} - \frac{1}{p^2} = \frac{1}{p^2} - \frac{1}{p} = \frac{1-p}{p^2}.$$

Example 5.2.7 (Coupon collector problem). Store has n types of coupons: Type 1, 2, ..., n . Every purchase gives uniformly random type of coupon.

- Q1. How many purchases needed to get a coupon of Type i , $1 \leq i \leq n$?
- Q2. How many purchases until we have all types?

Proof. Let $X_i = \#$ of purchases before first coupon of type i , $1 \leq i \leq n$. Then, $X_i \sim \text{Geom}(\frac{1}{n})$. Hence, $\mathbb{P}(X_i = k) = \frac{1}{n} \left(1 - \frac{1}{n}\right)^{k-1}$, and $\mathbb{E}[X_i] = n$. Let $X = \#$ of purchases until we have all types of coupons. Then, $X = \max\{X_i : 1 \leq i \leq n\}$, but this is not linear, so it is not easy to compute.

For $i = 1, 2, \dots, n$, let $y_i = \#$ of purchases needed to go from having $(i-1)$ different types of coupons to having i different types. Then, $X = \sum_{i=1}^n y_i$. Then, $y_i \sim \text{Geom}(\frac{n-i+1}{n})$ since y_i is the number of purchases we need to get one of the $n-i+1$ types of coupons that we haven't got. Thus,

$$\mathbb{E}[X] = \mathbb{E}\left[\sum_{i=1}^n y_i\right] = \sum_{i=1}^n \mathbb{E}[y_i] = \sum_{i=1}^n \frac{n}{n-i+1} = n \sum_{i=1}^n \frac{1}{n-i+1} = n \sum_{i=1}^n \frac{1}{i} = nH_n.$$

⊛

Definition 5.2.5 (Negative Binomial Distribution). We denote this distribution by $X \sim \text{NB}(r, p)$, where $0 < p \leq 1$ and $r \in \mathbb{N}$. The setting is to repeat independent trial with success probability p , and count the number of trials until r -th success. Thus, X takes value $r, r+1, r+2, \dots$

Observation. $\text{NB}(1, p) \sim \text{Geom}(p)$.

Note that

$$\mathbb{P}(X = n) = \binom{n-1}{r-1} p^r (1-p)^{n-r}$$

since we can choose $r-1$ trials to be success in the first $n-1$ trials, and the n -th trial must be success.

We can compute the expectation:

$$\begin{aligned} \mathbb{E}[X] &= \sum_{n=r}^{\infty} n \mathbb{P}(X = n) = \sum_{n=r}^{\infty} n \binom{n-1}{r-1} p^r (1-p)^{n-r} \\ &= \sum_{n=r}^{\infty} \frac{n(n-1)!}{(r-1)!(n-r)!} p^r (1-p)^{n-r} = \sum_{n=r}^{\infty} r \binom{n}{r} p^r (1-p)^{n-r} = r \sum_{n=r}^{\infty} \binom{n}{r} p^r (1-p)^{n-r} \\ &= \frac{r}{p} \sum_{n=r}^{\infty} \binom{(n+1)-1}{(r+1)-1} p^{r+1} (1-p)^{(n+1)-(r+1)} = \frac{r}{p} \sum_{n=r}^{\infty} \mathbb{P}(y = n) \quad (\text{if } y \sim \text{NB}(r+1, p)) \\ &= \frac{r}{p}. \end{aligned}$$

An alternative way to compute $\mathbb{E}[X]$: If $X \sim \text{NB}(r, p)$, then we can write $X = X_1 + X_2 + \cdots + X_r$, where $X_i = \#$ of trials to go from $(i-1)$ -th success to i -th success, where each $X_i \sim \text{Geom}(p)$ is independent.

Thus,

$$\mathbb{E}[X] = \mathbb{E}\left[\sum_{i=1}^r X_i\right] = \sum_{i=1}^r \mathbb{E}[X_i] = \sum_{i=1}^r \frac{1}{p} = \frac{r}{p}.$$

As for the variance,

$$\text{Var}(X) = \frac{r(1-p)}{p^2} \quad [\text{HW}].$$

Definition 5.2.6 (Hyper Geometric Distribution). We denote hyper geometric distribution by $X \sim \text{Hypergeometric}(N, m, n)$, where N, m, n are integers and $0 \leq m \leq N$, $1 \leq n \leq N$. The setting is: Population of size N , of which m are good, and we select a random subset of n members of the populations without replacement uniformly, and we count the number of good members in sample, so X takes value $0, 1, 2, \dots, \min\{m, n\}$.

Observation. If we sample n people with replacement, then we could have a binomial distribution $X' \sim \text{Bin}(n, \frac{m}{N})$, and thus

$$\mathbb{E}[X'] = \frac{nm}{N}, \quad \text{Var}(X') = \frac{nm(N-m)}{N^2}.$$

Note that

$$\mathbb{P}(X = k) = \frac{\text{number of ways of picking } k \text{ good members and } n-k \text{ bad members}}{\text{number of ways of picking } n \text{ members}} = \frac{\binom{m}{k} \binom{N-m}{n-k}}{\binom{N}{n}}.$$

To compute the expectation, we can define

$$X_i = \begin{cases} 1, & \text{if } i\text{-th member in the sample is good;} \\ 0, & \text{if } i\text{-th member in the sample is bad.} \end{cases}$$

Then,

$$X = \sum_{i=1}^n X_i \Rightarrow \mathbb{E}[X] = \sum_{i=1}^n \mathbb{E}[X_i].$$

Note that

$$\mathbb{E}[X_i] = \mathbb{P}(i\text{-th member is good}) = \frac{m}{N}$$

because every one is equally likely to be the i -th chosen person, and thus the probability of good member to be picked in i -th choice is $\frac{m}{N}$. Hence,

$$\mathbb{E}[X] = n \cdot \frac{m}{N}.$$

Now we compute the variance $\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2$, where

$$\begin{aligned} \mathbb{E}[X^2] &= \mathbb{E}\left[\left(\sum_{i=1}^n X_i\right)^2\right] = \mathbb{E}\left[\sum_{i,j} X_i X_j\right] = \sum_{i,j} \mathbb{E}[X_i X_j] \\ &= \sum_{i=1}^n \mathbb{E}[X_i^2] + 2 \sum_{1 \leq i < j \leq n} \mathbb{E}[X_i X_j] = \sum_{i=1}^n \mathbb{E}[X_i] + 2 \sum_{1 \leq i < j \leq n} \mathbb{E}[X_i X_j] \quad \text{since } X_i \text{ takes value } 0, 1. \end{aligned}$$

Note that

$$X_i X_j = \begin{cases} 1, & \text{if } i\text{-th and } j\text{-th people are good;} \\ 0, & \text{otherwise.} \end{cases}$$

Thus,

$$\mathbb{E}[X_i X_j] = \mathbb{P}(i\text{-th and } j\text{-th people are good}) = \frac{\# \text{ of pairs of good members}}{\# \text{ of pairs}} = \frac{\binom{m}{2}}{\binom{N}{2}}.$$

Thus,

$$\mathbb{E}[X^2] = n \cdot \frac{m}{N} + 2 \binom{n}{2} \frac{\binom{m}{2}}{\binom{N}{2}} = \frac{nm}{N} + \frac{n(n-1)m(m-1)}{N(N-1)},$$

which shows

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2 = \frac{nm}{N} + \frac{n(n-1)m(m-1)}{N(N-1)} - \frac{n^2 m^2}{N^2} = \frac{nm(N-m)(N-n)}{N^2(N-1)}.$$

Chapter 6

Continuous Random Variables

Lecture 13

6.1 Sigma Algebras

7 April.

Example 6.1.1 (Sigma algebras). If we have infinite sequence of tosses of a fair coin. Let $S = \{H, T\}^{\mathbb{N}}$, then what is $\mathbb{P}(w)$ for $w \in S$?

Proof. Since the coin is fair, so the probability should be uniform, and thus no one sequence should be more likely than another. Hence, for w , since each toss has $\frac{1}{2}$ probability, and due to the independence, we can multiply the probabilities: $\mathbb{P}(w)$ should be 0. However, $S = \bigcup_{w \in S} \{w\}$, so

$$1 = \mathbb{P}(S) = \mathbb{P}\left(\bigcup_{w \in S} \{w\}\right) = \sum_{w \in S} \mathbb{P}(\{w\}) = 0?$$

In fact, there is an error:

$$\mathbb{P}\left(\bigcup_{w \in S} \{w\}\right) \neq \sum_{w \in S} \mathbb{P}(\{w\}),$$

this is because probability only has "countable" additivity but S is uncountable. *

Thus, we can define a uniform probability measure, where we want:

- (1) $\mathbb{P}(S) = 1$.
- (2) $\mathbb{P}(\{w\}) = 0$ for every $w \in S$.
- (3) If $E_1, E_2, \dots \subseteq S$ are mutually exclusive, then $\mathbb{P}(\bigcup_{i=1}^{\infty} E_i) = \sum_{i=1}^{\infty} \mathbb{P}(E_i)$.
- (4) For any $i \in \mathbb{N}$, let $T_i : S \rightarrow S$ be the map that flips the outcome of the i -th coin toss, and for $I \subseteq \mathbb{N}$, let $T_I : S \rightarrow S$ be the map that flips the outcomes of all tosses in I . For every $E \subseteq S$, and any $I \subseteq \mathbb{N}$, then $\mathbb{P}(T_I(E)) = \mathbb{P}(E)$.

Proposition 6.1.1. No such $\mathbb{P}$ exists.

Proof. Define an equivalence relation on S . Say $w_1, w_2 \in S$ are equivalent if they only have finitely many differences, i.e.e $\exists n \in \mathbb{N}$ s.t. $(w_1)_i = (w_2)_i$ for all $i \geq n$. Then, we can partition S into equivalence classes $[w] = \{w' \in S : w' \sim w\}$. Let $E \subseteq S$ be an event that contains one member from every equivalence class. (by Axiom of choice)

Claim 6.1.1. $S = \bigcup_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} T_I(E)$.

Proof. For every $w \in S$, we have that $[w] \cap E = \{w'\}$ for some $w' \sim w$. Hence, $\exists$ finite st $I \subseteq \mathbb{N}$ of differences. Thus, $T_I(\{w'\}) = \{w\}$ and $T_I(\{w'\}) \subseteq T_I(E)$. Hence, $w \in \bigcup_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} T_I(E)$.

Now we show the union is disjoint. If $T_I(E) \cap T_J(E) \neq \emptyset$ for some $I \neq J$, then $\exists w, w' \in E$ s.t.

$$T_I(\{w\}) = T_J(\{w'\}) = \{w''\}.$$

Hence, $w \sim w'' \sim w'$, so $w = w'$, so $I = J$ since this means flips toss in I and toss in J gets same outcome. $\otimes$

Note that $S = \bigcup_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} T_I(E)$ and R.H.S. is a countable union. Thus,

$$1 = \mathbb{P}(S) = \mathbb{P}\left(\bigcup_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} T_I(E)\right) = \sum_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} \mathbb{P}(T_I(E)) = \sum_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} \mathbb{P}(E)$$

by property (4) above. However, if $\mathbb{P}(E) = 0$, then $\sum_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} \mathbb{P}(E) = 0$, but if $\mathbb{P}(E) > 0$, then $\sum_{\substack{I \subseteq \mathbb{N} \\ |I| < \infty}} \mathbb{P}(E) = \infty$, so such $\mathbb{P}$ does not exist. $\blacksquare$

Definition 6.1.1. A sigma-algebra (σ -algebra) is a collection of subsets $\Sigma \subseteq 2^S$ satisfying

- (1) $S \in \Sigma$.
- (2) If $E \in \Sigma$, then $E^c \in \Sigma$.
- (3) If $E_1, E_2, \dots \in \Sigma$, then $\bigcup_{n=1}^{\infty} E_n \in \Sigma$.

Discussion and Motivation. The preceding example illustrates a fundamental obstruction in defining a probability measure on the entire power set 2^S when $S = \{H, T\}^{\mathbb{N}}$.

At first glance, it is natural to require that the probability measure $\mathbb{P}$ be *uniform*, in the sense that every infinite sequence $w \in S$ has the same probability. Since each coordinate is an independent fair coin toss, this suggests that $\mathbb{P}(\{w\}) = 0$ for all $w \in S$, while $\mathbb{P}(S) = 1$. This is not contradictory, because countable additivity does not extend to uncountable unions.

However, the proposition above shows that even if we only assume the following seemingly reasonable properties:

- normalization ($\mathbb{P}(S) = 1$),
- countable additivity,
- and invariance under finite coordinate flips,

we arrive at a contradiction. The key step is the construction (via the axiom of choice) of a set $E \subseteq S$ that selects exactly one representative from each equivalence class of sequences that differ in only finitely many coordinates. This set is highly non-constructive and exhibits pathological behavior.

The contradiction arises because S can be decomposed into a countable disjoint union of translates $T_I(E)$, all of which must have the same probability as E by invariance. This forces the total measure to be either 0 or ∞ , contradicting $\mathbb{P}(S) = 1$.

The conclusion is that it is impossible to define a probability measure on all subsets of S that satisfies these natural properties. In particular, there exist subsets of S (such as the set E above) to which no consistent probability can be assigned.

This motivates the introduction of σ -algebras. Instead of assigning probabilities to all subsets of S , we restrict attention to a smaller collection $\Sigma \subseteq 2^S$ of *measurable sets*, which is closed under complements and countable unions. A probability measure is then defined only on Σ , thereby avoiding pathological sets and ensuring consistency of the theory.

"Fix" probability Now we can define a probability space to be a triple $(S, \Sigma, \mathbb{P})$, where S is the sample space, $\Sigma \subseteq 2^S$ is a sigma-algebra, and $\mathbb{P} : \Sigma \rightarrow \mathbb{R}_{\geq 0}$ assigns a probability to all events (members of Σ).

Definition 6.1.2. The Σ generated by intervals $[a, b]$ are called Borel σ -algebra.

Remark 6.1.1. If S is finite, we can take $\Sigma = 2^S$.

6.2 Introduction

Definition 6.2.1 (Cumulative distribution function). Given a probability space and a random variable $X : S \rightarrow \mathbb{R}$, the cumulative distribution function, or cdf, $F_X : \mathbb{R} \rightarrow [0, 1]$ is given by

$$F_X(b) = \mathbb{P}(X \leq b).$$

Proposition 6.2.1.

- (1) $\lim_{x \rightarrow \infty} F_X(x) = 1$, and $\lim_{x \rightarrow -\infty} F_X(x) = 0$.
- (2) $F_X(x)$ is increasing in x .
- (3) F_X is right-continuous: Let $\{x_n\}_{n \geq 1}$ be a sequence such that

$$x_n \searrow x,$$

which means:

1. $x_1 \geq x_2 \geq \dots \geq x_n \geq \dots$ (monotone decreasing),
2. $\lim_{n \rightarrow \infty} x_n = x$.

Then the cumulative distribution function F_X is *right-continuous* at x , i.e.,

$$\lim_{n \rightarrow \infty} F_X(x_n) = F_X(x).$$

proof of (1).

$$\lim_{x \rightarrow \infty} F_X(x) = \mathbb{P}\left(\lim_{x \rightarrow \infty} \{X \leq x\}\right) = \mathbb{P}\left(\bigcup_{x \rightarrow \infty} \{X \leq x\}\right) = \mathbb{P}(X \in \mathbb{R}) = 1.$$

■

proof of (2). If $a < b$, then

$$F_X(b) - F_X(a) = \mathbb{P}(X \leq b) - \mathbb{P}(X \leq a) = \mathbb{P}(a < X \leq b) \geq 0.$$

■

proof of (3). The sets $\{X \leq x_n\}$ form a decreasing sequence of events:

$$\{X \leq x_1\} \supseteq \{X \leq x_2\} \supseteq \dots$$

and

$$\bigcap_{n=1}^{\infty} \{X \leq x_n\} = \{X \leq x\}.$$

By the continuity of probability from above, we have

$$\lim_{n \rightarrow \infty} \mathbb{P}(X \leq x_n) = \mathbb{P}\left(\lim_{n \rightarrow \infty} \{X \leq x_n\}\right) = \mathbb{P}\left(\bigcap_{n=1}^{\infty} \{X \leq x_n\}\right) = \mathbb{P}(X \leq x) = F_X(x).$$

Intuition: The symbol $x_n \searrow x$ indicates a sequence approaching x from the right, e.g., $x_n = x + \frac{1}{n}$. ■

Note 6.2.1. F_X does not have to be left-continuous: If $b_n \nearrow b$, then $\{X \leq b_n\} \nearrow \{X < b\}$. Thus,

$$\lim_{n \rightarrow \infty} F_X(b_n) = \mathbb{P}(X < b) = F_X(b) - \mathbb{P}(X = b).$$

Definition 6.2.2 (Continuous random variable). A random variable X is said to be (absolutely) continuous if there is some function $f_X : \mathbb{R} \rightarrow \mathbb{R}_{\geq 0}$ s.t. the cumulative distribution function

$$F_X(x) = \mathbb{P}(X \leq x) = \int_{-\infty}^x f_X(t) dt.$$

Then, f_X is the probability density function of X , or pdf.

Remark 6.2.1. In general,

$$\mathbb{P}(a < X \leq b) = F_X(b) - F_X(a).$$

If X is absolutely continuous, then

$$\mathbb{P}(a < X \leq b) = \int_{-\infty}^b f_X(t) dt - \int_{-\infty}^a f_X(t) dt = \int_a^b f_X(t) dt.$$

Thus, $f_X(x)$ is a measure of how likely the random variable is to be around x . Hence,

$$\mathbb{P}(x - \varepsilon < X \leq x + \varepsilon) = \int_{x-\varepsilon}^{x+\varepsilon} f_X(t) dt \approx 2\varepsilon f_X(x)$$

as $\varepsilon \searrow 0$ if f_X is "nice". Hence, by taking $\varepsilon \searrow 0$, we know $\mathbb{P}(X = x) = 0$ for nice $f_X(x)$. Actually, continuity of $f_X(x)$ can guarantee this thing.

Remark 6.2.2. By FTC, $f_X(x) = F'_X(x)$.

Example 6.2.1. Now if

$$f(x) = \begin{cases} \frac{C}{x^3}, & \text{if } x \geq 1; \\ 0, & \text{if } x < 1. \end{cases}$$

(a) What does C have to be for f to be the pdf of a random variable of X ?

(b) What is $\mathbb{P}(a \leq X \leq b)$ for $1 \leq a \leq b$?

Proof.

(a) Since

$$1 = \mathbb{P}(-\infty < X < \infty) = \int_{-\infty}^{\infty} f(t) dt = \int_1^{\infty} \frac{C}{t^3} dt = \left[\frac{-C}{2t^2} \right]_1^{\infty} = \frac{C}{2},$$

so $C = 2$.

(b) For $1 \leq a \leq b$,

$$\mathbb{P}(a \leq X \leq b) = \int_a^b f(t) dt = \frac{1}{a^2} - \frac{1}{b^2}.$$

⊛

Definition 6.2.3 (Expectation and Variance of continuous random variable). In the discrete setting, we define $\mathbb{E}[X] = \sum_{x_i} x_i \mathbb{P}(X = x_i)$, while in the continuous setting, we define $\mathbb{E}[X] = \int_{-\infty}^{\infty} t f_X(t) dt$, and we define the variance $\text{Var}(X) = \mathbb{E}[(X - \mathbb{E}[X])^2]$.

Lecture 14

Example 6.2.2. If X is a continuous random variable with

$$f_X(t) = \begin{cases} \frac{C}{t^3}, & \text{if } t \geq 1; \\ 0, & \text{if } t < 1. \end{cases}$$

- (1) What is C ?
- (2) What are $\mathbb{E}[X]$ and $\text{Var}(X)$?

Proof.

- (1) We have $\int_{-\infty}^{\infty} f_X(t) dt = 1$, so

$$1 = \int_{-\infty}^1 f_X(t) dt + \int_1^{\infty} f_X(t) dt = \int_1^{\infty} f_X(t) dt = \frac{C}{2},$$

so $C = 2$.

- (2)

$$\mathbb{E}[X] = \int_{-\infty}^{\infty} t f_X(t) dt = \int_1^{\infty} t f_X(t) dt = 2.$$

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2 = \int_{-\infty}^{\infty} t^2 f_X(t) dt - 4 = \int_1^{\infty} t^2 \cdot \frac{2}{t^3} dt - 4 = \infty,$$

so $\text{Var}(X)$ does not exist.

⊛

Remark 6.2.3. The divergence of the variance or even the expectation can also occur for discrete random variables when the probability of large values doesn't decay very quickly, e.g. $\mathbb{P}(X = k) = \frac{c}{k^2}$ for $k \in \mathbb{N}$.

6.3 Continuous Probability Distribution

6.3.1 Uniform Distribution

Definition 6.3.1 (Uniform Distribution). Suppose $\alpha < \beta \in \mathbb{R}$, then we say $X \sim \text{Unif}(\alpha, \beta)$ if we want to choose a uniformly random point in $[\alpha, \beta]$, and X is the outcome. Note that the probability of a subinterval of $[\alpha, \beta]$ only depends on its width.

PDF

$$f_X(t) = \begin{cases} C, & \text{if } t \in [\alpha, \beta]; \\ 0, & \text{if } t \notin [\alpha, \beta] \end{cases}$$

since the probability of every point in $[\alpha, \beta]$ to be chosen is same. Now we compute C . Note that

$$1 = \int_{-\infty}^{\infty} f_X(t) dt = \int_{\alpha}^{\beta} C dt = C(\beta - \alpha),$$

so $C = \frac{1}{\beta - \alpha}$.

CDF

$$F_X(x) = \mathbb{P}(X \leq x) = \int_{-\infty}^x f_X(t) dt = \begin{cases} 0, & \text{if } x \leq \alpha; \\ \int_{\alpha}^x \frac{1}{\beta - \alpha} dt = \frac{x - \alpha}{\beta - \alpha}, & \text{if } \alpha \leq x \leq \beta; \\ 1, & \text{if } x \geq \beta. \end{cases}$$

Expectation

$$\mathbb{E}[X] = \int_{-\infty}^{\infty} t f_X(t) dt = \int_{\alpha}^{\beta} \frac{t}{\beta - \alpha} dt = \frac{\alpha + \beta}{2}.$$

Variance We know $\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2$, where

$$\begin{aligned} \mathbb{E}[X^2] &= \int_{-\infty}^{\infty} t^2 f_X(t) dt = \int_{\alpha}^{\beta} \frac{t^2}{\beta - \alpha} dt = \frac{\beta^2 + \alpha\beta + \alpha^2}{3}. \\ \mathbb{E}[X]^2 &= \left(\frac{\alpha + \beta}{2}\right)^2 = \frac{\beta^2 + 2\alpha\beta + \alpha^2}{4}. \end{aligned}$$

Hence,

$$\text{Var}(X) = \frac{\beta^2 + \alpha\beta + \alpha^2}{3} - \frac{\beta^2 + 2\alpha\beta + \alpha^2}{4} = \frac{(\beta - \alpha)^2}{12}.$$

Theorem 6.3.1 (Simulating continuous random variables). Let X be a continuous random variable with cdf $F_X : \mathbb{R} \rightarrow [0, 1]$. Let $U \sim \text{Unif}(0, 1)$. Let $Y = F_X^{-1}(U) \in \mathbb{R}$. Then Y has the same distribution as X .

Proof. We want to show $F_Y = F_X$. Then,

$$F_Y(x) = \mathbb{P}(Y \leq x) = \mathbb{P}(F_X^{-1}(U) \leq x) = \mathbb{P}(U \leq F_X(x)) = F_U(F_X(x)) = \frac{F_X(x) - 0}{1 - 0} = F_X(x)$$

because F_X is increasing and $U \sim \text{Unif}(0, 1)$. ■

6.3.2 Exponential Distribution

Setting: A bus arrives at a bus stop on average every 18 minutes. We arrive at the bus stop. How long do we have to wait for the next bus?

If X is our waiting time, we want X to satisfy memoryless property:

$$\mathbb{P}(X \geq x + y \mid X \geq x) = \mathbb{P}(X \geq y).$$

Theorem 6.3.2. The only continuous memoryless distribution is the exponential distribution.

Proof. Let X be a memoryless continuous distribution. Define $g(x) = \mathbb{P}(X \geq x)$. Then,

$$g(x + y) = \mathbb{P}(X \geq x + y) = \mathbb{P}(X \geq x + y \mid X \geq x) \mathbb{P}(X \geq x) = \mathbb{P}(X \geq y) \mathbb{P}(X \geq x) = g(y)g(x).$$

Thus, $g(x + y) = g(x)g(y)$ for all $x, y \geq 0$. Now define $\lambda = -\ln(g(1))$, i.e. $g(1) = e^{-\lambda}$. Since $g(1) = \mathbb{P}(X \geq 1) \in [0, 1]$, so $\lambda \in [0, \infty)$. Let $n \in \mathbb{N}$, then

$$g(n) = g(1 + 1 + \cdots + 1) = g(1)^n = e^{-n\lambda}.$$

Let $\frac{r}{s} \in \mathbb{Q}_{\geq 0}$, then

$$g(r) = g\left(\frac{r}{s} + \frac{r}{s} + \cdots + \frac{r}{s}\right) = g\left(\frac{r}{s}\right)^s,$$

so $g\left(\frac{r}{s}\right) = g(r)^{\frac{1}{s}} = (e^{-r\lambda})^{\frac{1}{s}} = e^{-\lambda \frac{r}{s}}$. Now let $x \in \mathbb{R}$, let q_n be a sequence of rational numbers with $q_n \searrow x$. Then,

$$\begin{aligned} g(x) &= \mathbb{P}(X \geq x) = 1 - \mathbb{P}(X \leq x) = 1 - \lim_{n \rightarrow \infty} \mathbb{P}(X \leq q_n) = \lim_{n \rightarrow \infty} \mathbb{P}(X > q_n) = \lim_{n \rightarrow \infty} g(q_n) \\ &= \lim_{n \rightarrow \infty} e^{-\lambda q_n} = e^{-\lambda x}. \end{aligned}$$

Remark 6.3.1. This proof only holds for positive real numbers, otherwise we cannot use technique like $g(\underbrace{1 + 1 + \cdots + 1}_r) = g(1)^r$.

■

Notation. We say $X \sim \text{Exp}(\lambda)$ for $\lambda \in \mathbb{R}_{>0}$ if X is of exponential distribution.

CDF

$$F_X(x) = \mathbb{P}(X \leq x) = \begin{cases} 1 - e^{-\lambda x}, & \text{if } x \geq 0; \\ 0, & \text{if } x < 0. \end{cases}$$

PDF

$$f_X(t) = F'_X(t) = \begin{cases} \lambda e^{-\lambda t}, & \text{if } t > 0; \\ 0, & \text{if } t \leq 0. \end{cases}$$

Expectation

$$\begin{aligned} \mathbb{E}[X] &= \int_{-\infty}^{\infty} t f_X(t) dt = \int_0^{\infty} t \lambda e^{-\lambda t} dt \\ &= [t(-e^{-\lambda t})]_0^{\infty} - \int_0^{\infty} (-e^{-\lambda t}) dt = \int_0^{\infty} e^{-\lambda t} dt = \left[\frac{-e^{-\lambda t}}{\lambda} \right]_0^{\infty} = \frac{1}{\lambda}. \end{aligned}$$

Hence, $\mathbb{E}[X] = \frac{1}{\lambda}$.

Variation Since $\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2$, where

$$\mathbb{E}[X^2] = \int_{-\infty}^{\infty} t^2 f_X(t) dt = \int_0^{\infty} t^2 \lambda e^{-\lambda t} dt = \frac{2}{\lambda^2}.$$

Thus,

$$\mathbb{E}[X^2] - \mathbb{E}[X]^2 = \frac{2}{\lambda^2} - \frac{1}{\lambda^2} = \frac{1}{\lambda^2}.$$

Example 6.3.1. A bus arrives on average every 15 minutes. What is the probability that we have to wait at least 5 minutes for the bus?

Proof. $X \sim \text{Exp}(\lambda)$, and $\mathbb{E}[X] = \frac{1}{\lambda} = 15$, so $\lambda = \frac{1}{15}$. Since

$$\mathbb{P}(X \geq x) = e^{-\lambda x},$$

so $\mathbb{P}(X \geq 5) = e^{-5\lambda} = e^{-\frac{1}{3}}$.

⊗

Example 6.3.2. A passenger can take one of two buses. The first arrives on average every 15 minutes, the second on average every 18 minutes. If they take the first bus arrives, and the buses run independently, how long would they have to wait on average?

Proof. Let X_1 be the waiting time for the first bus, X_2 be the waiting time for the second, then $X_1 \sim \text{Exp}(\frac{1}{15})$ and $X_2 \sim \text{Exp}(\frac{1}{18})$, then if W is the waiting time for the passenger, then $W = \min(X_1, X_2)$. Hence,

$$\begin{aligned} F_W(x) &= \mathbb{P}(W \leq x) = \mathbb{P}(\min(X_1, X_2) \leq x) = 1 - \mathbb{P}(\min(X_1, X_2) > x) \\ &= 1 - \mathbb{P}(X_1 > x \text{ and } X_2 > x) = 1 - \mathbb{P}(X_1 > x)\mathbb{P}(X_2 > x) \\ &= 1 - (e^{-\lambda_1 x})(e^{-\lambda_2 x}) = 1 - e^{-(\lambda_1 + \lambda_2)x}, \end{aligned}$$

where $\lambda_1 = \frac{1}{15}$ and $\lambda_2 = \frac{1}{18}$. Thus,

$$W \sim \text{Exp}(\lambda_1 + \lambda_2) = \text{Exp}\left(\frac{1}{15} + \frac{1}{18}\right) = \text{Exp}\left(\frac{11}{90}\right).$$

Hence, $\mathbb{E}[W] = \frac{90}{11}$.

Remark 6.3.2. More generally, if $X_i \sim \text{Exp}(\lambda_i)$ for $1 \leq i \leq n$, and these are independent, then

$$X = \min(X_1, X_2, \dots, X_n) \sim \text{Exp}\left(\sum_{i=1}^n \lambda_i\right).$$

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Example 6.3.3 (Waiting Time Paradox). The *waiting time paradox* says that if buses do *not* arrive at perfectly regular intervals, then a passenger who shows up at a random time tends to land in a *longer-than-average* gap between buses. Because of that sampling bias, the time the passenger waits can be larger than “half of the average gap,” and the bus interval that the passenger finds themselves inside is also typically larger than the population-average interval.

What is going on in your example?

Let

X = the time from now until the next bus arrives.

If we model the bus arrivals as a Poisson process with rate $\lambda = 1/10$ per minute, then

$$X \sim \text{Exp}(1/10), \quad \mathbb{E}[X] = 10 \text{ minutes.}$$

Now suppose that, at the moment you observe the system,

- the last bus left 8 minutes ago, and
- the next bus will come in 2 minutes.

So the two buses around you are exactly 10 minutes apart.

The apparent paradox is this:

- (1) By the memoryless property, the future waiting time from *now* has mean 10 minutes.
- (2) By time-reversal symmetry of the Poisson process, the elapsed time since the previous bus also has mean 10 minutes.

(3) So it looks like

$$\mathbb{E}[\text{backward gap}] + \mathbb{E}[\text{forward gap}] = 10 + 10 = 20,$$

but the bus interval in the picture is only 10 minutes.

Where the paradox lies

The mistake is that these expectations are *not conditioned on the event that the surrounding gap equals 10 minutes*. They are unconditional averages over *all* possible observation times.

There are really two different random quantities:

- B = time since the previous bus (backward recurrence time),
- F = time until the next bus (forward recurrence time).

For a Poisson process,

$$B \sim \text{Exp}(1/10), \quad F \sim \text{Exp}(1/10), \quad \mathbb{E}[B] = \mathbb{E}[F] = 10.$$

But once you are told that in this particular realization $B = 8$ and $F = 2$, there is nothing random left in that local picture: the surrounding interval is simply

$$B + F = 8 + 2 = 10.$$

So the incorrect step is mixing

$$\mathbb{E}[B] + \mathbb{E}[F]$$

with

$$B + F \text{ for a particular observed sample.}$$

Those are different objects.

Why $\mathbb{E}[B + F] = 20$ is actually correct

For a Poisson bus process, the bus interval containing a *random observation time* is not distributed like an ordinary interarrival time. It is *length-biased*: long gaps are more likely to contain your arrival time.

If the ordinary interarrival time is

$$T \sim \text{Exp}(1/10), \quad \mathbb{E}[T] = 10,$$

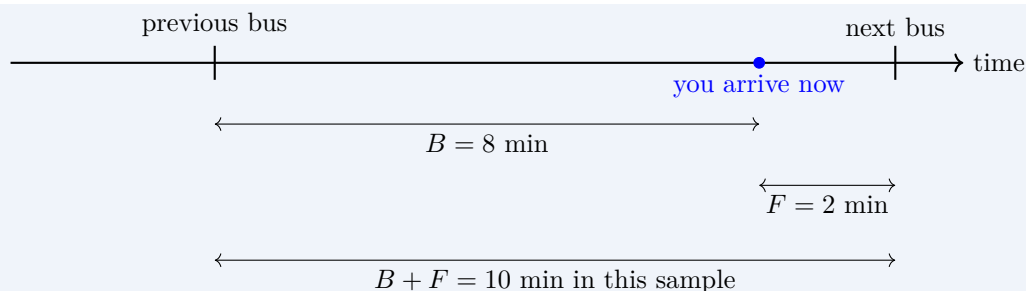
then the interval containing a random observation time has mean

$$\mathbb{E}[B + F] = 20.$$

That does *not* contradict the fact that an ordinary gap between consecutive buses has average length 10. It only says that when you sample by picking a random time, you are more likely to land inside a long gap than a short one.

For the exponential case, one can verify directly that

$$\mathbb{E}[B + F] = \mathbb{E}[B] + \mathbb{E}[F] = 10 + 10 = 20.$$



In this drawing, the local sample gives $8 + 2 = 10$. But if you repeat the experiment many times and choose your observation time uniformly at random on a long timeline, then the average containing interval is 20 minutes, not 10 minutes, because long intervals are overrepresented.

Short resolution

The paradox disappears once we separate:

- **ordinary bus gap:** mean 10 minutes,
- **gap seen by a random observer:** mean 20 minutes,
- **your particular observed sample:** here it is exactly $8 + 2 = 10$ minutes.

So the statement “ $10 + 10 = 10$ ” is not a real contradiction. The left side is an *unconditional expectation*; the right side is the length of *one realized interval* in your example.

Lecture 15

Example 6.3.4. The *friendship paradox* is the surprising fact that, in many social networks, **your friends tend to have more friends than you do, on average**. This does not mean every single friend is more popular than you. Instead, it means that when we sample people by following friendship links, highly connected people are more likely to be seen, because they appear in many people’s friend lists.

21 April.

A small graph intuition

Consider the graph in Figure 6.1. Each node is a person, and an edge means a friendship. Node C is a hub with degree 4, while the other four nodes have degree 1.

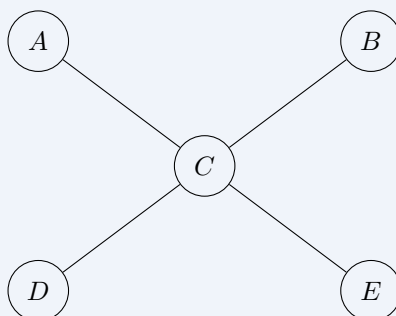


Figure 6.1: A simple network where one person is much more connected than the others.

The average degree of all people in this network is

$$\frac{1 + 1 + 4 + 1 + 1}{5} = \frac{8}{5} = 1.6.$$

Now ask: if we pick a person and look at their friends, how many friends do those friends typically have?

For A , the only friend is C , who has degree 4. The same is true for B , D , and E . Only C sees low-degree neighbors. Because C is listed as a friend by four different people, C gets counted over and over when we average over “friends of people.” This pushes the average upward.

In fact, the average degree of a randomly chosen *friend* in this graph is

$$\frac{1^2 + 1^2 + 4^2 + 1^2 + 1^2}{1 + 1 + 4 + 1 + 1} = \frac{20}{8} = 2.5,$$

which is larger than 1.6.

Why the paradox happens

The key idea is **sampling bias**. People with many friends are more likely to show up when we traverse edges, because each friendship gives them another chance to be observed. In network terms, nodes with larger degree receive more weight.

If the degrees are $k_1, k_2, \dots, k_n$, then:

$$\text{average degree of a person} = \frac{1}{n} \sum_{i=1}^n k_i,$$

while the average degree of a person reached by following a random friendship edge is

$$\frac{\sum_{i=1}^n k_i^2}{\sum_{i=1}^n k_i}.$$

This second quantity is usually larger, because squaring gives extra weight to large degrees. That is the mathematical reason the friendship paradox appears.

Takeaway

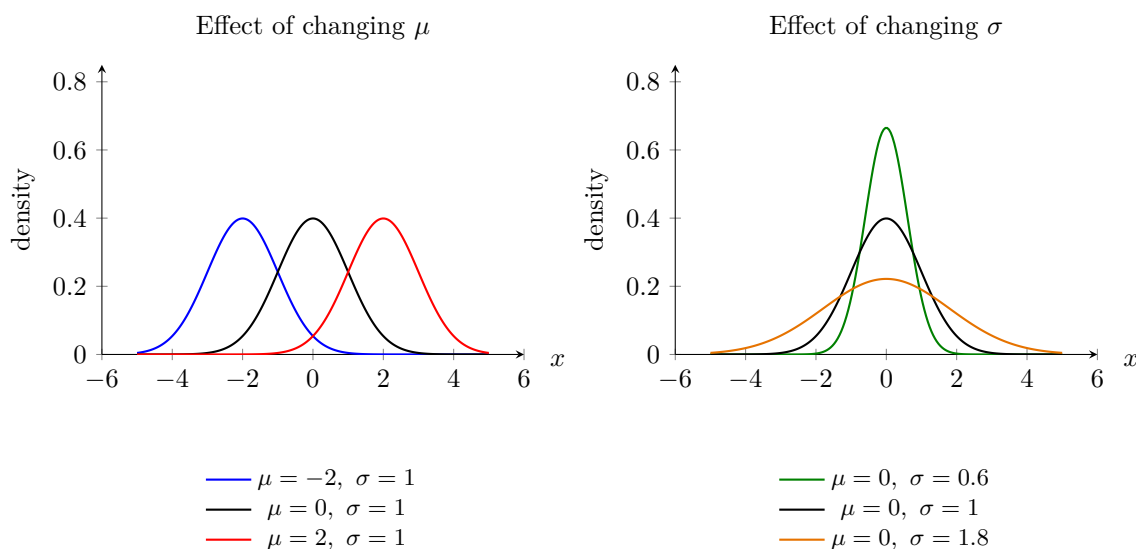
The friendship paradox is not really about friendship in particular; it is a general fact about networks. Whenever highly connected nodes are overrepresented in the way we sample, our local view of the network makes others look more connected than the population average.

6.3.3 Normal Distribution

We denote $X \sim N(\mu, \sigma^2)$ for some $\mu \in \mathbb{R}$ (mean) and $\sigma \in \mathbb{R}_{>0}$ (standard deviation) for the normal distribution.

What happens when the values change?

- **Larger μ** : the whole curve moves to the **right**.
- **Smaller μ** : the whole curve moves to the **left**.
- **Larger σ** : the curve becomes **wider and flatter**.
- **Smaller σ** : the curve becomes **narrower and taller**.



pdf

$$f_X(x) = \frac{1}{\sigma\sqrt{2\pi}} e^{-\frac{(x-\mu)^2}{2\sigma^2}},$$

which has $f_X(x) > 0$ for all x , so for any $a < b$, $\mathbb{P}(a \leq x \leq b) > 0$.

Claim 6.3.1.

$$\int_{-\infty}^{\infty} f_X(x) dx = 1.$$

Proof. Let $I = \int_{-\infty}^{\infty} \frac{1}{\sigma\sqrt{2\pi}} e^{-\frac{(x-\mu)^2}{2\sigma^2}} dx$, and let $z = \frac{x-\mu}{\sigma}$, so we have

$$I = \int_{-\infty}^{\infty} \frac{1}{\sigma\sqrt{2\pi}} e^{-\frac{z^2}{2}} \sigma dz = \frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} e^{-\frac{z^2}{2}} dz.$$

Hence,

$$I^2 = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} e^{-\frac{z^2}{2}} dz \right) \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} e^{-\frac{y^2}{2}} dy \right) = \frac{1}{2\pi} \iint_{\mathbb{R}^2} e^{-\frac{z^2+y^2}{2}} dz dy.$$

Now we can substitute $z = r \cos \theta$ and $y = r \sin \theta$, and

$$\left\| \begin{pmatrix} \frac{\partial z}{\partial r} & \frac{\partial z}{\partial \theta} \\ \frac{\partial y}{\partial r} & \frac{\partial y}{\partial \theta} \end{pmatrix} \right\| = \left\| \begin{pmatrix} \cos \theta & -r \sin \theta \\ \sin \theta & \cos \theta \end{pmatrix} \right\| = r \cos^2 \theta + r \sin^2 \theta = r.$$

Thus, $dz dy = r dr d\theta$. Hence,

$$I^2 = \frac{1}{2\pi} \int_0^{2\pi} \int_0^{\infty} e^{-\frac{(r \cos \theta)^2 + (r \sin \theta)^2}{2}} r dr d\theta = 1.$$

This gives $I = 1$. *

Definition 6.3.2. We say $N(0, 1)$ is the *standard normal distribution*.

Note that if $Z \sim N(0, 1)$, then

$$f_Z(z) = \frac{1}{\sqrt{2\pi}} e^{-\frac{z^2}{2}}.$$

Claim 6.3.2. If $X \sim N(\mu, \sigma^2)$, then if $Z = \frac{X-\mu}{\sigma}$, we have $Z \sim N(0, 1)$.

Proof.

$$\mathbb{P}(Z \leq z) = \mathbb{P}\left(\frac{X - \mu}{\sigma} \leq z\right) = \mathbb{P}(X \leq \mu + z\sigma) = \int_{-\infty}^{\mu + z\sigma} \frac{1}{\sigma\sqrt{2\pi}} e^{-\frac{(x-\mu)^2}{2\sigma^2}} dx.$$

Now we change the variable, let $t = \frac{x-\mu}{\sigma}$, i.e. $x = \mu + t\sigma$, then we have

$$\mathbb{P}(Z \leq z) = \int_{-\infty}^{\mu + z\sigma} \frac{1}{\sigma\sqrt{2\pi}} e^{-\frac{(x-\mu)^2}{2\sigma^2}} dx = \int_{-\infty}^z \frac{1}{\sqrt{2\pi}} e^{-\frac{t^2}{2}} dt = \mathbb{P}(N(0, 1) \leq z).$$

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Expectation Note that if $Z \sim N(0, 1)$, then

$$\mathbb{E}[Z] = \int_{-\infty}^{\infty} t f_Z(t) dt = \frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} t e^{-\frac{t^2}{2}} dt = \frac{1}{\sqrt{2\pi}} \left[-e^{-\frac{t^2}{2}} \right]_{-\infty}^{\infty} = 0.$$

Now if $X \sim N(\mu, \sigma^2)$, then $Z = \frac{X - \mu}{\sigma}$, i.e. $X = \mu + \sigma Z$, so

$$\mathbb{E}[X] = \mu + \sigma \mathbb{E}[Z] = \mu.$$

Variance If $Z \sim N(0, 1)$, then

$$\mathbb{E}[Z^2] = \int_{-\infty}^{\infty} t^2 f_Z(t) dt = \frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} t \cdot \left[t e^{-\frac{t^2}{2}} \right] dt,$$

and we can integrate by parts:

$$\begin{aligned} \mathbb{E}[Z^2] &= \frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} t \left(t e^{-\frac{t^2}{2}} \right) dt = \frac{1}{\sqrt{2\pi}} \left[\left[t(-e^{-\frac{t^2}{2}}) \right]_{-\infty}^{\infty} + \int_{-\infty}^{\infty} e^{-\frac{t^2}{2}} dt \right] = \int_{-\infty}^{\infty} \frac{1}{\sqrt{2\pi}} e^{-\frac{t^2}{2}} dt \\ &= \int_{-\infty}^{\infty} f_Z(t) dt = 1. \end{aligned}$$

Hence,

$$\text{Var}(Z) = \mathbb{E}[Z^2] - \mathbb{E}[Z]^2 = 1 - 0 = 1.$$

Thus, for $X \sim N(\mu, \sigma^2)$, we have $Z = \frac{X - \mu}{\sigma}$, i.e. $Z\sigma + \mu = X$. Hence,

$$\text{Var}(X) = \mathbb{E}[(X - \mu)^2] = \mathbb{E}[(Z\sigma)^2] = \sigma^2 \mathbb{E}[Z^2] = \sigma^2.$$

Example 6.3.5. Suppose we have two envelopes, one has \$ x and the other has \$ $2x$, and we choose one, and look inside, and we can choose whether or not to switch the envelop we choose. What can we do to maximize our chances of getting more money?

Proof. Suppose the envelop we get has \$ y , then there is 50% of chance that $y = x$ and the other has \$ $2y$, while there is 50% of chance that $y = 2x$ and the other has $\frac{1}{2}y$. Thus,

$$\mathbb{E}[\text{payout}] = \frac{1}{2}(\$2y) + \frac{1}{2}(\$ \frac{1}{2}y) = \$ \frac{5}{4}y.$$

We can beat 50% chance of getting the bigger envelop. The method is to let $Z \sim N(0, 1)$ and sample z from Z . If $y < z$, then switch the envelop, and if $y \geq z$, then keep the envelop. There are three cases:

- Case 1: $z \leq x$, always keep envelop, we have 50% of winning.
- Case 2: $x < z \leq 2x$, always get right right envelop, so we have 100% of winning.
- Case 3: $2x < z$, always switch, so 50% of winning.

By the law of probability,

$$\begin{aligned}
 \mathbb{P}(\text{win}) &= \mathbb{P}(\text{win} \mid z < x)\mathbb{P}(z < x) + \mathbb{P}(\text{win} \mid x < z < 2x)\mathbb{P}(x < z < 2x) + \mathbb{P}(\text{win} \mid 2x < z)\mathbb{P}(2x < z) \\
 &= 50\% \cdot \mathbb{P}(z \leq x) + 100\% \cdot \mathbb{P}(x < z \leq 2x) + 50\% \cdot \mathbb{P}(2x < z) \\
 &= 50\%(1 - \mathbb{P}(x < z \leq 2x)) + 100\% \cdot \mathbb{P}(x < z \leq 2x) \\
 &= 50\% + 50\% \cdot \mathbb{P}(x < z \leq 2x) > 50\%.
 \end{aligned}$$

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Recall that if $X \sim N(\mu, \sigma^2)$, $f_X(x) = \frac{1}{\sigma\sqrt{2\pi}}e^{-\frac{(x-\mu)^2}{2\sigma^2}}$, then if we let $Z = \frac{X-\mu}{\sigma}$, then $Z \sim N(0, 1)$, and we call Z to be the z-score.

CDF

$$F_Z(z) = \mathbb{P}(Z \leq z) = \int_{-\infty}^z \frac{1}{\sqrt{2\pi}}e^{-\frac{t^2}{2}} dt := \Phi(z),$$

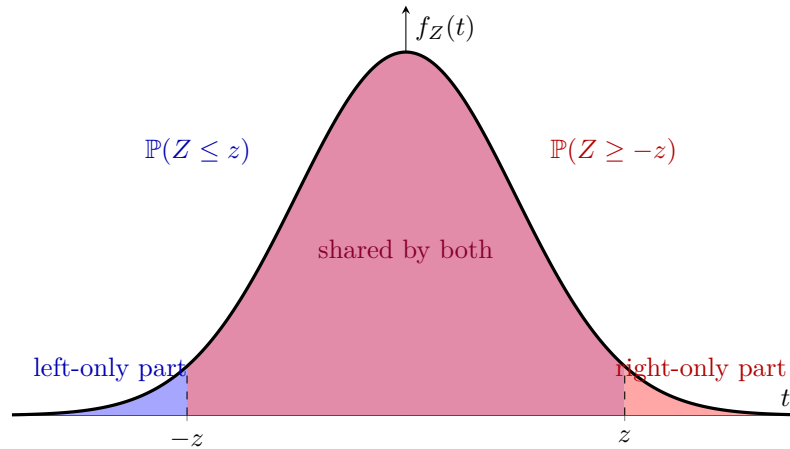
which cannot be expressed by elementary functions.

Remark 6.3.3.

- (i) $\mathbb{P}(a < Z \leq b) = \mathbb{P}(Z \leq b) - \mathbb{P}(Z \leq a) = \Phi(b) - \Phi(a)$.
- (ii) $\mathbb{P}(Z > a) = 1 - \mathbb{P}(Z \leq a) = 1 - \Phi(a)$.
- (iii) By symmetry of this distribution,

$$\Phi(z) = \mathbb{P}(Z \leq z) = \mathbb{P}(Z \geq -z) = 1 - \mathbb{P}(Z \leq -z) = 1 - \Phi(-z).$$

Thus, it suffices to know $\Phi(z)$ for $z \geq 0$.



- (iv) If $X \sim N(\mu, \sigma^2)$,

$$\mathbb{P}(X \leq x) = \mathbb{P}\left(Z \leq \frac{x - \mu}{\sigma}\right) = \Phi\left(\frac{x - \mu}{\sigma}\right).$$

Example 6.3.6. Transmitting binary data over a noise channel. If we send 1, then the receiver gets $1 + X$; if we send 0, then the receiver gets $0 + X = X$, where $X \sim N(0, 0.3^2)$. Our decoding algorithm is, when the receiver receives a number ≥ 0.5 , then they will see it as 1, otherwise they see it as 0. Then, what is the probability of mistaking a bit?

Proof. Suppose the signal sent is $S \in \{0, 1\}$, then

$$\begin{aligned}
 \mathbb{P}(\text{error}) &= \mathbb{P}(\text{error} \mid S = 0)\mathbb{P}(S = 0) + \mathbb{P}(\text{error} \mid S = 1)\mathbb{P}(S = 1) \\
 &= \mathbb{P}(X \geq 0.5)\mathbb{P}(S = 0) + \mathbb{P}(X < -0.5)\mathbb{P}(S = 1) \\
 &= \mathbb{P}(X < -0.5)\mathbb{P}(S = 0) + \mathbb{P}(X < -0.5)\mathbb{P}(S = 1) \quad (\text{by symmetry}) \\
 &= \mathbb{P}(X < -0.5) = \mathbb{P}\left(\frac{X - 0}{0.3} < \frac{-0.5}{0.3}\right) = \Phi(-1.67).
 \end{aligned}$$

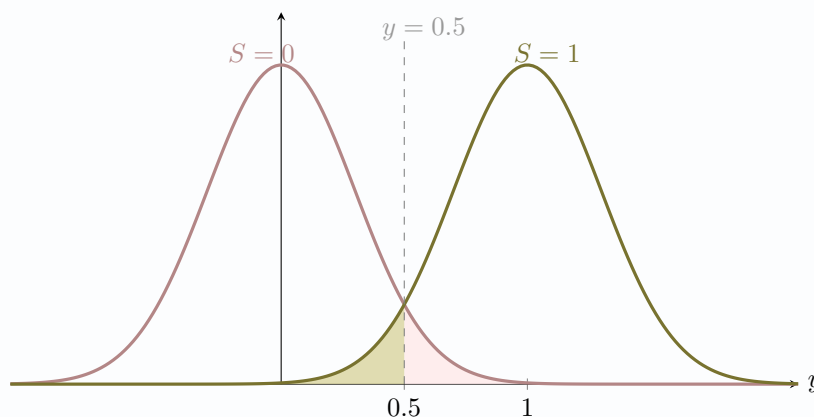


Figure 6.2: Colored area represents misreading signal

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Lecture 16

Approximating Binomials If $np(1-p) \rightarrow \infty$, then $\text{Bin}(n, p)$ looks normal.

23 April.

Theorem 6.3.3 (de Moivre-Laplace). Let $S_n \sim \text{Bin}(n, p)$, and let $p \in (0, 1)$ be fixed, then for any fixed $a < b$,

$$\mathbb{P}\left(a \leq \frac{S_n - np}{\sqrt{np(1-p)}} \leq b\right) \rightarrow \Phi(b) - \Phi(a) \text{ as } n \rightarrow \infty,$$

i.e. $\frac{S_n - np}{\sqrt{np(1-p)}}$ behaves like $N(0, 1)$, which shows S_n behaves like $N(np, np(1-p))$.

Remark 6.3.4. This approximation already works well if $np(1-p) \geq 10$.

Continuity correction If $S_n \sim \text{Bin}(n, p)$, and we estimate it with a normal distribution, then we should correct for the continuity:

$$\{S_n = k\} \leftrightarrow \left\{k - \frac{1}{2} < S_n \leq k + \frac{1}{2}\right\}.$$

Example 6.3.7. Tossing a fair coin 40 times. What is the probability of seeing 20 heads?

Answer. Number of heads $S_n \sim \text{Bin}(40, \frac{1}{2})$, then

$$\mathbb{P}(S_n = 20) = \binom{40}{20} \left(\frac{1}{2}\right)^{20} \left(\frac{1}{2}\right)^{20} = 0.1254.$$

For the normal approximation:

$$\begin{aligned} \mathbb{P}(S_n = 20) &= \mathbb{P}(19.5 \leq S_n \leq 20.5) = \mathbb{P}\left(\frac{-0.5}{\sqrt{10}} \leq \frac{S_n - 20}{\sqrt{10}} \leq \frac{0.5}{\sqrt{10}}\right) \\ &= \Phi\left(\frac{0.5}{\sqrt{10}}\right) - \Phi\left(\frac{-0.5}{\sqrt{10}}\right) = \Phi\left(\frac{0.5}{\sqrt{10}}\right) - \left(1 - \Phi\left(\frac{0.5}{\sqrt{10}}\right)\right) = 2\Phi\left(\frac{0.5}{\sqrt{10}}\right) - 1 \\ &\approx 0.1272. \end{aligned}$$

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Example 6.3.8. There is a country with population of N . The government wants to estimate the level of support for a new initiative. Suppose $p\%$ of the population are in support, and the government polls n people (with replacement) uniformly at random. Then, number of positive responses $S_n \sim \text{Bin}(n, p)$, then what should n be to estimate p to within $\pm 1\%$ error with probability $\geq 95\%$?

Answer.

$$\begin{aligned} \{\text{Estimating } p \text{ to within } 1\%\} &= \left\{ \left| \frac{S_n}{n} - p \right| \leq 0.01 \right\} = \{np - 0.01n \leq S_n \leq np + 0.01n\} \\ &= \{-0.01n \leq S_n - np \leq 0.01n\} \\ &= \left\{ \frac{-0.01n}{\sqrt{np(1-p)}} \leq \frac{S_n - np}{\sqrt{np(1-p)}} \leq \frac{0.01n}{\sqrt{np(1-p)}} \right\}. \end{aligned}$$

Note that

$$\frac{0.01n}{\sqrt{np(1-p)}} = \frac{0.01\sqrt{n}}{\sqrt{p(1-p)}} \geq 0.02\sqrt{n},$$

so

$$\begin{aligned} \mathbb{P}(\text{accurate}) &= \mathbb{P}\left(\frac{-0.01n}{\sqrt{np(1-p)}} \leq \frac{S_n - np}{\sqrt{np(1-p)}} \leq \frac{0.01n}{\sqrt{np(1-p)}}\right) \\ &\geq \mathbb{P}\left(-0.02\sqrt{n} \leq \frac{S_n - np}{\sqrt{np(1-p)}} \leq 0.02\sqrt{n}\right) \\ &\approx \Phi(0.02\sqrt{n}) - \Phi(-0.02\sqrt{n}) = 2\Phi(0.02\sqrt{n}) - 1 \geq 0.95, \end{aligned}$$

Hence, we want $n \geq 9604$.

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6.3.4 Gamma Distribution

Setting: Consider the Poisson process. That is, we have a sequence of occurrences, and:

1. The waiting time between successive occurrences is exponentially distributed with rate λ .
2. The occurrences are independent of each others. Note that the waiting time for the first occurrence follows a $\text{Exp}(\lambda)$ and the number of occurrences in a unit of time follows a $\text{Poi}(\lambda)$. Now, we care about the waiting time of the n -th occurrence.

Now let X_n = timestamp of the n -th event. Then, $X_1 \sim \text{Exp}(\lambda)$, and we know

$$\begin{aligned} F_{X_n}(t) &= \mathbb{P}(X_n \leq t) = \mathbb{P}(\text{at least } n \text{ events occur in } [0, t]) = \mathbb{P}(\text{Poi}(t\lambda) \geq n) \\ &= \sum_{j=n}^{\infty} \mathbb{P}(\text{Poi}(t\lambda) = j) = \sum_{j=n}^{\infty} e^{-t\lambda} \frac{(t\lambda)^j}{j!}. \end{aligned}$$

Thus,

$$\begin{aligned}
 f_{X_n}(t) &= \frac{d}{dt} F_{X_n}(t) = \sum_{j=n}^{\infty} \frac{d}{dt} \left[\frac{e^{-\lambda t} (t\lambda)^j}{j!} \right] = \sum_{j=n}^{\infty} \frac{1}{j!} [-\lambda e^{-t\lambda} (t\lambda)^j + e^{-t\lambda} \lambda j (t\lambda)^{j-1}] \\
 &= \left(-\lambda \sum_{j=n}^{\infty} e^{-t\lambda} \frac{(t\lambda)^j}{j!} \right) + \left(\lambda \sum_{j=n}^{\infty} e^{-t\lambda} \frac{(t\lambda)^{j-1}}{(j-1)!} \right) \\
 &= \left(-\lambda \sum_{j=n}^{\infty} e^{-t\lambda} \frac{(t\lambda)^j}{j!} \right) + \left(\lambda \sum_{j=n-1}^{\infty} e^{-t\lambda} \frac{(t\lambda)^j}{j!} \right) = \frac{\lambda e^{-t\lambda} (t\lambda)^{n-1}}{(n-1)!},
 \end{aligned}$$

so we have

$$f_{X_n}(t) = \frac{\lambda e^{-t\lambda} (t\lambda)^{n-1}}{(n-1)!} \quad (t \geq 0).$$

We can check that

$$f_{X_1}(t) = \lambda e^{-t\lambda},$$

which is an exponential pdf, so it makes sense.

Definition 6.3.3 (Gamma Distribution). If we have $\lambda \in \mathbb{R}_{>0}$ and $\alpha \in \mathbb{R}_{>0}$, then $X \sim \Gamma(\alpha, \lambda)$ iff

$$f_X(x) = \begin{cases} \frac{\lambda e^{-\lambda x} (\lambda x)^{\alpha-1}}{\Gamma(\alpha)}, & \text{if } x \geq 0; \\ 0, & \text{if } x < 0. \end{cases}$$

where

$$\Gamma(\alpha) := \int_0^{\infty} e^{-y} y^{\alpha-1} dy.$$

Note that $\Gamma(1) = 1$. In general, for $\alpha > 1$,

$$\Gamma(\alpha) = \int_0^{\infty} e^{-y} y^{\alpha-1} dy = [-e^{-y} y^{\alpha-1}]_0^{\infty} + \int_0^{\infty} (\alpha-1) e^{-y} y^{\alpha-2} dy = (\alpha-1) \Gamma(\alpha-1).$$

Hence,

$$\Gamma(1) = 1, \quad \Gamma(\alpha) = (\alpha-1) \Gamma(\alpha-1),$$

and by induction we can show that

$$\Gamma(n) = (n-1)! \quad \forall n \in \mathbb{N}.$$

Hence,

$$\Gamma(n, \lambda) = \text{timestamps for the } n\text{-th event in the Poisson process with rate } \lambda.$$

Expectation

$$\begin{aligned}
 \mathbb{E}[X] &= \int_{-\infty}^{\infty} x f_X(x) dx = \int_0^{\infty} x \frac{\lambda e^{-\lambda x} (\lambda x)^{\alpha-1}}{\Gamma(\alpha)} dx = \frac{1}{\Gamma(\alpha)} \int_0^{\infty} e^{-\lambda x} (\lambda x)^{\alpha} dx \\
 &= \frac{1}{\Gamma(\alpha)} \int_0^{\infty} e^{-y} y^{\alpha} \cdot \frac{1}{\lambda} dy = \frac{1}{\lambda \Gamma(\alpha)} \int_0^{\infty} e^{-y} y^{(\alpha+1)-1} dy = \frac{\Gamma(\alpha+1)}{\lambda \Gamma(\alpha)} = \frac{\alpha}{\lambda}.
 \end{aligned}$$

Special case: $\alpha = n \in \mathbb{N}$

$\Gamma(n, \lambda)$ = timestamps for the n -th event in the Poisson process with $\text{Exp}(\lambda)$ waiting time.

Suppose $X \sim \Gamma(n, \lambda)$, then $X = W_1 + W_2 + \dots + W_n$, where W_i is the waiting time between $(i-1)$ -th and i -th event. Hence, $W_i \sim \text{Exp}(\lambda)$.

Hence,

$$\mathbb{E}[X] = \mathbb{E} \left[\sum_{i=1}^n W_i \right] = \sum_{i=1}^n \mathbb{E}[W_i] = \sum_{i=1}^n \frac{1}{\lambda} = \frac{n}{\lambda}.$$

Variance If $S \sim \Gamma(\alpha, \lambda)$, then

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2,$$

and

$$\begin{aligned} \mathbb{E}[X^2] &= \int_0^\infty x^2 \frac{\lambda e^{-\lambda x} (\lambda x)^{\alpha-1}}{\Gamma(\alpha)} dx = \frac{1}{\lambda \Gamma(\alpha)} \int_0^\infty e^{\lambda x} (\lambda x)^{\alpha+1} dx \\ &= \frac{1}{\lambda^2 \Gamma(\alpha)} \int_0^\infty e^{-y} y^{\alpha+1} dy \\ &= \frac{\Gamma(\alpha+2)}{\lambda^2 \Gamma(\alpha)} = \frac{(\alpha+1)\alpha \Gamma(\alpha)}{\lambda^2 \Gamma(\alpha)} = \frac{(\alpha+1)\alpha}{\lambda^2}. \end{aligned}$$

Thus,

$$\text{Var}(X) = \mathbb{E}[X^2] - \mathbb{E}[X]^2 = \frac{(\alpha+1)\alpha}{\lambda^2} - \frac{\alpha^2}{\lambda^2} = \frac{\alpha}{\lambda^2}.$$

Lecture 17

6.4 Functions of continuous random variables

28 April.

Let X be a continuous random variable with pdf f_X and $X : S \rightarrow \mathbb{R}$. Let $Y = g(X)$ for some $g : \mathbb{R} \rightarrow \mathbb{R}$. Then Y is also a random variable $Y = g \circ X : S \rightarrow \mathbb{R}$.

Question. What can we say about its distribution?

To solve this problem, we can

1. Find the cdf $F_Y(y) := \mathbb{P}(Y \leq y)$.
2. Differentiate to find $f_Y(y) = F'_Y(y)$.

Example 6.4.1. Let $Y = X^2$, then

$$F_Y(y) = \mathbb{P}(Y \leq y) = \mathbb{P}(X^2 \leq y) = \mathbb{P}(-\sqrt{y} \leq X \leq \sqrt{y}) = \int_{-\sqrt{y}}^{\sqrt{y}} f_X(x) dx$$

Theorem 6.4.1. Let $Y = g(X)$, where g is differentiable and strictly increasing. Then, if X has pdf f_X , the pdf of Y is

$$f_Y(y) = \begin{cases} 0, & \text{if } y \notin g(\mathbb{R}); \\ f_X(g^{-1}(y)) \frac{d}{dy}(g^{-1}(y)), & \text{if } y \in g(\mathbb{R}). \end{cases}$$

Remark 6.4.1.

$$\frac{d}{dy} g^{-1}(y) = \frac{1}{g'(g^{-1}(y))}.$$

Proof. We first find cdf of Y :

$$\mathbb{P}(Y \leq y) = \mathbb{P}(g(X) \leq y) = \begin{cases} \mathbb{P}(X \leq g^{-1}(y)) = F_X(g^{-1}(y)), & \text{if } y \in g(\mathbb{R}); \\ 0, & \text{if } y \leq \inf g(\mathbb{R}); \\ 1, & \text{if } y \geq \sup g(\mathbb{R}). \end{cases}$$

where $F_X(x) = \mathbb{P}(X \leq x)$ is the cdf of X . To find the density function of Y , we can differentiate:

$$f_Y(y) = \frac{d}{dy} \mathbb{P}(Y \leq y) = \begin{cases} 0, & \text{if } y \notin g(\mathbb{R}); \\ f_X(g^{-1}(y)) \cdot \frac{d}{dy}(g^{-1}(y)), & \text{if } y \in g(\mathbb{R}). \end{cases}$$

by chain rule. ■

Chapter 7

Jointly Distributed Random Variables

Example 7.0.1. Suppose $X \sim \text{Bin}(n, p)$, $Y \sim \text{Geom}(p)$, where $0 \leq p \leq 1$ and $n \in \mathbb{N}$. What is $\mathbb{P}(X = k, Y = n)$ and $\mathbb{E}[X + Y]$?

Answer. By linearity of expectation: $\mathbb{E}[X + Y] = \mathbb{E}[X] + \mathbb{E}[Y] = np + \frac{1}{p}$. However, $\mathbb{P}(X = k, Y = n)$ may not equal to $\mathbb{P}(X = k)\mathbb{P}(Y = n)$.

Note that X and Y needs not to be independent. To compute $\mathbb{P}(X = k, Y = n)$, suppose we have a p -biased coin, and X is the number of heads in n tosses, while Y is the number of tosses until the first head. If we toss n times, count heads, then start over and count tosses to first head, then they are independent, and we have

$$\mathbb{P}(X = k, Y = n) = \mathbb{P}(X = k)\mathbb{P}(Y = n).$$

But if we use the same tosses to measure both X and Y , i.e. tosses until first heads / n tosses, whichever comes last, then variables depend on each other, so

$$\mathbb{P}(X = k, Y = n) = \mathbb{P}(X = k)\mathbb{P}(Y = n)$$

need not be true. ⊛

Definition 7.0.1 (Joint cdf). Given random variables X, Y in a probability space $(S, \mathbb{P})$, we define the joint cumulative distribution function

$$F_{X,Y}(a, b) := \mathbb{P}(\{X \leq a\} \cap \{Y \leq b\}) = \mathbb{P}(X \leq a, Y \leq b).$$

Definition 7.0.2 (Marginal Distribution). Given variables X, Y on a probability space $(S, \mathbb{P})$ with joint cdf $F_{X,Y}$, the marginal distributions are

$$F_X(x) = \mathbb{P}(X \leq x) = \mathbb{P}(X \leq x, Y \leq \infty) = F_{X,Y}(x, \infty) = \lim_{y \rightarrow \infty} F_{X,Y}(x, y).$$

Similarly,

$$F_Y(y) = F_{X,Y}(\infty, y) = \lim_{x \rightarrow \infty} F_{X,Y}(x, y).$$

Definition 7.0.3. Given discrete random variables X, Y on a probability space $(S, \mathbb{P})$, we define the joint probability mass function

$$p_{X,Y}(x, y) = \mathbb{P}(X = x, Y = y).$$

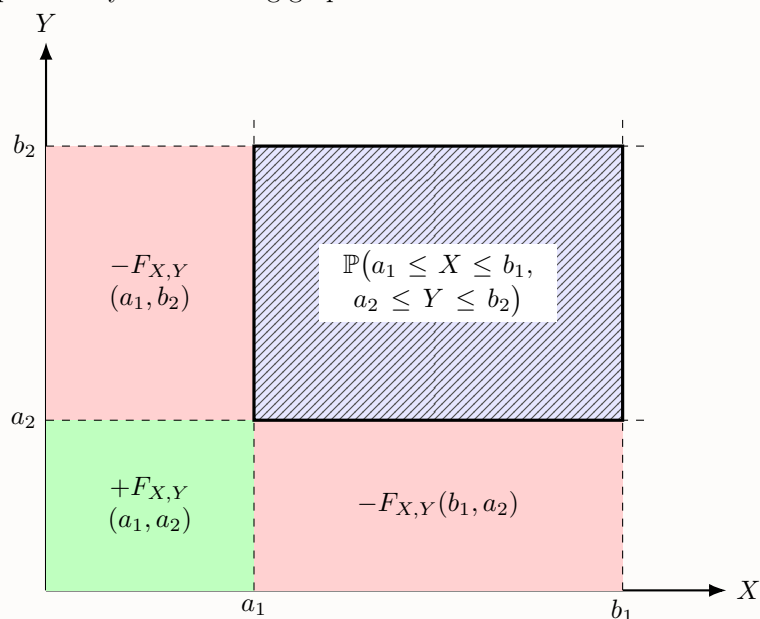
Note that we have the marginals

$$p_X(x) = \sum_y p_{x,y}(x, y), \quad p_Y(y) = \sum_x p_{x,y}(x, y).$$

Lemma 7.0.1. For any random variables X, Y ,

$$\mathbb{P}(\{a_1 \leq X \leq b_1\} \cap \{a_2 \leq Y \leq b_2\}) = F_{X,Y}(a_1, a_2) + F_{X,Y}(b_1, b_2) - F_{X,Y}(a_1, b_2) - F_{X,Y}(b_1, a_2).$$

Proof. We can prove it by the following graph.



■

Example 7.0.2. In a country,

- 15 % of families have 0 children
- 30 % of families have 1 children
- 35 % of families have 2 children
- 20 % of families have 3 children

Each child is equally likely to be a boy or a girl, independently. Let $X = \#$ of boys in a uniformly random family, and $Y = \#$ of girls in a uniformly random family. What is the distribution of X, Y ? What is $\mathbb{E}[X]$?

Proof.

$$p_{X,Y}(i, j) = \mathbb{P}(X = i, Y = j) = \mathbb{P}(X = i, Y = j, X + Y = i + j),$$

since

$$\mathbb{P}(X = i, Y = j, X + Y = i + j) = \mathbb{P}(X + Y = i + j \mid X = i, Y = j) \mathbb{P}(X = i, Y = j) = \mathbb{P}(X = i, Y = j).$$

Also,

$$\begin{aligned} \mathbb{P}(X = i, Y = j, X + Y = i + j) &= \mathbb{P}(X = i, Y = j \mid X + Y = i + j) \mathbb{P}(X + Y = i + j) \\ &= \mathbb{P}(\text{Bin}\left(i + j, \frac{1}{2}\right) = i) \mathbb{P}(X + Y = i + j) \end{aligned}$$

$X \backslash Y$	0	1	2	3	$p_X(x)$
0	0.15	$\binom{1}{0} \left(\frac{1}{2}\right)^1 (0.30) = 0.15$	$\binom{2}{0} \left(\frac{1}{2}\right)^2 (0.35) = 0.0875$	$\binom{3}{0} \left(\frac{1}{2}\right)^3 (0.20) = 0.025$	0.4125
1	$\binom{1}{1} \left(\frac{1}{2}\right)^1 (0.30) = 0.15$	$\binom{2}{1} \left(\frac{1}{2}\right)^2 (0.35) = 0.175$	$\binom{3}{1} \left(\frac{1}{2}\right)^3 (0.20) = 0.075$	0	0.4
2	$\binom{2}{2} \left(\frac{1}{2}\right)^2 (0.35) = 0.0875$	$\binom{3}{2} \left(\frac{1}{2}\right)^3 (0.20) = 0.075$	0	0	0.1625
3	$\binom{3}{3} \left(\frac{1}{2}\right)^3 (0.20) = 0.025$	0	0	0	0.025

Hence,

$$\mathbb{E}[X] = \sum_{x=0}^3 x\mathbb{P}(X=x) = 0.4 + 2 \times 0.1625 + 3 \times 0.025 = 0.8.$$

⊛

Definition 7.0.4. Given continuous random variables X, Y on a probability space $(S, \mathbb{P})$, we say they have a joint probability density function $f_{X,Y}(x, y)$ if for any (measurable) set $C \subseteq \mathbb{R}^2$,

$$\mathbb{P}((x, y) \in C) = \iint_C f_{X,Y}(x, y) \, dx \, dy.$$

We can observe that

$$F_{X,Y}(x, y) := \mathbb{P}(X \leq x, Y \leq y) = \mathbb{P}((x, y) \in (-\infty, x] \times (-\infty, y]) = \int_{-\infty}^x \int_{-\infty}^y f_{X,Y}(u, v) \, dv \, du.$$

Thus,

$$f_{X,Y}(x, y) = \left. \frac{\partial^2}{\partial u \partial v} F_{X,Y}(u, v) \right|_{\substack{u=x \\ v=y}}.$$

Example 7.0.3. Let X, Y have the joint density

$$f_{X,Y}(x, y) = \begin{cases} e^{-(x+y)}, & \text{if } x, y \geq 0; \\ 0, & \text{if } x < 0 \text{ or } y < 0. \end{cases}$$

What is $\mathbb{P}(X > Y)$? What is $\mathbb{P}(X \leq t)$ for $t \in \mathbb{R}$? What is the distribution of $\frac{X}{Y}$?

Proof.

(a) What is $\mathbb{P}(X > Y)$? Let $C = \{(x, y) : X > Y\}$, then

$$\begin{aligned} \mathbb{P}(X > Y) &= \mathbb{P}((x, y) \in C) = \iint_C f_{X,Y}(u, v) \, du \, dv = \int_{-\infty}^{\infty} \int_{-\infty}^u f_{X,Y}(u, v) \, dv \, du \\ &= \int_0^{\infty} \int_0^u e^{-(u+v)} \, dv \, du = \int_0^{\infty} e^{-u} \int_0^u e^{-v} \, dv \, du \\ &= \int_0^{\infty} e^{-u} ([-e^{-v}]_0^u) \, du = \int_0^{\infty} e^{-u} (1 - e^{-u}) \, du \\ &= \int_0^{\infty} e^{-u} - e^{-2u} \, du = \frac{1}{2}. \end{aligned}$$

(b) What is $\mathbb{P}(X \leq t)$ for $t \in \mathbb{R}$?

$$\begin{aligned}\mathbb{P}(X \leq t) &= \iint_{\{u \leq t\}} f_{X,Y}(u, v) \, du \, dv = \int_{-\infty}^{\infty} \int_{-\infty}^t f_{X,Y}(u, v) \, du \, dv \\ &= \int_0^{\infty} \int_0^t e^{-(u+v)} \, du \, dv = 1 - e^{-t}.\end{aligned}$$

(c) What is $F_{\frac{X}{Y}}(t)$?

$$\begin{aligned}F_{\frac{X}{Y}}(t) &= \mathbb{P}\left(\frac{X}{Y} \leq t\right) = \mathbb{P}(X \leq tY) = \iint_{\{u \leq tv\}} f_{X,Y}(u, v) \, du \, dv \\ &= \int_{-\infty}^{\infty} \int_{-\infty}^{tv} f_{X,Y}(u, v) \, du \, dv = \int_0^{\infty} \int_0^{tv} e^{-(u+v)} \, du \, dv = 1 - \frac{1}{t+1}.\end{aligned}$$

⊛

Lecture 18

Example 7.0.4. A dart lands at a uniformly random point (X, Y) on a dartboard of radius R .

April 30.

- (a) Find the joint pdf $f_{X,Y}(x, y)$.
- (b) Find the marginal pdf of X .
- (c) What is the expectation of D , the distance to the center of the dashboard?

Proof.

(a) Since (X, Y) is uniform on the board,

$$f_{X,Y}(x, y) = \begin{cases} C, & \text{if } x^2 + y^2 \leq R^2; \\ 0, & \text{if } x^2 + y^2 > R^2. \end{cases}$$

Thus,

$$1 = \iint_{\mathbb{R}^2} f_{X,Y}(u, v) \, du \, dv = \iint_{\{u^2 + v^2 \leq R^2\}} C \, du \, dv = C\pi R^2.$$

Hence, $C = \frac{1}{\pi R^2}$.

(b)

$$\begin{aligned}F_X(t) &= \mathbb{P}(X \leq t) = \iint_{\{u \leq t\}} f_{X,Y}(u, v) \, du \, dv \\ &= \begin{cases} 0, & \text{if } t < -R; \\ \iint_{\{u \leq t\}} f_{X,Y}(u, v) \, du \, dv, & \text{if } -R \leq t \leq R; \\ 1, & \text{if } t > R. \end{cases}\end{aligned}$$

If $-R \leq t \leq R$,

$$\iint_{\{u \leq t\}} f_{X,Y}(u, v) \, du \, dv = \int_{-R}^t \int_{-\sqrt{R^2 - u^2}}^{\sqrt{R^2 - u^2}} \frac{1}{\pi R^2} \, dv \, du = \int_{-R}^t \frac{2}{\pi R^2} \sqrt{R^2 - u^2} \, du.$$

Hence, X has the pdf

$$f_X(t) = \begin{cases} \frac{2}{\pi R^2} \sqrt{R^2 - t^2}, & \text{if } t \in [-R, R]; \\ 0, & \text{if } t \notin [-R, R]. \end{cases}$$

(c) Since for $0 \leq t \leq R$ we know

$$\begin{aligned} F_D(t) &= \mathbb{P}(D \leq t) = \mathbb{P}(D^2 \leq t^2) = \mathbb{P}(X^2 + Y^2 \leq t^2) = \iint_{\{u^2 + v^2 \leq t^2\}} f_{X,Y}(u, v) \, du \, dv \\ &= \iint_{\{u^2 + v^2 \leq t^2\}} \frac{1}{\pi R^2} \, du \, dv = \frac{t^2}{R^2}. \end{aligned}$$

Hence, D has the pdf

$$f_D(t) = F'_D(t) = \begin{cases} \frac{2t}{R^2}, & \text{if } 0 \leq t \leq R; \\ 0, & \text{otherwise.} \end{cases}$$

Hence,

$$\mathbb{E}[D] = \int_{\mathbb{R}} t f_D(t) \, dt = \int_0^R \frac{2t^2}{R^2} \, dt = \frac{2}{3} R.$$

⊛

7.1 Independent Random Variables

Definition 7.1.1. We say that two random variables X, Y on a probability space X, Y are independent if for all (measurable) $A, B \subseteq \mathbb{R}$, we have

$$\mathbb{P}(X \in A, Y \in B) = \mathbb{P}(X \in A) \mathbb{P}(Y \in B).$$

Proposition 7.1.1. Random variables X and Y are independent if and only if

$$F_{X,Y}(x, y) = F_X(x) F_Y(y)$$

for all $x, y \in \mathbb{R}$.

Proof.

($\Rightarrow$) Suppose that X and Y are independent. Then

$$\begin{aligned} F_{X,Y}(x, y) &= \mathbb{P}(X \leq x, Y \leq y) = \mathbb{P}(X \in (-\infty, x], Y \in (-\infty, y]) \\ &= \mathbb{P}(X \in (-\infty, x]) \mathbb{P}(Y \in (-\infty, y]) = F_X(x) F_Y(y). \end{aligned}$$

($\Leftarrow$) Assume that

$$F_{X,Y}(x, y) = F_X(x) F_Y(y)$$

for all $x, y \in \mathbb{R}$.

We first prove that

$$\mathbb{P}(X \in A, Y \in B) = \mathbb{P}(X \in A) \mathbb{P}(Y \in B)$$

whenever

$$A = (a_1, a_2], \quad B = (b_1, b_2].$$

Indeed,

$$\begin{aligned}
 \mathbb{P}(X \in A, Y \in B) &= \mathbb{P}(a_1 < X \leq a_2, b_1 < Y \leq b_2) \\
 &= F_{X,Y}(a_2, b_2) - F_{X,Y}(a_1, b_2) - F_{X,Y}(a_2, b_1) + F_{X,Y}(a_1, b_1) \\
 &= F_X(a_2)F_Y(b_2) - F_X(a_1)F_Y(b_2) - F_X(a_2)F_Y(b_1) + F_X(a_1)F_Y(b_1) \\
 &= (F_X(a_2) - F_X(a_1))(F_Y(b_2) - F_Y(b_1)) \\
 &= \mathbb{P}(a_1 < X \leq a_2) \mathbb{P}(b_1 < Y \leq b_2) \\
 &= \mathbb{P}(X \in A) \mathbb{P}(Y \in B).
 \end{aligned}$$

Since the collection of half-open intervals $(a, b]$ generates the Borel σ -algebra on $\mathbb{R}$, it follows from the monotone class theorem (or the π - λ theorem) that

$$\mathbb{P}(X \in E, Y \in F) = \mathbb{P}(X \in E) \mathbb{P}(Y \in F)$$

for all Borel sets $E, F \subseteq \mathbb{R}$.

Therefore X and Y are independent. ■

Corollary 7.1.1. Suppose that the random variables X and Y admit a joint density function $f_{X,Y}$ and marginal density functions f_X and f_Y . Then X and Y are independent if and only if

$$f_{X,Y}(x, y) = f_X(x)f_Y(y)$$

for almost every $(x, y) \in \mathbb{R}^2$.

Remark 7.1.1. For discrete random variables or X, Y continuous and have joint pdf,

$$F_{X,Y}(x, y) = F_X(x)F_Y(y) \Leftrightarrow p_{X,Y}(x, y) = p_X(x)p_Y(y).$$

Example 7.1.1. Atletico Madrid v.s. Arsenal. Suppose the number of penalties $\sim \text{Poi}(\lambda)$. When a penalty is awarded, it is for Atletico with probability p , and Arsenal with probability $1 - p$, independently of all other penalties. Let X be the number of penalties for Atl Madrid, Y be the number of penalties for Ars.

$$\begin{aligned}
 p_{X,Y}(x, y) &= \mathbb{P}(X = x, Y = y) = \mathbb{P}(\{X = x, Y = y\} \cap \{X + Y = x + y\}) \\
 &= \mathbb{P}(X = x, Y = y \mid X + Y = x + y) \mathbb{P}(X + Y = x + y).
 \end{aligned}$$

Since $X + Y \sim \text{Poi}(\lambda)$,

$$\mathbb{P}(X + Y = x + y) = e^{-\lambda} \frac{\lambda^{x+y}}{(x+y)!}.$$

Since each penalty goes to Atl Madrid with probability p , independently, if we condition on there being $x + y$ penalties, in total, $X \sim \text{Bin}(x + y, p)$. Hence,

$$\begin{aligned}
 \mathbb{P}(X = x, Y = y \mid X + Y = x + y) &= \mathbb{P}(X = x \mid X + Y = x + y) = \mathbb{P}(\text{Bin}(x + y, p) = x) \\
 &= \binom{x+y}{x} p^x (1-p)^{(x+y)-x}.
 \end{aligned}$$

Hence,

$$\begin{aligned}
 p_{X,Y}(x,y) &= \mathbb{P}(X=x, Y=y) = \binom{x+y}{x} p^x (1-p)^y \cdot e^{-\lambda} \frac{\lambda^{x+y}}{(x+y)!} \\
 &= \frac{e^{-\lambda} p^x (1-p)^y \lambda^{x+y}}{x!y!} = e^{-\lambda} \left(\frac{p^x \lambda^x}{x!} \right) \left(\frac{(1-p)^y \lambda^y}{y!} \right) \\
 &= e^{-\lambda(p+(1-p))} \left(\frac{p^x \lambda^x}{x!} \right) \left(\frac{(1-p)^y \lambda^y}{y!} \right) \\
 &= \left(e^{-\lambda p} \frac{p^x \lambda^x}{x!} \right) \left(e^{-\lambda(1-p)} \frac{(1-p)^y \lambda^y}{y!} \right) = p_X(x) p_Y(y).
 \end{aligned}$$

This gives $X \sim \text{Poi}(\lambda p)$ and $Y \sim \text{Poi}(\lambda(1-p))$ and X, Y are independent.

Remark 7.1.2. Last equality holds since we can use

$$p_X(x) = \sum_{y=0}^{\infty} p_{X,Y}(x,y), \quad p_Y(y) = \sum_{x=0}^{\infty} p_{X,Y}(x,y).$$

Proposition 7.1.2. If X, Y are continuous random variables on a probability space $(S, \mathbb{P})$, and their joint pdf function $f_{X,Y}(x,y) = g(x)h(y)$ for some function g, h of x, y , respectively, then X and Y are independent.

Proof. Let $c_1 = \int_{\mathbb{R}} g(x) dx$ and $c_2 = \int_{\mathbb{R}} h(y) dy$. Then,

$$\begin{aligned}
 1 &= \iint_{\mathbb{R}^2} f_{X,Y}(x,y) dx dy = \iint_{\mathbb{R}^2} g(x)h(y) dx dy \\
 &= \left(\int_{\mathbb{R}} g(x) dx \right) \left(\int_{\mathbb{R}} h(y) dy \right) = c_1 c_2.
 \end{aligned}$$

Also,

$$f_X(x) = \int_{\mathbb{R}} f_{X,Y}(x,y) dy = \int_{\mathbb{R}} g(x)h(y) dy = c_2 g(x).$$

Similarly, $f_Y(y) = c_1 h(y)$. Hence,

$$f_{X,Y}(x,y) = g(x)h(y) = 1 \cdot g(x)h(y) = c_1 c_2 g(x)h(y) = f_X(x)f_Y(y).$$

■

Example 7.1.2. Suppose

- X, Y are continuous random variables with differentiable pdf f_X, f_Y .
- X, Y are independent.
- joint density function only depends on $X^2 + Y^2$, ie.. $f_{X,Y}(x,y) = g(x^2 + y^2)$ for some function g .

Then, X and Y are normally distributed.

Proof.

$$f_X(x)f_Y(y) = f_{X,Y}(x,y) = g(x^2 + y^2)$$

by independence. If we differentiate w.r.t. x , we have

$$f'_X(x)f_Y(y) = 2xg'(x^2 + y^2).$$

Hence,

$$\frac{f'_X(x)}{f_X(x)} = \frac{2xg'(x^2 + y^2)}{g(x^2 + y^2)} \Rightarrow \frac{f'_X(x)}{xf_X(x)} = \frac{2g'(x^2 + y^2)}{g(x^2 + y^2)}.$$

Now we give a claim:

Claim 7.1.1.

$$\frac{f'_X(x_1)}{x_1 f_X(x_1)} = \frac{f'_X(x_2)}{x_2 f_X(x_2)} \quad \forall x_1, x_2 \in \mathbb{R}.$$

Proof. Find y_1, y_2 s.t. $x_1^2 + y_1^2 = x_2^2 + y_2^2$, i.e. $y_1 = x_2$ and $y_2 = x_1$, then

$$\frac{f'_X(x_1)}{x_1 f_X(x_1)} = \frac{2g'(x_1^2 + y_1^2)}{g(x_1^2 + y_1^2)} = \frac{2g'(x_2^2 + y_2^2)}{g(x_2^2 + y_2^2)} = \frac{f'_X(x_2)}{x_2 f_X(x_2)}.$$

Hence,

$$\frac{f'_X(x)}{xf_X(x)} \equiv c \text{ for some } c \in \mathbb{R}.$$

⊗

Now we know

$$\frac{f'_X(x)}{f_X(x)} = Cx,$$

then integrate it, we have

$$\ln f_X(x) = C'x^2 + C''.$$

Hence,

$$f_X(x) = Ae^{C'x^2}$$

for some constants A, C' . Now since

$$\int_{-\infty}^{\infty} f_X(x) dx = 1,$$

we have $C' < 0$, so $\exists \sigma \in \mathbb{R}_{>0}$ s.t. $C' = \frac{-1}{2\sigma^2}$. This gives

$$f_X(x) = Ae^{-\frac{x^2}{2\sigma^2}},$$

and by $\int_{-\infty}^{\infty} f_X(x) dx = 1$ and f_X is proportional to f_Z where $Z \sim N(0, \sigma^2)$, we have $A = \frac{1}{\sigma\sqrt{2\pi}}$. Hence, $X \sim N(0, \sigma^2)$. By symmetry, we know $Y \sim N(0, \bar{\sigma}^2)$. Hence,

$$f_{X,Y}(x, y) = f_X(x)f_Y(y) = \frac{1}{\sigma\bar{\sigma}2\pi} e^{-\frac{x^2}{2\sigma^2} - \frac{y^2}{2\bar{\sigma}^2}},$$

and since this only depends on $x^2 + y^2$, we must have $\sigma = \bar{\sigma}$.

⊗

Lecture 19

Example 7.1.3. Suppose (X, Y) is uniform on the unit square $S = [0, 1]^2$. Are X and Y independent?

May 5.

Proof. Note that

$$f_{X,Y}(x, y) = \begin{cases} C, & \text{if } (x, y) \in S; \\ 0, & \text{if } (x, y) \notin S. \end{cases}$$

Now by $\iint f_{X,Y} dx dy = 1$, we have $C = 1$. Hence,

$$f_{X,Y}(x, y) = 1_{(x,y) \in S}(x, y) = 1_{0 \leq x \leq 1}(x) \cdot 1_{0 \leq y \leq 1}(y) = f_X(x) \cdot f_Y(y).$$

⊛

Example 7.1.4. Let (X, Y) be uniformly distributed over the triangle with vertices $(0, 0)$, $(1, 0)$, $(1, 1)$. Are X, Y independent?

Proof. No. Since $\mathbb{P}(0 < X < \frac{1}{2}, \frac{1}{2} < Y < 1) = 0$ but

$$\mathbb{P}(0 < X < \frac{1}{2}) \cdot \mathbb{P}(\frac{1}{2} < Y < 1) = \frac{1}{4} \cdot \frac{1}{4} \neq 0.$$

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7.2 Sums of Independent Random Variables

Question. Suppose X, Y are independent continuous random variables. What is the distribution of $X + Y$?

Answer. Calculate the cdf of $X + Y$:

$$\begin{aligned} F_{X+Y}(z) &= \mathbb{P}(X + Y \leq z) = \mathbb{P}(\{(x, y) : x + y \leq z\}) = \iint_{\{x+y \leq z\}} f_{X,Y}(x, y) \, dx \, dy \\ &= \iint_{\{x+y \leq z\}} f_X(x) f_Y(y) \, dx \, dy = \int_{-\infty}^{\infty} \int_{-\infty}^{z-x} f_X(x) f_Y(y) \, dy \, dx \end{aligned}$$

Now let $v = y + x$, then

$$\int_{-\infty}^{\infty} \int_{-\infty}^{z-x} f_X(x) f_Y(y) \, dy \, dx = \int_{-\infty}^{\infty} \int_{-\infty}^z f_X(x) f_Y(v - x) \, dv \, dx.$$

Thus,

$$F_{X+Y}(z) = \int_{-\infty}^z \int_{-\infty}^{\infty} f_X(x) f_Y(v - x) \, dx \, dv.$$

Differentiating w.r.t. z ,

$$f_{X+Y}(z) = F'_{X+Y}(z) = \int_{-\infty}^{\infty} f_X(x) f_Y(z - x) \, dx.$$

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Definition 7.2.1. Given functions f, g , their convolution is

$$h(z) = \int_{-\infty}^{\infty} f(x) g(z - x) \, dx.$$

Proposition 7.2.1. Let X and Y be independent continuous random variables with density functions f_X and f_Y . Then the density of the sum $X + Y$ is the convolution of f_X and f_Y .

Remark 7.2.1.

$$f_{X+Y}(x) = \int_{-\infty}^{\infty} f_X(x) f_Y(z - x) \, dx = \int_{-\infty}^{\infty} f_X(z - y) f_Y(y) \, dy.$$

Example 7.2.1. Let $X, Y \sim \text{Unif}([0, 1])$ and independent. What is the distribution of $X + Y$?

Proof. By proposition,

$$\begin{aligned}
 f_{X+Y}(z) &= \int_{-\infty}^{\infty} f_X(x) f_Y(z-x) dx = \int_{-\infty}^{\infty} 1_{[0,1]}(x) \cdot 1_{[0,1]}(z-x) dx \\
 &= \int_{\max(0, z-1)}^{\min(z, 1)} 1 dx = \min(z, 1) - \max(0, z-1) \\
 &= \begin{cases} 0, & \text{if } z < 0; \\ z, & \text{if } 0 \leq z \leq 1; \\ 2-z, & \text{if } 1 \leq z \leq 2; \\ 0, & \text{if } z \geq 2. \end{cases}
 \end{aligned}$$

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Question. Let $X_1, X_2, \dots, X_n \sim \text{Unif}([0, 1])$ independent, what is the distribution of $S_n = \sum_{i=1}^n X_i$ over the region $[0, 1]^n$?

Answer. Do induction on n .

- $n = 1$: $f_{S_1}(z) = 1$ for $0 \leq z \leq 1$.
- $n = 2$: $f_{S_2}(z) = z$ for $0 \leq z \leq 1$ (last example).
- $n = 3$: $S_3 = X_1 + X_2 + X_3 = S_2 + X_3$, then for $0 \leq z \leq 1$,

$$f_{S_3}(z) = \int_0^z f_{S_2}(z-x) \overbrace{f_{X_3}(x)}^1 dx = \int_0^z x dx = \frac{z^2}{2}.$$

Claim 7.2.1. $f_{S_n}(z) = \frac{z^{n-1}}{(n-1)!}$ for $0 \leq z \leq 1$.

Proof. We have shown for $n = 1, 2, 3$ it is true (Base case). Now since $S_{n+1} = S_n + X_{n+1}$,

$$f_{S_{n+1}}(t) = \int_0^z f_{S_n}(z-x) \overbrace{f_{X_{n+1}}(x)}^1 dx = \int_0^z f_{S_n}(x) dx = \int_0^z \frac{x^{n-1}}{(n-1)!} dx = \frac{z^n}{n!}.$$

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Example 7.2.2. We have 2 cakes in one fridge. Every day we eat a uniformly random amount, between 0 cake and 1 cake, independently of all previous days. How long does the first cake last?

Proof. Let X_i be the portion of cake eaten on day i . Thus, $X_i \sim \text{Unif}([0, 1])$ independently. Let S_n be the total amount eaten after n days. Thus, $S_n = X_1 + X_2 + \dots + X_n$. Let D be the number of days it takes to finish the first cake. Then

$$\{D = n\} = \{S_n \geq 1, S_{n-1} < 1\}.$$

Also, $\{D > n\} = \{S_n < 1\}$. Thus,

$$\mathbb{P}(D > n) = \mathbb{P}(S_n < 1) = \int_0^1 f_{S_n}(x) dx = \int_0^1 \frac{x^{n-1}}{(n-1)!} dx = \left[\frac{x^n}{n!} \right]_0^1 = \frac{1}{n!}.$$

Thus,

$$\mathbb{P}(D = n) = \mathbb{P}(D > n - 1) - \mathbb{P}(D > n) = \frac{1}{(n-1)!} - \frac{1}{n!} = \frac{n-1}{n!}.$$

Hence,

$$\mathbb{E}[D] = \sum_{n=1}^{\infty} n \mathbb{P}(D = n) = \sum_{n=1}^{\infty} n \cdot \frac{n-1}{n!} = \sum_{n=2}^{\infty} \frac{1}{(n-2)!} = \sum_{k=0}^{\infty} \frac{1}{k!} = e.$$

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Lecture 20

Recall that $X \sim \Gamma(\alpha, \lambda)$ if

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$$f_X(x) = \begin{cases} \frac{\lambda^\alpha x^{\alpha-1} e^{-\lambda x}}{\Gamma(\alpha)}, & \text{if } x \geq 0; \\ 0, & \text{if } x < 0. \end{cases}$$

Example 7.2.3. Let $X \sim \Gamma(\alpha, \lambda)$, $Y \sim \Gamma(\beta, \lambda)$, where $\alpha, \beta, \lambda > 0$, and X, Y are independent. What is the distribution of $X + Y$?

Proof.

$$\begin{aligned} f_{X+Y}(z) &= \int_{-\infty}^{\infty} f_X(x) f_Y(z-x) dx = \int_0^z \frac{\lambda^\alpha x^{\alpha-1} e^{-\lambda x}}{\Gamma(\alpha)} \cdot \frac{\lambda^\beta (z-x)^{\beta-1} e^{-\lambda(z-x)}}{\Gamma(\beta)} dx \\ &= \frac{\lambda^{\alpha+\beta} e^{-\lambda z}}{\Gamma(\alpha)\Gamma(\beta)} \int_0^z x^{\alpha-1} (z-x)^{\beta-1} dx = \frac{\lambda^{\alpha+\beta} e^{-\lambda z}}{\Gamma(\alpha)\Gamma(\beta)} \int_0^1 (zu)^{\alpha-1} (z-zu)^{\beta-1} z du \\ &= \frac{\lambda^{\alpha+\beta} z^{\alpha+\beta-1} e^{-\lambda z}}{\Gamma(\alpha)\Gamma(\beta)} \int_0^1 u^{\alpha-1} (1-u)^{\beta-1} du = \frac{C_{\alpha,\beta}}{\Gamma(\alpha)\Gamma(\beta)} \lambda^{\alpha+\beta} z^{\alpha+\beta-1} e^{-\lambda z} \\ &= C \cdot \frac{\lambda^{\alpha+\beta} z^{\alpha+\beta-1} e^{-\lambda z}}{\Gamma(\alpha+\beta)}, \end{aligned}$$

which is proportional to $f_Z(z)$ where $Z \sim \Gamma(\alpha + \beta, \lambda)$. Since f_{X+Y} and f_Z are both pdf,

$$\int_{-\infty}^{\infty} f_{X+Y}(t) dt = \int_{-\infty}^{\infty} f_Z(t) dt = 1,$$

so we have $C = 1$, and thus $X + Y \sim \Gamma(\alpha + \beta, \lambda)$.

Summary: If $X \sim \Gamma(\alpha, \lambda)$, $Y \sim \Gamma(\beta, \lambda)$ are independent, $X + Y \sim \Gamma(\alpha + \beta, \lambda)$. ⊛

Corollary 7.2.1. If $X_i \sim \text{Exp}(\lambda)$ for $1 \leq i \leq n$, are independent, then $\sum_{i=1}^n X_i \sim \Gamma(n, \lambda)$.

Proof. Since $\text{Exp}(\lambda) = \Gamma(1, \lambda)$, so this is true. ■

Example 7.2.4. Let $Z_i \sim N(0, 1)$, $1 \leq i \leq n$, be independent. What is the distribution of $\sum_{i=1}^n Z_i^2$?

Proof. We can first solve a subproblem.

Subproblem: What is the distribution of Z_i^2 ?

$$\begin{aligned}
F_{Z_i^2}(a) &= \mathbb{P}(Z_i^2 \leq a) = \mathbb{P}(-\sqrt{a} \leq Z_i \leq \sqrt{a}) = \int_{-\sqrt{a}}^{\sqrt{a}} f_{Z_i}(z) dz = \int_{-\sqrt{a}}^{\sqrt{a}} \frac{1}{\sqrt{2\pi}} e^{-\frac{z^2}{2}} dz \\
&= 2 \int_0^{\sqrt{a}} \frac{1}{\sqrt{2\pi}} e^{-\frac{z^2}{2}} dz.
\end{aligned}$$

Hence,

$$f_{Z_i^2}(a) = \frac{d}{da} F_{Z_i^2}(a) = 2 \left[\frac{1}{\sqrt{2\pi}} e^{-\frac{z^2}{2}} \right]_{z=\sqrt{a}} \cdot \frac{d}{da} (\sqrt{a}) = 2 \frac{1}{\sqrt{2\pi}} e^{-\frac{a}{2}} \cdot \frac{1}{2} a^{-\frac{1}{2}} = \frac{1}{\sqrt{2\pi}} e^{-\frac{a}{2}} a^{\frac{1}{2}-1}.$$

This means $Z_i^2 \sim \Gamma\left(\frac{1}{2}, \frac{1}{2}\right)$ (compare pdf of Z_i^2 and $\Gamma\left(\frac{1}{2}, \frac{1}{2}\right)$), so

$$\sum_{i=1}^n Z_i^2 \sim \Gamma\left(\frac{n}{2}, \frac{1}{2}\right).$$

Remark 7.2.2. This is called the chi-squared distribution with n degrees of freedom.

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Question. Let $X_i \sim N(\mu_i, \sigma_i^2)$ be independent for $1 \leq i \leq n$. What is the distribution of $\sum_{i=1}^n X_i$?

Proposition 7.2.2.

$$\sum_{i=1}^n X_i \sim N\left(\sum_{i=1}^n \mu_i, \sum_{i=1}^n \sigma_i^2\right).$$

Proof. We can first show the $n = 2$ case implies general case, then show that when $n = 2$, the case $\mu_1 = \mu_2 = 0$ and $\sigma_1 = 1, \sigma_2 = \sigma$ implies the general case of $n = 2$, and finally prove the base case: $n = 2, \mu_1 = \mu_2 = 0$ and $\sigma_1 = 1, \sigma_2 = \sigma$.

1. Prove by induction on n : We know $X_1 + \dots + X_n + X_{n+1} = (X_1 + \dots + X_n) + X_{n+1}$ where

$$X_1 + \dots + X_n \sim N\left(\sum_{i=1}^n \mu_i, \sum_{i=1}^n \sigma_i^2\right),$$

and $X_{n+1} \sim N(\mu_{n+1}, \sigma_{n+1}^2)$. Thus, if we can prove the $n = 2$ case, we have

$$X_1 + \dots + X_n + X_{n+1} \sim N\left(\sum_{i=1}^n \mu_i + \mu_{n+1}, \sum_{i=1}^n \sigma_i^2 + \sigma_{n+1}^2\right) = N\left(\sum_{i=1}^{n+1} \mu_i, \sum_{i=1}^{n+1} \sigma_i^2\right).$$

2. Prove the specific case $n = 2, \mu_1 = \mu_2 = 0, \sigma_1 = 1, \sigma_2 = \sigma$ implies general cases for $n = 2$: If $X_1 \sim N(\mu_1, \sigma_1^2), X_2 \sim N(\mu_2, \sigma_2^2)$, then

$$\begin{aligned}
X_1 + X_2 &= \sigma_1 \left(\frac{X_1 + X_2}{\sigma_1} \right) = \sigma_1 \left(\frac{X_1 - \mu_1}{\sigma_1} + \frac{X_2 - \mu_2}{\sigma_1} + \frac{\mu_1 + \mu_2}{\sigma_1} \right) \\
&= \sigma_1 \left(\frac{X_1 - \mu_1}{\sigma_1} + \frac{\sigma_2}{\sigma_1} \cdot \frac{X_2 - \mu_2}{\sigma_2} \right) + (\mu_1 + \mu_2),
\end{aligned}$$

where

$$\frac{X_1 - \mu_1}{\sigma_1} \sim N(0, 1), \quad \frac{\sigma_2}{\sigma_1} \frac{X_2 - \mu_2}{\sigma_2} \sim N\left(0, \frac{\sigma_2^2}{\sigma_1^2}\right).$$

If the $\mu_1 = \mu_2 = 0$ and $\sigma_1 = 1, \sigma_2 = \sigma$ case is true, then

$$\frac{X_1 - \mu_1}{\sigma_1} + \frac{\sigma_2}{\sigma_1} \cdot \frac{X_2 - \mu_2}{\sigma_2} \sim N\left(0, 1 + \frac{\sigma_2^2}{\sigma_1^2}\right),$$

so

$$\sigma_1 \left(\frac{X_1 - \mu_1}{\sigma_1} + \frac{\sigma_2}{\sigma_1} \cdot \frac{X_2 - \mu_2}{\sigma_2} \right) \sim N(0, \sigma_1^2 + \sigma_2^2),$$

which shows

$$X_1 + X_2 = \sigma_1 \left(\frac{X_1 - \mu_1}{\sigma_1} + \frac{\sigma_2}{\sigma_1} \cdot \frac{X_2 - \mu_2}{\sigma_2} \right) + (\mu_1 + \mu_2) \sim N(\mu_1 + \mu_2, \sigma_1^2 + \sigma_2^2).$$

3. Prove the $n = 2, X_1 \sim N(0, 1), X_2 \sim N(0, \sigma^2)$ case. Suppose $X_1 \sim N(0, 1), X_2 \sim N(0, \sigma^2)$ are independent, then since we have

$$f_{X_1}(x) = \frac{1}{\sqrt{2\pi}} e^{-\frac{x^2}{2}}, \quad f_{X_2}(x) = \frac{1}{\sigma\sqrt{2\pi}} e^{-\frac{x^2}{2\sigma^2}},$$

the density of $X_1 + X_2$ is the convolution of these densities:

$$\begin{aligned} f_{X_1+X_2}(z) &= \int_{-\infty}^{\infty} f_{X_1}(x) f_{X_2}(z-x) dx = \int_{-\infty}^{\infty} f_{X_1}(z-y) f_{X_2}(y) dy \\ &= \frac{1}{2\pi\sigma} \int_{-\infty}^{\infty} e^{-\frac{(z-y)^2}{2}} \cdot e^{-\frac{y^2}{2\sigma^2}} dy. \end{aligned}$$

Note that

$$\begin{aligned} -\frac{(z-y)^2}{2} - \frac{y^2}{2\sigma^2} &= -\frac{z^2}{2} - \frac{\sigma^2 + 1}{2\sigma^2} \left(y^2 - \frac{2\sigma^2 zy}{\sigma^2 + 1} \right) \\ &= -\frac{z^2}{2} - \frac{\sigma^2 + 1}{2\sigma^2} \left(y - \frac{\sigma^2}{\sigma^2 + 1} z \right)^2 + \frac{\sigma^2}{2(\sigma^2 + 1)} z^2, \end{aligned}$$

so

$$\begin{aligned} f_{X_1+X_2}(z) &= \frac{1}{2\pi\sigma} e^{-\frac{z^2}{2} + \frac{\sigma^2}{2(\sigma^2+1)} z^2} \int_{-\infty}^{\infty} e^{-\frac{\sigma^2+1}{2\sigma^2} \left(y - \frac{\sigma^2}{\sigma^2+1} z \right)^2} dy \\ &= \frac{1}{2\pi\sigma} e^{-\frac{z^2}{2} + \frac{\sigma^2}{2(\sigma^2+1)} z^2} \underbrace{\int_{-\infty}^{\infty} e^{-\frac{\sigma^2+1}{2\sigma^2} u^2} du}_{\text{some constant}} \\ &= C' e^{-\frac{z^2}{2} + \frac{\sigma^2}{2(\sigma^2+1)} z^2} \\ &= C' e^{-\frac{(\sigma^2+1)z^2 - \sigma^2 z^2}{2(\sigma^2+1)}} = C' e^{-\frac{z^2}{2(\sigma^2+1)}} \end{aligned}$$

This is proportional to the pdf of $N(0, 1 + \sigma^2)$, so $X_1 + X_2 \sim N(0, 1 + \sigma^2)$. ■

Example 7.2.5. We say a random variable X is log-normally distributed if $\log X$ is normally distributed. There is a stock whose price after n weeks is S_n . The ratios $\frac{S_n}{S_{n-1}}$ are independent and log-normally with $\mu = 0.0165$ and $\sigma = 0.0730$, then

- (1) What is the probability that $S_n > S_{n-1}$ for the 52 weeks of a year?
- (2) What is the probability that $S_n > S_{n-1}$ for at least 30 weeks in the year?
- (3) What is the probability that the stock will have gained value over the course of the year? (過一年會漲)

Proof. Note that

$$\{S_n > S_{n-1}\} \equiv \left\{ \frac{S_n}{S_{n-1}} > 1 \right\} \equiv \left\{ \log \frac{S_n}{S_{n-1}} > 0 \right\},$$

where $\log \frac{S_n}{S_{n-1}} \sim N(0.0165, 0.0730^2)$. Let $X \sim N(0.0165, 0.0730^2)$, then

$$\mathbb{P}(X > 0) = \mathbb{P}\left(\frac{X - 0.0165}{0.0730} > \frac{-0.0165}{0.0730}\right) = \mathbb{P}(Z < \frac{0.0165}{0.0730}) = \Phi\left(\frac{0.0165}{0.0730}\right) = 0.5894,$$

where $Z \sim N(0, 1)$ and by symmetry.

(1)

$$\begin{aligned} \mathbb{P}(\{S_1 > S_0\} \cap \{S_2 > S_1\} \cap \dots \cap \{S_{52} > S_{51}\}) &= \mathbb{P}\left(\left\{\frac{S_1}{S_0} > 1\right\} \cap \left\{\frac{S_2}{S_1} > 1\right\} \cap \dots \cap \left\{\frac{S_{52}}{S_{51}} > 1\right\}\right) \\ &= \mathbb{P}\left(\frac{S_1}{S_0} > 1\right) \mathbb{P}\left(\frac{S_2}{S_1} > 1\right) \dots \mathbb{P}\left(\frac{S_{52}}{S_{51}} > 1\right) \\ &= \Phi\left(\frac{0.0165}{0.0730}\right)^{52} \\ &\approx 1.15 \times 10^{-12} \end{aligned}$$

by independence.

(2) Let $Y = \#$ of weeks in the year with $S_n > S_{n-1}$. Then, $Y \sim \text{Bin}(52, 0.5894)$ since each ratio $\frac{S_n}{S_{n-1}}$ are independent. Hence,

$$\mathbb{P}(Y \geq 30) = \sum_{k=0}^{52} \binom{52}{k} 0.5894^k \cdot 0.4106^{52-k}.$$

Using normal approximation:

$$\text{Bin}(52, 0.5894) \sim N(52 \times 0.5894, 52 \times 0.5894 \times 0.4106).$$

Thus,

$$\mathbb{P}(Y \geq 30) = \mathbb{P}(Y \geq 29.5) = \mathbb{P}\left(\frac{Y - 52 \times 0.5894}{\sqrt{52 \times 0.5894 \times 0.4106}} \geq \frac{29.5 - 52 \times 0.5894}{\sqrt{52 \times 0.5894 \times 0.4106}}\right) \approx 0.627.$$

(3)

$$\mathbb{P}(S_{52} > S_0) = \mathbb{P}\left(\log\left(\frac{S_{52}}{S_0}\right) > 0\right) = \mathbb{P}\left(\sum_{n=1}^{52} \log\left(\frac{S_n}{S_{n-1}}\right) > 0\right) \approx 0.9484.$$

This is because

$$\sum_{n=1}^{52} \log\left(\frac{S_n}{S_{n-1}}\right) \sim N(52 \times 0.0165, 52 \times 0.0730^2)$$

by the log-normally distributed condition and the previous example.

■

Appendix